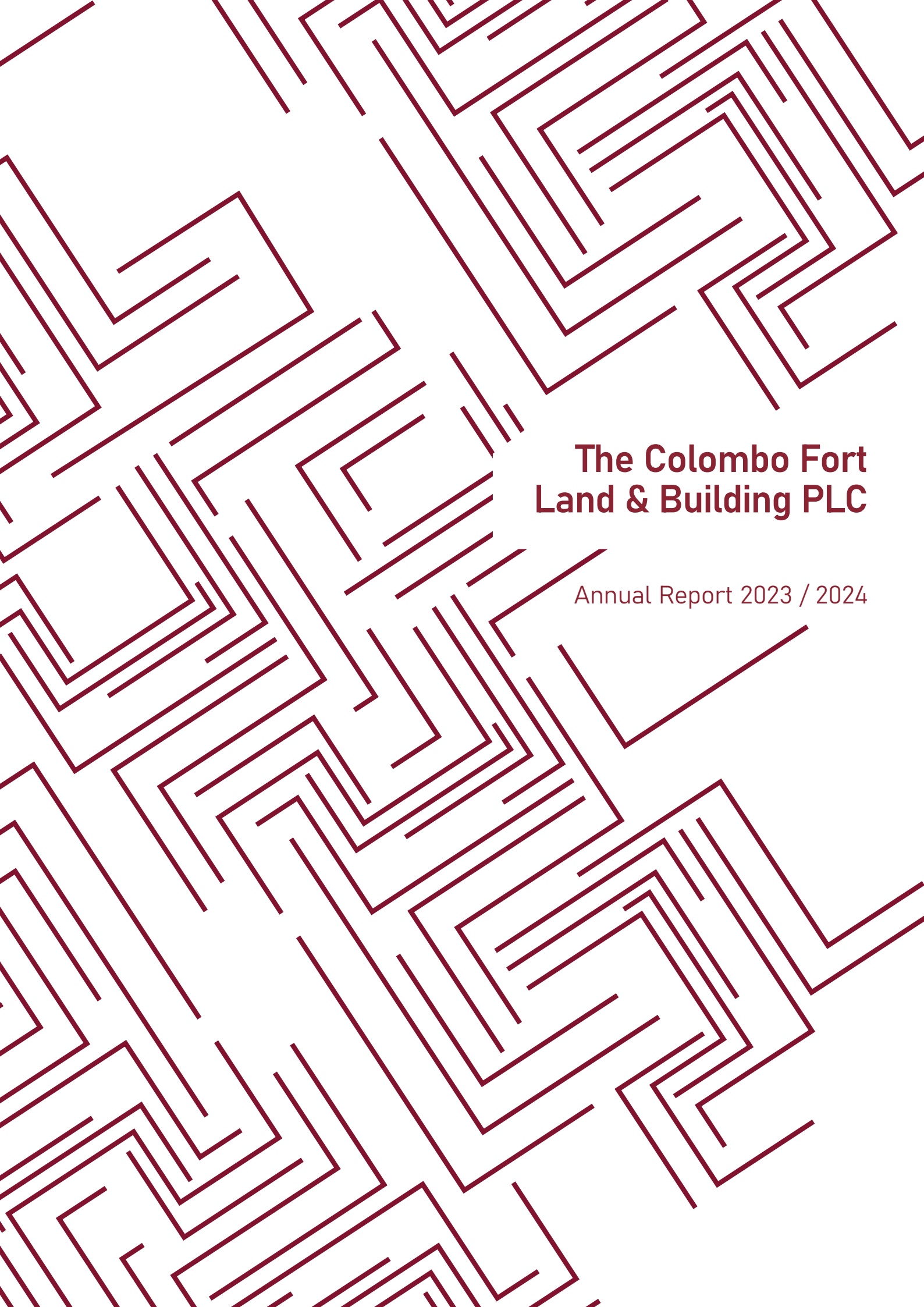




The Colombo Fort Land & Building PLC

Annual Report 2023 / 2024

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Group Financial Highlights

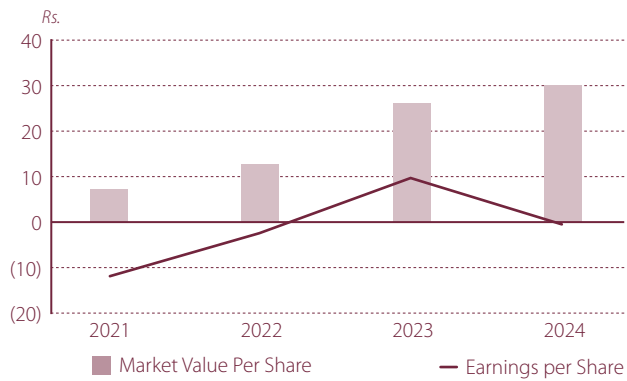
Financial Performance - For the year ended 31st March,		2024	2023	Change %
Revenue - Consolidated	Rs. million	75,895	77,081	(2)
Gross Profit	Rs. million	17,417	22,598	(23)
Share of Results of Associates (Net of Tax)	Rs. million	15.7	(147.2)	(111)
Profit before Interest & Tax (EBIT)	Rs. million	5,776	13,121	(56)
Profit/(Loss) before Tax	Rs. million	1,412	6,846	(79)
Profit/(Loss) for the Year	Rs. million	61	4,586	(99)
Profit/(Loss) Attributable to-				
Owners of the Company	Rs. million	(123)	2,346	(105)
Non Controlling Interest	Rs. million	184	2,186	(92)

Financial Position - As at 31st March,		2024	2023	Change %
Total Assets	Rs. million	68,595	63,789	8
Total Shareholders' Funds	Rs. million	4,706	5,826	(19)
Non Controlling Interest	Rs. million	7,093	5,812	22
Total Equity	Rs. million	11,799	11,638	1
Total Debt	Rs. million	29,010	27,415	6
Total Capital Employed	Rs. million	40,809	39,054	4
Net Assets per Share	Rs.	19.61	24.28	(19)

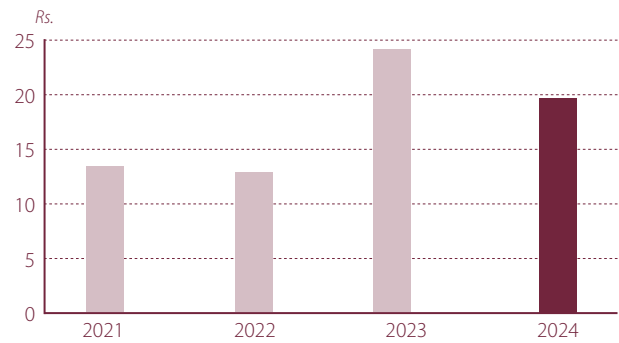
Market/Shareholder Information - As at 31st March,		2024	2023	Change %
Number of Shares in Issue	million	240	240	-
Market Price of Share	Rs.	30.00	26.10	15
Market Capitalisation	Rs. million	7,200	6,264	15
Price Earnings Ratio (PER)	No. of times	(59)	3	(2,319)

Key Financial Ratios - As at 31st March,		2024	2023	Change %
Gross Profit Margin	%	22.95	29.32	(22)
EBIT Margin	%	7.61	17.02	(55)
Interest Cover	No. of times	1.32	2.09	(37)
Net Profit Margin	%	0.08	5.95	99
Earnings per Share	Rs.	(0.51)	9.87	105
Return on Capital Employed	%	14.15	33.60	(58)
Return on Equity	%	0.52	39.40	99
Debt Ratio	%	82.80	81.00	2
Total Assets Turnover	No. of times	0.90	0.83	9
Current Ratio	No. of times	0.53	0.48	12
Dividend payout Ratio	No. of times	0.09	-	-
Dividend Per Share	Rs.	0.25	-	-

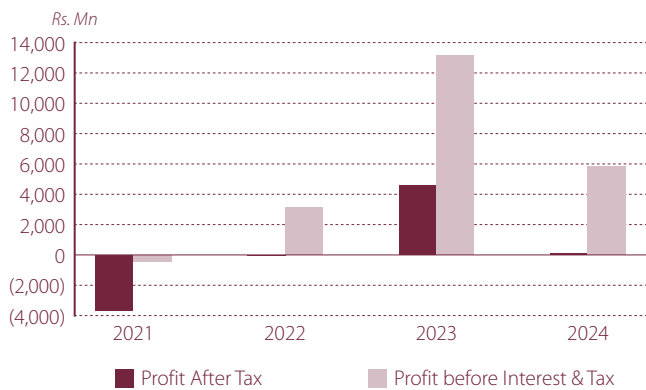
Market Value Vs. Earnings per Share



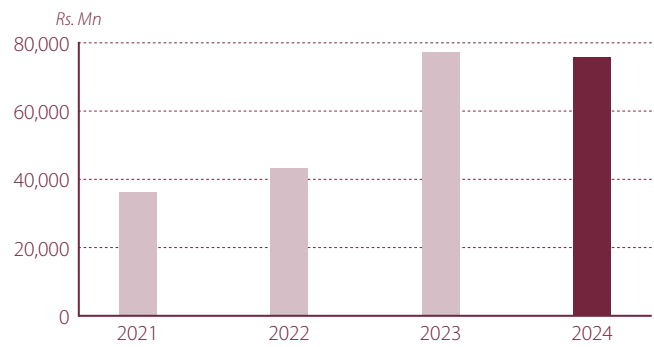
Net Assets Per Share



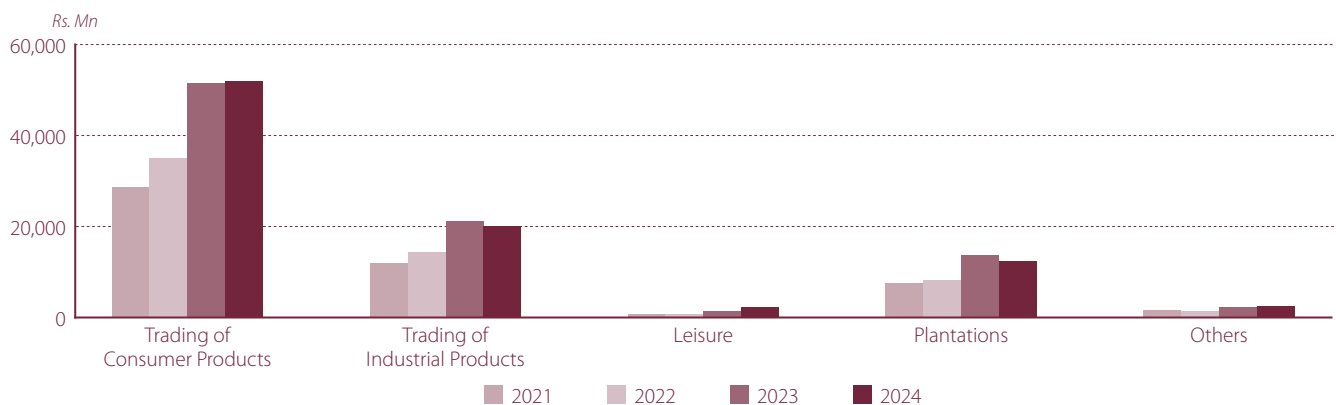
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue - (Gross)



Chairman's Review

On behalf of the Board of Directors, it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March 2024.

Having persisted through the year 2022, the most difficult economic period post-independence, the Country was set on the path to recovery during the financial period 2023/2024. The shortage of essential items which plagued the country during the financial year 2022/2023 eased out during the period under review. However, the customer spending power was severely impacted due to the stringent tax reforms introduced in line with the agreement with the International Monetary Fund (IMF). The consumer activity was further depressed due to the steep increases in electricity tariffs and fuel prices.

As the year progressed the country experienced a remarkable improvement in tourism sector income and worker remittances which provided much needed respite from the constant economic pressure. Improved levels of foreign reserves resulting from the above factors strengthened the Sri Lanka Rupee, which appreciated by around 12% against the US Dollar in 2023, and has continued to hold steady in 2024.

The policy decisions of the Government and the Central Bank of Sri Lanka helped curb inflation to single digits from peak levels in 2022/2023 and households are expected to regain purchasing power, fostering renewed consumption.

The Government's ties with the IMF program led to progressive developments in the domestic and external debt optimization plans along with stability in various macro-economic conditions. In March 2023, the IMF approved a 48-months Extended Fund Facility (EFF) of US\$ 2.9 Bn to support the Government's economic reform program. Further the country concluded the domestic debt restructuring process in 2023 and the discussions with bilateral creditors on debt restructuring was successfully concluded in June 2024.

In this background the Central Bank's decision to lower interest rates is expected to fuel economic growth following the continuous negative growth rates recorded in the economy since the crisis unfolded. Low interest rates are expected to revive stagnant business performance in the forthcoming periods leading to better consumer activity and positive economic growth.

Despite the many challenges faced, our Group achieved a turnover of Rs. 75.9 billion during the year under review compared to a turnover of Rs. 77.1 billion in the previous year. The Group concluded the year with a net profit of Rs. 60.8 million compared to the net profit of Rs. 4.5 billion reported in the previous year. The Company recorded a turnover of Rs. 132.7 million and a Profit of Rs. 682.8 million for the reporting year.

The Plantation Sector revenue showed a decrease of 10%. However, the profit of the said Sector decreased by 72%. The Sector was impacted by the price decline of tea, rubber and oil palm crops. However, both our Plantation companies were able to increase their tea output in 2023 compared to 2022, indicating the effectiveness

of our crop management practices. The rising input costs including labour, fertilizer prices, tax policies, the volatility in global tea prices due to ongoing trade restrictions on Russia and Iran and the added cost of rerouting trade from the Red Sea are all factors which may have a negative impact on the tea industry and the Sector remains focused on cost management and market opportunities to maximize tea revenue. It must also be mentioned that our subsidiary Agarapatana Plantations was successfully listed on the Diri Savi Board of the Colombo Stock Exchange in September 2023, under the name Agarapatana Plantations PLC (AGPL). The IPO was opened for subscription as scheduled on 10th August 2023 and was oversubscribed within the day.

The Leisure Sector performed remarkably during the period under review and recorded a revenue of Rs. 2 billion which is an increase of 73% from the year 2022/2023. The profit recorded for the year was Rs. 289.7 million an increase of 193%. The Sector experienced an upward trend, with hotels achieving occupancies above 85% during the winter season. This boost provided the industry with vital momentum in the right direction. Key developments such as the removal of travel advisories by our main markets, enhanced destination promotions through road shows in Europe, Middle East, China and India, and relaxed policy rates facilitating more investments into the industry to propel growth were commendable and significantly contributed towards progress. Our Hotels are proceeding with soft refurbishments of the properties in preparation for the upcoming winter season. With rising hotel occupancy rates and positive industry trends, the Sector is optimistic about the future. Further both Marawila Resorts PLC and Beruwala Resorts PLC conducted capital reduction procedures with a view to improving the balance sheet positions and enhancing the solvency of the said companies which is pivotal in any negotiations with financial institutions for further funding requirements.

The performance of the Consumer product sector contracted sharply during the year under review. E.B. Creasy Group our largest contributor in this Sector will continue to concentrate on innovation by constantly developing and launching new products in the Home Care and Personal Care Divisions to cater to evolving consumer needs while existing products will also be improved where necessary. A greater focus will be on streamlining supply chain processes with the goal of trimming costs, minimising waste, whilst also improving delivery speed and overall reliability. The Group would also focus on branding and marketing efforts to enhance brand visibility, boost consumer engagement, and build loyalty.

The Industrial Products Sector revenue was Rs. 19.8 billion, a reduction of 1% compared to previous year. Lankem Ceylon PLC, CW Mackie PLC and Lanka Special Steels Limited as major contributors to the segment have re-evaluated its strategy under the prevailing macroeconomic landscape, thereby implementing prudent strategic measures necessary to navigate the segment ahead during this period.

The revenue of the Others Sector of the Group, consisting mainly of the Parent Company, Investment Companies, travel companies and the power project collectively was Rs. 1.75 billion compared

to the Rs. 1.64 billion posted in the previous financial year and the combined loss has reduced by 6%.

On a more positive note, in March 2024, our subsidiary Company Laxapana PLC completed the acquisition of the entirety of the capital of BlueScope Lysaght Lanka (Private) Ltd., from TATA BlueScope Steel Ltd. of India for Rs. 320 Mn. strengthening the Group's position in the steel industry.

The country eagerly awaits the Presidential Election scheduled to be held in the month of September and on the strength of the Country's agreement with the IMF on economic reforms, we remain optimistic that the current momentum in economic recovery will not be hampered irrespective of the outcome. Internal and external stability are key factors that impact our performance. The Group remains committed to improving its performance by expanding the product portfolios, accessing untapped market segments and industries, and development of infrastructure which will be initiated by the Group with the positive outlook in the upcoming financial year.

In conclusion, I wish to extend my sincere appreciation to my esteemed colleagues on the Board for their wise counsel and guidance in navigating these turbulent times as the Group continues focus on achieving its Corporate objectives.

I am humbled by the dedication and the loyalty of our valued employees across the Group, as well as the many customers, trusted business partners and our valued shareholders who remain unwavering in their confidence in us as we forge ahead in our endeavours.

S.D.R. Arudpragasam
Chairman

02nd September 2024

Directors' Profiles

S.D.R. Arudpragasam - Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam whilst being associated with The Colombo Fort Land & Building Group of companies since 1982 joined the Board in the year 2000, was appointed Deputy Chairman in November 2011 and as Chairman on 1st July 2022. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC including C M Holdings PLC and Lankem Ceylon PLC. He also functions as Chairman/ Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building Group.

Mr. Arudpragasam is a Fellow of the Chartered Institute of Management Accountants (UK).

C.P.R. Perera – Deputy Chairman

Mr. C.P.R. Perera was appointed to the Board in May 2013 and was appointed Deputy Chairman with effect from 1st July 2022. He serves on the Boards of several subsidiaries of the CFLB Group and also holds directorships in other private and public companies. He retired as Chairman of Forbes & Walker Ltd. and its subsidiary companies in June 2005 after almost 44 years of service. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. Mr. Perera having held the Office of Chairman of Ceylon Tea Brokers PLC until 1st April 2022 continues to serve as a Non-Executive Director of the said Company. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon, and on the Committee of Management of the Ceylon Planters Provident Society.

Anushman Rajaratnam – Group Managing Director

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011 and functions in the capacity of Group Managing Director of The Colombo Fort Land & Building PLC since January 2017. In addition, he serves on the Boards of several subsidiary companies of the CFLB Group. Prior to joining the CFLB Group, he worked overseas for a leading global Accountancy Firm. He holds a Bachelor of Science degree in Economics from the University of Surrey, UK, CPA Australia and MBA from the Massachusetts Institute of Technology, USA.

A.M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted companies. He holds a Bachelor of Science degree in Economics and is a Fellow of the Institute of Chartered Accountants of England and Wales and Sri Lanka.

P.M.A. Sirimane - Director

FCA, MBA

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of an Independent Non-Executive

Director. He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Master's in Business Administration from the University of Swinburne, Victoria, Australia.

Mr. Sirimane also serves on the Boards of several subsidiary companies in the CFLB Group. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Ltd., Group Finance Director of United Tractor & Equipment Ltd., Chief Finance Officer of Sri Lanka Telecom Ltd., and Director of SLT Hong Kong Ltd. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex-officio member of the International Leasing Association.

Sanjeev Rajaratnam – Director

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

A.R. Rasiah - Director

B.Sc. (Cey.), FCA

Mr. A. R. Rasiah was appointed to the Board with effect from 8th June 2023. He functions as a Non-Executive Director of the E. B. Creasy Group of Companies, and on some of the Boards of the Hotels Sector in The Colombo Fort Land & Building Group.

Mr. Rasiah is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and finalist of the Chartered Institute of Management Accountants (UK). He holds a Bachelor of Science Degree from the University of Ceylon.

Mr. A.R. Rasiah's illustrious career both in finance and commerce spans over forty years. He started his career with Ernst and Young and later served at Mercantile Group of Companies and Almulla Group of Companies, Kuwait. Finally, he joined Nestle Lanka PLC as Director Finance in 1994 and was with the Group until his retirement in 2005. He was formerly Chairman of Atlas Axillia (Pvt) Ltd., Chairman of the Sri Lanka Institute of Directors and Senior Director of Nations Trust Bank PLC. Currently Mr. Rasiah functions as the Chairman of Hela Apparel Holdings PLC, Alternate to Chairman of Gestetner of Ceylon PLC, and as a Director of Fintek Managed Solutions (Pvt) Ltd. and Clindata Lanka (Pvt) Ltd. He is also a keen sportsman who represented Sri Lanka at Table Tennis.

Amrit Rajaratnam - Director

LLB (Notts.), Barrister-at-Law

Mr. Amrit Rajaratnam was appointed to the Board on 29th November 2023. He holds a Bachelor's Degree in Law from the University of Nottingham and is a Barrister-at-Law (Lincoln's Inn). He began his career at the Law Firm Julius & Creasy and later joined Lankem Ceylon PLC. He also serves as Director of York Arcade Holdings PLC in addition to holding other Directorships in The Colombo Fort Land & Building Group.

Management Discussion and Analysis

COMPANY OVERVIEW

The Colombo Fort Land & Building PLC, as the pioneer of commercial property development in (the then) Ceylon is currently a diversified conglomerate with diverse interests in investment, chemical and paint, distribution, manufacturing, food processing, motors, hotels & plantations. Business was incorporated on 30th April 1895 for the purpose of acquiring the premises known as Leyden Bastian and to develop this site to meet the burgeoning demand for high quality office accommodation during that time.

The company through organic growth as well as strategic acquisitions currently operate as a dynamic conglomerate and now looks forward with vigour and confidence to meet the emerging challenges.

MACRO-ECONOMIC FACTORS

During the course of the year 2023, Sri Lanka's economy portrayed a gradual revival from the depths of its unprecedented economic crisis witnessed in 2022, widely considered to be the worst downturn in its post-independence history. Across multiple fronts, including key economic indicators, it was clear that the country's economy had turned a corner and was on the path towards recovery.

Inflation, which peaked in 2022, was brought down to single digit levels by the end of 2023. Following a shift towards an accommodative monetary policy stance starting June 2023, domestic market interest rates saw significant declines. During 2023 and early 2024, the Sri Lankan rupee strengthened and benefited from increased exchange rate flexibility, coupled with the gradual removal of restrictions on foreign exchange transactions. The country's international reserves expanded as external buffers were steadily replenished throughout the year. The financial sector remained stable with the implementation of prudential regulatory measures aimed at safeguarding domestic financial stability. Both the Government's primary balance and the external current account registered surpluses in 2023.

Despite intermittent fluctuations, inflation is expected to stabilise around the targeted level of 5% over the medium term, supported by appropriate policy measures. The monetary policy stance is projected to remain accommodative, with market interest rates expected to further stabilise throughout 2024. The banking sector will sustain its expansionary credit momentum to the private sector while reducing its exposure to the public sector.

An International Monetary Fund mission visited Sri Lanka in March 2024 for the second review of the 4-year Extended Fund Facility arrangement. With the IMF Executive Board passing the second review of Sri Lanka's US\$ 2.9Bn Extended Fund Facility program, Sri Lanka is set to receive around US\$ 337 Mn to further boost the economy in the new financial year.

However, the trade deficit is anticipated to widen in 2024 due to heightened import demand alongside moderate export growth. On a positive note, the services account surplus is expected to grow, driven by projected increases in tourism and other services exports,

while foreign workers' remittances are anticipated to remain at elevated levels. Furthermore, financial account inflows will be bolstered by increased investor confidence, multilateral financing, and foreign direct investment (FDI).

COMPANY FINANCIAL REVIEW

During the year under review, the company recorded a revenue of Rs. 132.7 million. The revenue has increased by 22% in comparison to the previous year's revenue of Rs. 108.8 million. The increase was due to annual increments from existing tenants as well as rent charged from related companies. Other Income has increased by 199% in comparison to the previous year due to higher Dividends from Subsidiaries. Administration expenses recorded during the year amounts to Rs. 95.8 million (31st March 2023-Rs. 79.9 million), resulting in an increment of 20%. Finance Income of the Company amounted to Rs. 45.81 million (31st March 2023-Rs. 92.98 million) and this has decreased by 51% due to settlement of inter-company borrowings. Parallely, the Company has positively affected through the decrease interest expense (31st March 2024-Rs. 109.4 million 31st March 2023-Rs. 139.7 million) compared to the previous year due to drop in borrowing rates. The Company is not liable to Income Tax during the year under review (31st March 2023-Rs. 11.5 million).

The Company invested Rs. 1.2 billion in plantation and leisure sector during the year under review and received the shares from Consolidated Tea Plantation Limited due to the conversion of loans granted. The fair value of quoted investments held by the Company as at 31st March, 2024 amounted to Rs. 6.1 billion (31st March, 2023 - Rs. 5.9 billion).

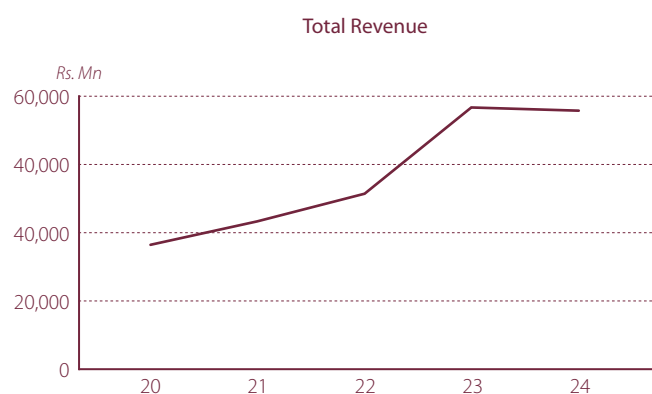
The Company's Investment Properties were revalued at Rs. 3.36 billion as at 31st March, 2022 (Carrying Value as at 31st March, 2024 - Rs. 798.7 million).

The Net Asset Value of the Company as at the end of the financial year was Rs. 12.25 per share as against Rs. 9.65 per share in the previous year.

Management Discussion and Analysis contd.

GROUP FINANCIAL REVIEW

Despite the challenges faced during the under review, the performance of the group has remained resilient and progressed forward. The group's revenue for the year 2023/2024 decreased by 2% to Rs. 75.9 billion in comparison to the previous year's revenue of Rs. 77.09 billion.



The revenue of segment has remained steady compared to previous year and the below table depicts the year-on-year revenue of each segment.

The group loss is Rs. 53.8 million in comparison to the previous year's profit of Rs. 4.59 billion. The leisure sector recorded an increase in profitability compared to last year. The Group navigated challenges with resilience and agility, achieving steady situation across all major categories.

TRADING CONSUMER PRODUCTS SECTOR

Darley Butler & Company Ltd and EB Creasy & Co. PLC in the consumer Sector have performed extremely well during the year. EB Creasy & Co. PLC has earned an operating profit of Rs. 1.5 billion while Darley Butler Company Ltd result from operating activities for the period under review was Rs. 564 million. The cumulative group revenue and profit before tax of E B Creasy & Company PLC stood at Rs. 26 billion and Rs.666 million respectively. The performance of these companies were secured under very challenging conditions that prevailed during the year 2023/2024.

The Union Commodities group has been able to transform to a profit situation by executing sound working capital management measures with the support of related companies while implementing strict cost control initiatives (31 March 2024 Profit – Rs. 129 million, 31 March 2023 Loss - Rs. 717 million).

TRADING OF INDUSTRIAL SECTOR

The trading of Industrial products sector revenue decreased by 1% compared to previous year. The revenue of the sector mainly contributed by Lankem Ceylon PLC, CW Mackie PLC and Lanka Special Steels Ltd. Lankem Ceylon PLC Company recorded a revenue of Rs. 6.3 billion and a profit after tax Rs. 332 million compared to last year a profit of Rs.1.1 billion. Also, the packaging companies of the sector have performed extremely well and contributed positively to profitability of the sector despite substantial material-related impediments and working capital concerns.

For the Year Ended	Total Revenue				
	2020 Rs.'000	2021 Rs.'000	2022 Rs.'000	2023 Rs.'000	2024 Rs.'000
Trading of Consumer	18,740,686	22,590,429	27,836,443	40,735,418	40,019,874
Trading of Industrial	9,664,405	11,647,411	14,095,772	19,943,010	19,804,342
Leisure	1,169,869	430,679	693,476	1,227,091	2,119,475
Plantations	5,898,309	7,498,494	7,983,311	13,533,934	12,205,752
Others	757,524	1,064,506	947,261	1,641,396	1,746,006
	36,230,793	43,231,519	51,556,263	77,080,849	75,895,448

The table below depicts the year-on-year sector wise profitability of the group.

For the Year Ended	Total Profit				
	2020 Rs.'000	2021 Rs.'000	2022 Rs.'000	2023 Rs.'000	2024 Rs.'000
Trading of Consumer	(1,151,526)	(742,511)	733,908	1,354,424	354,793
Trading of Industrial	(747,243)	(992,099)	(335,840)	1,127,120	(1,038,703)
Leisure	162,449	(1,879)	(270,275)	(312,695)	289,744
Plantations	(1,131,188)	(1,648,090)	244,764	2,671,899	745,347
Others	(297,113)	(321,670)	(427,228)	(308,536)	(290,350)
	(3,164,621)	(3,706,249)	(54,671)	4,532,211	60,831

LEISURE SECTOR

Leisure sector revenue has increased by 73% demonstrating resilience and adaptability in a challenging economic environment driven by a combination of increased occupancy rates and effective revenue management strategies. The higher revenue was primarily driven by securing better rates from the European markets such as France and Germany, along with Asian markets such as India and China during the winter season.

Throughout the year, the sector focused on enhancing the guest experience and streamlining operations. The group invested in staff training programs to ensure high-quality service delivery and the facilities at the property.

Marawila Resorts PLC, Beruwala Resorts PLC and Sigiriya Village Hotels PLC are the three main Companies that contribute to the performance of the Leisure Sector.

PLANTATIONS SECTOR

While the Sri Lankan economy is indicating signs of recovery, the global environment has become even more unpredictable. The ongoing conflict in the Middle East has the potential to expand which could result in lower demand and lower prices for Ceylon Tea as the Middle East is a major buyer. In 2024, the plantation industry will also commence negotiations for a new collective agreement, which could destabilize operations. A continuation of extreme/dry weather patterns are also expected in the new financial year.

Kotagala Plantations PLC has earned a revenue of Rs. 5.1 billion, same as the previous financial year.

Agarapatana Plantations PLC also has performed favorably during the year under review recording a profit before tax of Rs. 759 million.

OTHERS (INVESTMENT, TRAVEL & OTHER SECTORS)

The revenue of this Sector has increased by 6% during the year under review. Also, the loss has decreased by 6%. This sector mainly consists of Investment Companies including the parent Company, travel companies, power project and other companies that cannot be categorised under main sectors.

FUTURE OUTLOOK

The baseline forecast is for the world economy to continue growing at 3.2% during 2024 and 2025, which is at the same pace as in 2023. The forecast for global growth five years from now is at 3.1%, its lowest in several decades. Global inflation is forecast to decline steadily, from 6.8% in 2023 to 5.9% in 2024 and 4.5% in 2025, with

advanced economies returning to their inflation targets sooner than emerging markets and developing economies.

Risks to the global outlook are now broadly balanced. On the downside, new price spikes stemming from geopolitical tensions, including those from the prolonged war in Ukraine and the conflict in Gaza and Israel which flared up in October 2023, led to supply chain disruptions. On a positive note, looser fiscal policy than necessary and assumed projections could raise economic activity in the short term.

The Group will continue on a path towards innovation by constantly developing and launching new products to cater to evolving consumer needs while existing products will also be improved where necessary. This will put us on a sound footing to align better with changing consumer preferences and stay ahead of competitors. There will be a greater focus on streamlining supply chain processes with the goal of trimming costs, minimising waste, while also improving delivery speed and overall reliability. Greater investments will have to be made in branding and marketing efforts to enhance brand visibility, boost consumer engagement, and build loyalty.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group PLC is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relates to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing

on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

Currently the Board comprises of one Executive Director and seven Non- Executive Directors of whom four are Independent. The Directors possess the necessary expertise in the fields of finance and corporate management with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. S.D.R. Arudpragasam - *Chairman - Non-Executive*

Mr. C.P.R. Perera - *Deputy Chairman - Independent Non-Executive*

Mr. A. Rajaratnam - *Non-Executive (Deceased - 26.08.2023)*

Mr. Anushman Rajaratnam - *Group Managing Director - Executive*

Mr. A.M. de S. Jayaratne - *Independent Non-Executive*

Mr. P.M.A. Sirimane - *Independent Non-Executive*

Mr. Sanjeev Rajaratnam - *Non-Executive*

Mr. A.R. Rasiah - *Independent Non-Executive*
(Appointed w.e.f. 08.06.2023)

Mr. Amrit Rajaratnam - *Non-Executive*
(Appointed w.e.f. 29.11.2023)

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

The Board has met on four occasions during the year under review. In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

The attendance at Board meetings was as follows:

Mr. S.D.R. Arudpragasam	4/4
Mr. C.P.R. Perera	4/4
Mr. A. Rajaratnam - (Deceased - 26.08.2023)	0/2 - Excused
Mr. Anushman Rajaratnam	3/4
Mr. A.M. de S. Jayaratne	4/4
Mr. P.M.A. Sirimane	4/4
Mr. Sanjeev Rajaratnam	2/4
Mr. A.R. Rasiah - (Appointed w.e.f. 08.06.2023)	4/4
Mr. Amrit Rajaratnam - (Appointed w.e.f. 29.11.2023)	2/2

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorizing all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

The Directors have made themselves aware of applicable laws, rules and regulations and are aware of changes particularly to the Listing Rules and applicable Capital Market provisions.

Fit & Proper Assessment

The Company's fit and proper assessment for Directors is in line with the guidelines set out in the Listing Rules and include criteria on honesty, integrity and reputation, competence and capability and financial soundness. The Chairman and Directors satisfy the fit and proper assessment criteria stipulated in the Listing Rules of the CSE.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholders and other stakeholders.

Financial Acumen

Currently the Board includes six finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, four are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and possessing a high standing of integrity

Corporate Governance contd.

and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non-Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be "Independent" are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera, Mr. P.M.A. Sirimane and Mr. A.R. Rasiah are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. The said Directors have served on the Boards of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which have significant shareholdings in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of the Listed Entity for over a period of nine years. Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. A.R. Rasiah are over seventy years of age. Mr. P.M.A. Sirimane had been employed by a subsidiary company during the period of three years immediately preceding this appointment to the Board of CFLB. However, the Board having considered the fact that the said Directors are Independent of management and having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Directors - Other Directorships

The details pertaining to the names of the companies (in Sri Lanka) in which the Directors serve as a Director or Key Management Personnel are presented on pages 14 to 17.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee of the Company comprised of Mr. A.M. de S. Jayaratne, Chairman, Mr. C.P.R. Perera, Independent Non-

Executive Directors and Mr. S.D.R. Arudpragasam Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office (other than those appointed to the Office of Chairman, Chief Executive, Managing or Joint Managing Director) to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

During the financial year, the Remuneration Committee of the Company comprised of Mr. A.M. de S. Jayaratne, Chairman, Mr. C.P.R. Perera Independent Non-Executive Directors, and Mr. S.D.R. Arudpragasam Non- Executive Director.

A Directors fee is paid to all Directors.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 30 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings.

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

There have been no transactions during the year under review which fall within the definition of "Major Transactions" under Section 185 of the Companies Act No. 07 of 2007.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007.

The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are conducted to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee of the Company comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. C.P.R. Perera, Independent Non – Executive Directors and Mr. S.D.R. Aurdpragasam, Non- Executive Director.

The Report of the Audit Committee is set out on pages 27 and 28 of this Annual Report.

Related Party Transactions Review Committee

The Related Party Transactions are disclosed in Note 30 on pages 143 to 149.

The Report of the Related Party Transactions Review Committee appears on page 29.

Compliance status with the Colombo Stock Exchange Listing Rules on Corporate Governance

The Company's compliance status with the Colombo Stock Exchange Listing Rules on Corporate Governance is disclosed on pages 18 to 26.

Details of Directors' other Directorships

The following table illustrates the total number of Board seats held by each Director of the Company.

Abbreviations:

C - Chairman	GMD - Group Managing Director
DC - Deputy Chairman	MD - Managing Director
EC - Executive Chairman	JMD - Joint Managing Director
EX - Executive Director	CEO - Chief Executive Officer
NE - Non-Executive Director	D - Director
INE - Independent Non-Executive Director	Alt - Alternate Director

Corporate Governance contd.

COMPANIES		Mr. S.D.R. Arudpragasam		Mr. C.P.R. Perera		Mr. Anushman Rajaratnam		Mr. A Rajaratnam (Deceased - 26.08.2023)		Mr. A.M. de S. Jayaratne		Mr. Sanjeev Rajaratnam		Mr. P.M.A. Sirimane		Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)		Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)
The Colombo Fort Land and Building PLC	✓	C/NE	✓	DC/INE	✓	GMD/ EX	✓	NE	✓	INE	✓	NE	✓	INE	✓	INE	✓	NE
C M Holdings PLC*	✓	C/NE			✓	NE	✓	NE	✓	INE	✓	NE						
York Arcade Holdings PLC *	✓	C/NE			✓	NE			✓	INE	✓	NE					✓	NE
Lankem Ceylon PLC*	✓	C/NE			✓	EX							✓	INE				
Lankem Developments PLC*	✓	C/NE	✓	INE	✓	NE			✓	INE			✓	INE				
Kotagala Plantations PLC*	✓	C/NE	✓	DC/INE	✓	NE			✓	INE			✓	INE				
Agarapatana Plantations PLC*	✓	C/NE	✓	DC/INE	✓	NE			✓	INE			✓	INE				
E.B. Creasy & Company PLC*	✓	C/MD/ EX					✓	EX	✓	INE	✓	JMD/ EX	✓	NE	✓	INE		
Muller & Phipps (Ceylon) PLC*	✓	C/NE									✓	NE	✓	NE	✓	INE		
Laxapana PLC* (Formerly known as Laxapana Batteries PLC)	✓	C/NE									✓	NE	✓	NE	✓	INE		
Beruwala Resorts PLC*	✓	C/NE	✓	DC/INE	✓	NE					✓	NE			✓	INE	✓	NE
Marawila Resorts PLC*	✓	C/NE	✓	DC/INE	✓	NE					✓	NE			✓	INE	✓	NE
Sigiriya Village Hotels PLC*	✓	C/NE	✓	DC/INE	✓	NE					✓	NE			✓	INE	✓	NE
C W Mackie PLC*	✓	NE	✓	NE	✓	NE			✓	INE	✓	NE						
ACME Printing & Packaging PLC*	✓	NE			✓	NE							✓	INE				
Colombo Fort Investments PLC*	✓	C/NE			✓	NE	✓	C/NE	✓	INE	✓	NE	✓	INE			✓	NE
Colombo Investment Trust PLC*	✓	C/NE			✓	NE	✓	C/NE	✓	INE	✓	NE	✓	INE			✓	NE
Alliance Five (Private) Limited*	✓	C			✓	D							✓	D				
American Lloyd Travels Limited*	✓	D			✓	D					✓	D					✓	D
Associated Farms (Private) Limited*	✓	C																
ACME Packaging Solutions (Pvt) Limited*	✓	D			✓	D							✓	D				
B.O.T. Hotel Services (Private) Limited*	✓	C							✓	D	✓	D					✓	D
C. F. Travels Limited*											✓	D					✓	D
C. W. M. Hotels Holdings Limited	✓	D			✓	D			✓	D								
Candy Delights Limited*	✓	C/MD							✓	D	✓	JMD	✓	D	✓	D		
Capital Finance Limited							✓	D			✓	D						
Capital Investments Limited*	✓	D					✓	D										
Capital Leasing Company Limited*	✓	C			✓	D							✓	D				
Century Equity Trust Limited (Formerly known as Century Investments and Finance Ltd)	✓	D																
Ceyflex Rubber Limited*	✓	C									✓	D	✓	D				
Ceylon Tapes (Private) Limited*	✓	C			✓	D							✓	D				
Ceytape (Private) Limited*	✓	C			✓	D							✓	D				
Colombo Fort Group Services (Pvt) Limited*	✓	D			✓	D							✓	D				
Colombo Fort Holdings Limited*	✓	D					✓	D			✓	D						
Colombo Fort Hotels Limited*	✓	C			✓	D					✓	D					✓	D

COMPANIES	Mr. S.D.R. Arudpragasam		Mr. C.P.R. Perera		Mr. Anushman Rajaratnam		Mr. A Rajaratnam (Deceased - 26.08.2023)		Mr. A.M. de S. Jayaratne		Mr. Sanjeev Rajaratnam		Mr. P.M.A. Sirimane		Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)		Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)	
Colombo Fort Properties (Private) Limited*					✓	D	✓	D										
Colombo Fort Travels Limited*	✓	D									✓	D					✓	D
Colombo Residencies (Private) Limited	✓	D										D						
Colonial Motors (Ceylon) Limited*	✓	DC			✓	D			✓	C	✓	D						
Company Holdings (Private) Limited	✓	D					✓	D			✓	D						
Consolidated Commercial Investments (Private) Limited					✓	D	✓	D			✓	D					✓	D
Consolidated Holdings (Private) Limited	✓	D			✓	D	✓	D										
Consolidated Tea Plantaions Limited*	✓	D	✓	D	✓	D	✓	C	✓	D			✓	D				
Consolidated Trust (Private) Limited							✓	D										
Corporate Systems Limited*	✓	C									✓	D						
Creasy Plantation Management Limited*	✓	D					✓	C										
Darley Butler & Company Limited*	✓	C/MD							✓	D	✓	JMD	✓	D	✓	D		
E B Creasy Ceylon (Private) Limited*	✓	C									✓	D	✓	D				
E. B. Creasy Logistics Limited*	✓	C									✓	D	✓	D				
E.B. Creasy Trading Limited*	✓	D									✓	D						
Far Eastern Exports (Colombo) Limited*	✓	D			✓	D											✓	D
Financial Trust Limited					✓	D	✓	D			✓	D					✓	D
Fortland Finance Limited	✓	C					✓	D			✓	D						
Galle Fort Hotel (Private) Limited*	✓	D			✓	D					✓	D					✓	MD
Guardian Asset Management Limited*	✓	D									✓	D						
Great Eastern Resorts Ltd					✓	D					✓	D					✓	D
Group Three Associates (Private) Limited*	✓	C									✓	D						
Horton Plains Resorts and Spa Limited					✓	D											✓	D
Imperial Hotels Limited*	✓	C			✓	D					✓	D					✓	D
J.F. Packaging Limited*	✓	C			✓	D							✓	D				
JF Ventures Limited*	✓	C			✓	D							✓	D				
Kiffs (Private) Limited*	✓	C			✓	D							✓	D				
Lake Investments (Private) Limited																	✓	D
Lanka Special Steels Limited*	✓	C									✓	D	✓	D				
Lankem Agrochemicals Limited*	✓	C			✓	D												
Lankem Cargo Storage Limited*	✓	D			✓	D												
Lankem Chemicals Limited*	✓	C			✓	D												
Lankem Consumer Products Limited*	✓	C			✓	D												
Lankem Exports (Private) Limited*	✓	C																
Lankem Minerals Limited*	✓	D			✓	D							✓	D				
Lankem Paints Limited*	✓	C			✓	D												
Lankem Plantation Services Limited*	✓	D					✓	C										
Lankem Research Limited*	✓	C			✓	D												

Corporate Governance contd.

COMPANIES	Mr. S.D.R. Arudpragasam		Mr. C.P.R. Perera		Mr. Anushman Rajaratnam		Mr. A Rajaratnam (Deceased - 26.08.2023)		Mr. A.M. de S. Jayaratne		Mr. Sanjeev Rajaratnam		Mr. P.M.A. Sirimane		Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)		Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)	
Lankem Tea & Rubber Plantations (Pvt) Limited*	✓	C	✓	D	✓	D	✓	D	✓	D			✓	D				
Lankem Technology Services Limited*	✓	C																
Maitland & Knox (Private) Limited	✓	D			✓	D					✓	D					✓	D
Mayfield Investments (Private) Limited					✓	D	✓	C										
Motor Mart Ceylon (Private) Limited*	✓	D			✓	D					✓	D						
Muller & Phipps (Health Care) Limited* (Formally known as Pettah Pharmacy (Pvt) Ltd)	✓	C									✓	D	✓	D	✓	D		
Nature's Link Limited*	✓	C																
Nutriklim (Ceylon) Limited*	✓	D									✓	D						
Oakley Investments (Private) Limited	✓	D			✓	D	✓	D			✓	D					✓	D
Property and Investment Holdings (Private) Limited	✓	D			✓	D					✓	D					✓	D
Rubber & Allied Products (Colombo) Limited*	✓	C	✓	D	✓	D			✓	D			✓	D				
Sherwood Holidays Limited*	✓	C									✓	D					✓	D
Sigiriya Resorts Limited					✓	D					✓	D					✓	D
SunAgro Farms Limited*	✓	C			✓	D												
SunAgro LifeScience Limited*	✓	C			✓	D							✓	D				
Sunrise Resorts Limited					✓	D					✓	D					✓	D
Teacom (Private) Limited*	✓	C			✓	D											✓	D
Transways (Private) Limited*					✓	D					✓	D					✓	D
Tropical Beach Resorts Limited					✓	D					✓	D					✓	D
Udaveriya Plantations Limited	✓	D			✓	D	✓	C										
Unicom Clearing and Forwarding (Private) Limited*	✓	C			✓	D											✓	D
Union Commodities (Private) Limited*	✓	C			✓	D			✓	D			✓	D			✓	D
Union Commodities Exports (Pvt) Limited*	✓	C			✓	D											✓	D
Union Commodities Teas (Pvt) Limited*	✓	C			✓	D											✓	D
Union Group (Private) Limited*	✓	D			✓	D												
Union Investments (Private) Limited*	✓	D			✓	D	✓	D	✓	D	✓	D						
Vanya Safaris (Private) Limited																	✓	D
Villa Investments (Private) Limited							✓	D			✓	D						
Voyages Ceylan (Private) Limited*					✓	D					✓	D					✓	D
Waverly Power (Private) Limited*	✓	C	✓	D	✓	D			✓	D	✓	D	✓	D			✓	D
Weligama Hills Limited	✓	D			✓	D												
York Conventions (Private) Limited					✓	D					✓	D					✓	D
York Hotel Management Services Limited*	✓	C			✓	D					✓	D					✓	MD
York Tours Limited*					✓	D					✓	D					✓	D

COMPANIES	Mr. S.D.R. Arudpragasam		Mr. C.P.R. Perera		Mr. Anushman Rajaratnam		Mr. A Rajaratnam (Deceased - 26.08.2023)		Mr. A.M. de S. Jayaratne		Mr. Sanjeev Rajaratnam		Mr. P.M.A. Sirimane		Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)		Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)	
Sterling Steels (Pvt) Limited* (Formerly known as BlueScope Lysaght Lanka (Private) Limited)	✓	D									✓	D	✓	D				
Kelani Valley Canneries Limited*					✓	D												
Sunquick Lanka (Pvt) Limited*					✓	D												
Sunquick Lanka Properties (Pvt) Limited*					✓	D												
Insite Holdings (Private) Limited			✓	C														
Insite Factories (Private) Limited			✓	C														
Ceylon Tea Brokers PLC			✓	INE														
Logicare (Private) Limited			✓	D														
Tempest P E Partners (Pvt) Limited			✓	D														
ACL Cables PLC								✓	INE									
Mireka Capital Land (Pvt) Limited								✓	D									
Overseas Realty (Ceylon) PLC								✓	C/ INE									
Innovest Investments (Pvt) Limited								✓	D									
Hela Apparel Holdings PLC															✓	C/ INE		
Gestetner of Ceylon PLC															✓	Alt		
Atlas Axillia Company (Pvt) Ltd															✓	Alt		
Clindata Lanka (Pvt) Ltd															✓	D		
Fintek Managed Solutions (Pvt) Ltd															✓	D		

Notes:

Mr. Alagarajah Rajaratnam functioned as the Non-Executive Chairman of Colombo Fort Investments PLC and Colombo Investment Trust PLC until his demise on 26.08.2023. Consequent to his demise Mr. S.D.R. Arudpragasam was appointed as the Non-Executive Chairman of the said companies with effect from 01.09.2023.

The companies marked with an * are Subsidiaries or Associates of The Colombo Fort Land & Building Group

Corporate Governance contd.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE

Rule		Adherence
9.2	POLICIES	
9.2.1	Establish and maintain the following policies	To be complied w.e.f. 01.10.2024
	a) Matters relating to the Board of Directors b) Board Committees c) Corporate Governance, Nominations and Re-election d) Remuneration e) Internal Code of Business Conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities f) Risk management and Internal controls g) Relations with Shareholders and Investors h) Environmental, Social and Governance Sustainability i) Control and Management of Company Assets and Shareholder Investments j) Corporate Disclosures k) Whistleblowing l) Anti-Bribery and Corruption	
9.2.2.	Any waivers from compliance with the Internal code of business conduct and ethics or exemptions granted by the Listed Entity shall be fully disclosed in the Annual Report	
9.2.3.	Listed entities shall disclose in its Annual Report. (i) The list of policies that are in place in conformity rule 9.2.1. above with reference to its website. (ii) Details pertaining to any changes to policies adopted by the Listed Entities in compliance with Rule 9.2 above	
9.2.4.	Listed Entities shall make available all such policies to shareholders upon written request being made for any such Policy.	
9.3	BOARD COMMITTEES	
9.3.1	Establishment of Committee	
	(a) Nominations and Governance Committee (b) Remuneration Committee (c) Audit Committee (d) Related Party Transactions Review Committee.	Nominations Committee established Complied Complied Complied
9.3.2	Compliance with composition, responsibilities and disclosures required in respect of the above Board committees	Complied
9.3.3	The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees	Complied
9.4	ADHERENCE TO PRINCIPLES OF DEMOCRACY IN THE ADOPTION OF MEETING PROCEDURES AND THE CONDUCT OF ALL GENERAL MEETINGS WITH SHAREHOLDERS	
9.4.1	Maintain records of all resolutions and the following information upon a resolution being considered at any General Meeting (a) The number of shares in respect of which proxy appointments have been validly made; (b) The number of votes in favour of the resolution; (c) The number of votes against the resolution; and (d) The number of shares in respect of which the vote was directed to be abstained.	Complied
9.4.2.	Communication and relations with shareholders and investors a) Have a policy on effective communication and relations with shareholders and investors b) Disclose the contact person for such communication. c) Policy on relations with shareholders and investors shall include a process to make all Directors aware of major issues and concerns of shareholders	To be complied w.e.f. 01.10.2024
	d) When conducting of any shareholder meetings through virtual or hybrid means, compliance with the Guidelines issued by the Exchange	Complied

Rule		Adherence
9.5	POLICY ON MATTERS RELATING TO THE BOARD OF DIRECTORS	
9.5.1	Establish and maintain formal policy governing matters relating to the Board a) Composition and Board Balance (Executive and Non-Executive), Role and function of Chairman and CEO and Procedure for Appraisal of Board Performance and appraisal of CEO b) Where Role of Chairman and CEO are combined Appointment of SID-Establish Board Charter inclusive of functions and safeguards for SID c) Board diversity – experience, skills, competencies, age, gender, industry requirements d) Maximum number of Directors and rationale e) Frequency of Board meetings f) Mechanisms for ensuring that Directors are kept abreast of the Listing Rules and on-going compliance and/or non-compliance g) Specify the minimum number of meetings, in numbers and percentage, that a Director must attend, h) Requirements relating to trading in securities of the Listed Entity and its listed group Companies and disclosure of such requirements i) Specify the maximum number of directorships in Listed Entities that may be held by Directors. j) Participation at meeting of the Board and Board committees by audio visuals means and participation to be taken into account when deciding the quorum.	To be complied w.e.f. 01.10.2024
9.5.2	Confirm compliance of 9.5.1. in Annual Report – If non compliant provide explanations with reasons and proposed remedial action.	
9.6	CHAIRPERSON AND CEO	
9.6.1	Chairperson shall be a Non-Executive Director Chairperson and CEO shall not be held by the same individual, unless otherwise a SID is appointed	Complied Not Applicable
9.6.2	Market Announcement in the event Chairperson is an Executive Director and / or the positions of Chairman and CEO are held by the same individual.	Not Applicable
9.6.3	The Requirement for a SID	
	(a) Appoint of an Independent Director as the SID in the following instances: i. The positions of the Chairperson and CEO are held by the same individual. ii. The Chairperson is an Executive Director. iii. The Chairperson and CEO are Close Family Members or Related Parties (b)-(e) Responsibilities and duties of SID	Not Applicable
9.6.4	Set out the rationale for appointment of SID in the Annual Report	Not Applicable
9.7	FITNESS OF DIRECTORS AND CEOS	
9.7.1	a) Listed Entities shall ensure that the Directors and CEO are at all times fit and proper persons as required in terms of these Rules. b) In evaluating fitness and propriety of the persons referred in these Rules. Listed Entities shall utilize the Fit and Proper Assessment Criteria set out in Rule 9.7.3 below.	Complied
9.7.2	Listed Entities shall ensure that the persons recommended by the Nominations and Governance Committee as Directors are fit and proper before such nominations are placed before Shareholders' meeting or appointments are made.	Refer page 11 - Corporate Governance Report
9.7.3	'Fit and Proper Assessment Criteria' set out in Rule 9.7.3 a) Honesty, Integrity and Reputation – (i)-(vii) b) Competence and Capability –(i)-(ii) c) Financial Soundness –(i)-(iii)	Complied
9.7.4	Declarations to be obtained from Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in the Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation.	Complied
9.7.5	Disclosures in the Annual Report (a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria (b) Any non-compliance/s and remedial action taken to rectify non compliance	Complied Not Applicable

Corporate Governance contd.

Rule		Adherence
9.8	BOARD COMPOSITION	
9.8.1	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors.	Complied
9.8.2	Minimum Number of Independent Directors: (a) At least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors at any given time, whichever is higher. (b) Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change.	Complied Not Applicable
9.8.3	Criteria for determining independence:	
	A Director shall not be considered independent if he/she: (i) Has been employed by the Listed Entity during the period of three (3) years immediately preceding appointment as Director (ii) Currently has/had during the period of three (3) years immediately preceding appointment as a Director, a Material Business Relationship with the Listed Entity, whether directly or indirectly. (iii) Currently has/had during the preceding financial year a close Family Member who is a Director and/or CEO in the Listed Entity. (iv) Has a Significant Shareholding in the Listed Entity. (v) Has served an aggregate period of nine (9) years on the Board of the Listed Entity from the date of the first appointment. (vi) Is employed in another Company or business; a) In which a majority of the other directors of the Listed Entity are employed or are directors; or b) In which a majority of the other directors of the Listed Entity have a Significant Shareholding or Material Business Relationship; or c) That has a Significant Shareholding in the Listed Entity or with which the Listed Entity has a Business Connection. (vii) Is a director of another Company; a) In which a majority of the other Directors of the Listed Entity are employed or are Directors; or b) That has a Business Connection in the Listed Entity or a Significant Shareholding. (viii) Has a Material Business Relationship or a Significant Shareholding in another company or business; a) In which a majority of the other Directors of the Listed Entity are employed or are Directors; and/or b) Which has a Business Connection with the Listed Entity or Significant Shareholding in the same; and/or c) Where the core line of business of such Company is in direct conflict with the line of business of the Listed Entity. (ix) Is above the age of seventy (70) years.	Complied and where independence is impaired declared to be nevertheless independent
9.8.5	The Board of Directors of Listed Entities shall require:	
	(a) Each Independent Director to submit a signed and dated declaration annually (b) Make an annual determination as to the "independence" or "non-independence" of each Independent Director and set out the names of Directors determined to be 'independent' in the Annual Report. (c) If independence is impaired against any of the criteria set out in Rule 9.8.3, an immediate Market Announcement is required	Complied Complied Declared as nevertheless Independent
9.9	ALTERNATE DIRECTORS	
	Compliance with the following requirements and such requirements shall also be incorporated into the Articles of Association a) Alternate Directors shall only be appointed in exceptional circumstances and for a maximum period of one (1) year from the date of appointment b) If an Alternate Director is appointed for a Non-Executive Director such alternate should not be an executive Director of the Listed Entity. c) If an Alternate Director is appointed by an Independent Director, the person so appointed should meet the criteria of independence The Nominations and Governance Committee shall review and determine that the person nominated as the alternate would qualify as an Independent Director before such appointment is made. d) Immediate Market Announcement regarding the appointment of an Alternate Director e) Attendance of Alternate Director to be counted for the purpose of quorum at Board and Board Committee meetings.	Complied The Proposed Amendments to the Articles of Association is carried under special Business in the Notice of Meeting in this Annual Report.

Rule		Adherence
9.10.	DISCLOSURES RELATING TO DIRECTORS	
9.10.1	Disclose its policy on the maximum number of directorships in Listed Entities Board members shall be permitted to hold as per Rule 9.5.1. Non compliance to be reported in the Annual Report.	To be complied w.e.f. 01.10.2024
9.10.2	Market announcement on appointment of new Director	Complied
9.10.3	Immediate Market Announcement regarding any changes to the composition of the Board Committees	There were no changes to the composition of the Committees in 2023/2024
9.10.4	Disclosure in Annual Report - Directors details	
	▪ Name, qualifications and brief profile ▪ Nature of his/her expertise in relevant functional areas ▪ Whether either the Director or Close Family Members has any material business relationships with other Directors ▪ Whether Executive, Non-Executive and/or independent Director ▪ Total number and names of Companies in Sri Lanka in which the Director concerned serves as a Director and/or KMP stating whether listed or unlisted, whether functions as executive or non-executive (If the directorships are within the Group names need not be disclosed) ▪ Number of Board meetings attended ▪ Names of Board Committees in which the Director serves as Chairperson or a member ▪ Attendance of committee meetings ▪ TOR and powers of SID	Complied
		Not Applicable
9.11	NOMINATIONS AND GOVERNANCE COMMITTEE	
9.11.1	Establishment of Nominations and Governance Committee	
9.11.2	Maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee.	Refer page 12 – Corporate Governance Report. New Rules relating to Nominations and Governance Committee to be complied w.e.f. 01.10.2024
9.11.3	Written terms of reference	
9.11.4	Composition	
	(1) The members of the Nominations and Governance Committee shall; (a) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors. (b) Not comprise of Executive Directors of the Listed Entity (2) An Independent Director shall be appointed as the Chairperson (3) Identify Members in the Annual Report	
9.11.5	Functions	
	(i) Evaluate the appointment of Directors to the Board of Directors and Board Committees (ii) Recommend (or not recommend) the re-appointment/ re-election of current Directors (iii) Establish and Maintain a formal and transparent procedure to evaluate, select and appoint/re-appoint Directors (iv) Establish and maintain a set of criteria for selection of Directors (v) Establish and maintain a suitable process for the periodic evaluation of the performance of the Board of Directors and the CEO of the Entity to ensure that their responsibilities are satisfactorily discharged. (vi) Develop a succession plan for the Board of Directors and Key Management Personnel (vii) Review the structure, size and composition of the Board and Board Committees with regard to effective discharge of duties and responsibilities (viii) Review and recommend the overall corporate governance framework of the Listed Entity taking into account the Listing Rules of the Exchange, other applicable regulatory requirements and industry/international best practices.	

Corporate Governance contd.

Rule		Adherence
9.11.5 Contd.	(ix) Periodically review and update the Corporate Governance Policies / Framework of the Entity in line with the regulatory and legal developments relating to same, as a best practice. (x) Receive reports from the Management on compliance with the corporate governance framework of the Entity including the Entity's compliance with provisions of the SEC Act, Listing Rules of the Exchange and other applicable laws, together with any deviations/non-compliances and the rational for same.	Refer page 12 – Corporate Governance Report. New Rules relating to Nominations and Governance Committee to be complied w.e.f. 01.10.2024
9.11.6	Disclosures in Annual Report Nomination & Governance Committee Report and contents to be incorporated -Sections (a)-(m)	
9.12	REMUNERATION COMMITTEE	
9.12.1	The term “remuneration” shall make reference to cash and all non-cash benefits whatsoever received	Refer page 12 - Corporate Governance Report and Remuneration Committee Report on page 30
9.12.2	Establishment of Remuneration Committee	
9.12.3	Establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of individual Directors. No Director shall be involved in fixing his/her own remuneration.	
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired.	
9.12.5	Written terms of reference	
9.12.6	Composition	
	(1) The members of the Remuneration Committee shall;	
	(a) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors. (b) Not comprise of Executive Directors of the Listed Entity	
	(2) Where both the Parent Company and the subsidiary are 'Listed Entities', the Remuneration Committee of the Parent Company may be permitted to function as the Remuneration Committee of the subsidiary.	
	(3) An Independent Director shall be appointed as the Chairperson.	
9.12.7	Functions	
	(1) Recommend the remuneration payable to the Executive Directors and CEO of the Listed Entity and/or equivalent position thereof to the Board of the Listed Entity which will make the final determination upon consideration of such recommendations. (2) Engage any external Consultant or expertise that may be considered necessary to ascertain or assess the relevance of the remuneration levels applicable to Directors and CEO.	
9.12.8	Disclosure in Annual Report	
	a) Names of the Chairperson and members of the Remuneration Committee and the nature of directorships held by such members (or persons in the Parent Company's Remuneration Committee in the case of a Group Company); (b) A statement regarding the remuneration policy; and, (c) The aggregate remuneration of the Executive and Non-Executive Directors	
9.13	AUDIT COMMITTEE	Refer Audit Committee Report
9.13.1	Where Listed Entities do not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Listed Entities shall additionally perform the Risk Functions	Complied with Rules prior to revision on 01/10/2023 (i.e. Rule 7.10.6. (a) and (b))
9.13.2	Written terms of reference	Complied
9.13.3	Composition	Complied
	(1) The members of the Audit Committee shall;	
	(a) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors. (b) Not comprise of Executive Directors of the Listed Entity	

Rule		Adherence
9.13.3 Contd.	(2) Quorum - requires that the majority of those in attendance to be independent Directors.	Complied with Rules prior to revision on 01.10.2023 (i.e Rule 7.10.6 (a) and (b))
	(3) Compulsorily to meet on a quarterly basis prior to recommending the financials to be released to the market.	Complied
	(4) If both the Parent Company and the subsidiary are 'Listed Entities' the Audit Committee of the Parent Company may function as the the Audit Committee of the subsidiary.	Not Applicable
	(5) An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors.	Complied
	(6) Unless otherwise determined by the Audit Committee, the CEO and the Chief Financial Officer (CFO) of the Listed Entity shall attend the Audit Committee meetings by invitation. Provided however where the Listed Entity maintains a separate Risk Committee, the CEO shall attend the Risk Committee meetings by invitation.	Refer Audit Committee Report on page 27 and 28
	(7) The Chairperson of the Audit Committee shall be a Member of a recognized professional accounting body. Provided however, this Rule shall not be applicable in respect of Risk Committees where a Listed Entity maintains a separate Risk Committee and Audit Committee.	Complied
9.13.4	Functions Detailed in Rule (1) (i) –(xiii) and (2)	Complied with Rules prior to revision on 01/10/2023 (i.e Rule 7.10.6(b))
9.13.5	Disclosures in Annual Report	Complied with Rules prior to revision on 01/10/2023 (i.e Rule 7.10.6(c))
	Audit Committee Report	
	▪ Names of chairperson and members with nature of directorships	
	▪ Status of risk management and internal control – Company and Group	
	▪ Statement on CEO and CFO assurance on operations and finances	
	▪ Opinion on compliance with Financial reporting requirements, information requirements under the Listing Rules, Companies Act, SEC Act and any other requirements.	
	▪ Availability of formal Audit Charter	
	▪ Internal audit assurance and summary of the work internal audit	
	▪ Details demonstrating effective discharge of functions and duties	
	▪ Statement on external auditors' assurance on their independence	
	▪ Confirmation on determining auditor's independence	
9.14	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE	Refer Related Party Transactions Review Committee Report
9.14.1.	Establishment of Committee Listed Entities shall have a Related Party Transactions Review Committee that conforms to the requirements set out in Rule 9.14 of these Rules	Complied
9.14.2	Composition (1) The Related Party Transactions Review Committee shall comprise of; ▪ Minimum three (03) Directors out of which a minimum of two (02) members shall be Independent Directors ▪ May comprise of Executive Directors ▪ An Independent Director shall be appointed as the Chairperson	Complied
	(2) Parent Company may function as RPTRC (Applicable only up to 30.09.2024)	Not Applicable
9.14.3	Functions	
	(1) Committee shall be responsible for reviewing the Related Party Transactions (2) Objective - ensure that the interests of shareholders as a whole are taken into account when entering into Related Party Transactions. (3) The objective and the economic and commercial substance of the Related Party Transactions should take precedence over the legal form and technicality. (4) Establish and maintain a clear policy, procedure and process in place for the identification, clarification and reporting the Related Party Transactions on an end-to-end basis across the Entity's operations	Complied

Corporate Governance contd.

Rule		Adherence
9.14.4	General Requirements	
	(1) The Related Party Transactions Review Committee shall meet at least once a calendar quarter. It shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied
	(2) Should ensure having access to, enough knowledge or expertise to assess or aspects of proposed Related Party Transactions, and where necessary obtain appropriate professional and expert advice from appropriately qualified person when necessary.	
	(3) Board of Directors to approve RPT when required by the committee	
	(4) If a Director has a material personal interest in a matter being considered at a Board Meeting to approve a Related Party Transaction as required in Rule 9.14.4(3), such Director shall not: (a) be present while the matter is being considered at the meeting; and, (b) vote on the matter.	Not Applicable
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	
9.14.6	Shareholder Approval	
	1. Listed Entities shall obtain shareholder approval by way of a Special Resolution for the following Related Party Transaction. a) Non-recurrent transactions i) Transactions exceeding one third (1/3) of the Total Assets as per the latest Audited Financial Statements ii) Transactions exceeding one third (1/3) of the Total Assets as per the latest Audited Financial Statements when aggregated with other non- recurrent transactions entered into with the same Related Party during the same financial year iii) Acquisition of substantial asset from, or disposal of a substantial asset to, any Related Party of the Entity or its associates b) Recurrent transactions (i) One third (1/3) of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements; or (ii) One third (1/3) of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the Entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same Financial year; and; (iii) The transactions are not in the ordinary course of business and in the opinion of the Related Party Transactions Review Committee, are on terms favorable to the Related Party than those generally available to the public.	Not Applicable
9.14.7	Disclosures	
	(1) Immediate Disclosures A Listed Entity shall make an immediate Market Announcement to the Exchange (a) Any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements; or (b) Of the latest transaction, if the aggregate value of all non- recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements. Subsequent non-recurrent transactions which exceed 5% of the Equity of the Entity, entered into with the same Related Party during the Financial year.	Complied
9.14.8	Disclosures in the Annual Report	Complied

Rule		Adherence
9.14.9	Acquisition and Disposal of Assets From/to Related Parties	
	1) Shareholder approval is required by Special Resolution for the acquisition from or disposal of substantial assets to Related Companies by the Listed Entity or any of its subsidiaries. [Subject to exemptions as per Rule 9.14.9 (3)] 2) Substantial Value of the asset or the value of the consideration relating to such asset exceeds 1/3 of the Total Assets. (3) Rule 9.14.9(1) does not apply to: a) Transactions between the Listed entity and a wholly owned subsidiary. b) Transaction between wholly owned subsidiaries of the Listed Entity. c) Takeover offer made by the Listed Entity in accordance with Takeovers and Mergers Code 1995 (as amended). d) Any transaction entered into by the Listed Entity with a bank as principal, on arm's length terms and in the ordinary course of it's banking business. (4) a) The Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration. b) Person who is in the same group of the Listed Entity or significant interest in or financial connection with the Listed Entity or the relevant Related Party shall not be eligible to give such advice. (5) Independent advice obtained should be circulated with the notice of meeting to obtain the shareholder approval (6) The competent independent advice required in terms of Rule 9.14.9 (4) shall include: a) Key assumptions, conditions or restrictions that impact the estimate value. b) The different valuation methodologies considered in valuing the subject asset/s and justification for adopting one or more of them in the valuation. c) Sources of information relied upon for the valuation. d) Identity of individuals participating in the valuation assignment and their qualifications. e) Confirmation of the independence of the parties participating in the advice. f) A statement as to whether the transaction is on usual commercial terms, in ordinary and usual course of business, fair and reasonable and in the interests of the Listed Entity and its shareholders.	Not Applicable
9.14.10	Exempted Related Party Transactions	
	(a) Subject to Rule 9.14.8 (2), transactions with Related Parties which are recurrent, of revenue or trading nature and which is necessary for day-to-day operations of a Listed Entity or its subsidiaries and, in the opinion of the Related Party Transactions Review Committee, terms are not favorable to the Related Party than those generally available to the public. (b) The payment of dividend, issue of Securities by the Listed Entity by way of a capitalization of reserves, the exercise of Rights, options or warrants (subject to Rules contained in Section 5 and 7 of these Rules), sub-division of shares or consolidation of shares. (c) The grant of options, and the issue of Securities pursuant to the exercise of options, under an employee share option scheme/employees share purchase scheme (subject to Rule 5.6 of these Rules). (d) A transaction in marketable securities carried out in the open market where the counterparty's identity is unknown to the Listed Entity at the time of the transaction. (e) The provision or receipt of financial assistance or services, upon usual commercial terms and in the ordinary course of business, from a Company whose activities are regulated by any written law relating to licensed banks, Finance Companies or insurance Companies or are subject to supervision by the Central Bank of Sri Lanka or Insurance Board of Sri Lanka. (f) Directors' fees and remuneration, and employment remuneration	Complied

Corporate Governance contd.

Rule		Adherence
9.16	ADDITIONAL DISCLOSURES BY BOARD OF DIRECTORS	
	▪ Declared all material interests in contracts involving the entity and that they have refrained from voting on matters in which they were materially interested ▪ Conducted a review of the internal controls covering Financial, operational and compliance controls and risk management and obtained reasonable assurance of their effectiveness and successful adherence, and, if unable to make any of these declarations an explanation on why it is unable to do so; ▪ Made arrangement to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions; ▪ Disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations.	Complied Refer Annual Report of the Board of Directors and Corporate Governance Report
9.17	ENFORCEMENT PROCEDURE FOR NON-COMPLIANCE WITH CORPORATE GOVERNANCE REQUIREMENTS	
	Immediate Market Announcement on non compliance in the event of failure to comply with any of the requirements contained in Rules 9.2.1, 9.8.2, 9.11.4, 9.12.6, 9.13.3 or 9.14.2 about such non-compliance within one (1) Market Day from the date of the non-compliance. Announcement shall be repeated on the first (1st) Market Day of each calendar month until the Entity becomes compliant with these Rules.	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

ROLE OF THE AUDIT COMMITTEE

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

COMPOSITION

During the financial year ended 31st March 2024 the Company's Audit Committee comprised of the following members:

Mr. A.M. de S. Jayaratne - *Chairman - Independent Non-Executive*
Mr. S.D.R. Arudpragasam - *Member - Non-Executive*
Mr. C.P.R. Perera - *Member - Independent Non-Executive*

The Chairman of the Committee, Mr. A.M. de S. Jayaratne, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales.

The Committee has a blend of experience in the commercial sector with financial expertise, and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

MEETINGS AND ATTENDANCE

The Audit Committee has met on five occasions during the financial year ended 31st March, 2024 and the attendance was as follows:

Mr. A.M. de S. Jayaratne - <i>Chairman</i>	4/5
Mr. S.D.R. Arudpragasam	5/5
Mr. C.P.R. Perera	4/5

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries and the Group Managing Director, and other Directors and Senior Managers from the Group are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

TERMS OF REFERENCE

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- Risk Management.
- Efficiency of the system of internal controls.
- Independence and objectivity of the External (Statutory) Auditors.
- Appropriateness of the principal accounting policies used.
- Financial Statement integrity.

Audit Committee Report contd.

COMPLIANCE

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

GROUP INTERNAL AUDIT

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

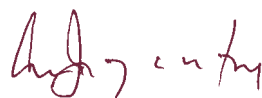
EXTERNAL AUDIT

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2024 and the services provided by them are segregated between audit/ assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. KPMG Chartered Accountants has also issued a declaration as required by the Companies Act No.7 of 2007, that they do not have any relationship or interest in any of the Companies in the Group which may have a bearing on the independence of their role as Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2025 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

CONCLUSION

The Audit Committee is satisfied that the effectiveness of the organizational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.



A.M. de S. Jayaratne
Chairman
Audit Committee

02nd September 2024

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

COMPOSITION

During the financial year ended 31st March 2024, the Related Party Transactions Review Committee of the Company comprised of the following members:

Mr. A.M. de S. Jayaratne - Chairman/Independent Non-Executive
Mr. S.D.R. Arudpragasam - Member/Non-Executive
Mr. C.P.R. Perera - Member/Independent Non-Executive

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

MEETINGS OF THE COMMITTEE

The RPTRC has met on four occasions during the financial year ended 31st March 2024 and the attendance was as follows:

Mr. A.M. de S. Jayaratne	3/4
Mr. S.D.R. Arudpragasam	4/4
Mr. C.P.R. Perera	4/4

Meetings of the RPTRC have been held in each quarter of the financial year. In addition to these Meetings on several occasions Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views and proceedings of meetings of the Related Party Transactions Review Committee are duly documented and minuted and submitted to the Board of Directors.

POLICIES, PROCEDURES AND FUNCTIONS OF THE COMMITTEE

The Policies and Procedures adopted by the Related Party Transactions Review Committee when reviewing and recommending transactions are consistent with Section 9.14 of the Listing Rules of the Colombo Stock Exchange.

The Functions of the Committee are as Follows:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow ongoing dealings with Related Parties.

- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

CONCLUSION

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9.14 of the Colombo Stock Exchange Listing Rules. However, the non-recurrent related party transaction which exceeded the respective threshold is duly set out in Note 30.5 on page 146 of the Annual Report. The Company has complied with the requirements of the Listing Rules on Related Party Transactions.



A.M. de S. Jayaratne
Chairman
Related Party Transactions Review Committee

02nd September 2024

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - *Chairman / Independent Non-Executive*

Mr. S.D.R. Arudpragasam - *Member / Non-Executive*

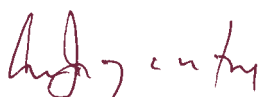
Mr. C.P.R. Perera - *Member / Independent Non-Executive*

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB as required to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries. The Committee met once during the financial year and all members were present at the Meeting.

The key objective of the Committee is to attract, motivate and retain qualified and experienced personnel throughout the Group and to ensure that the remuneration of Executives at each level of management is competitive and are rewarded in a fair manner based on their performance and having regard to comparable market statistics and the operating results of the companies within the Group.



A.M. de S. Jayaratne
Chairman
Remuneration Committee

02nd September 2024

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2024.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review and Management Discussion and Analysis which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws, regulations and prudential requirements and that there are no material non-compliances.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 42 to 167.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on pages 36 to 41.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 47 to 63.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 30 'Related Party Transactions', on pages 143 to 149.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

During the financial year the Company has not entered into any contracts in which the Directors have had a material interest. Neither the Directors nor their close family members have had any material business relationship with other Directors.

DIRECTORS' INTEREST IN SHARES

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act of No.07 of 2007.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2024	No. of shares as at 31.03.2023
Mr. S.D.R. Arudpragasam	-	-
Mr. A. Rajaratnam (Deceased - 26.08.2023)	N/A	-
Mr. C.P.R. Perera	10,000	10,000
Mr. Anushman Rajaratnam	67,865	-
Mr. A.M. de S. Jayaratne	200,666	200,666
Mr. S. Rajaratnam	2,450,000	2,225,000
Mr. P.M.A. Sirimane	-	-
Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)	-	N/A
Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)	1,065,690	N/A

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2023/2024 is given in Note 7 to the Financial Statements on page 66

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year are given below and the Directors currently in Office are profiled on page 6.

Mr. S.D.R. Arudpragasam - Chairman

Mr. C.P.R. Perera - Deputy Chairman

Mr. Anushman Rajaratnam - Group Managing Director

Mr. A. Rajaratnam - Director

(Deceased - 26.08.2023)

Mr. A.M. de S. Jayaratne - Director

Mr. P.M.A. Sirimane - Director

Mr. Sanjeev Rajaratnam - Director

Mr. A.R. Rasiah - Director

(Appointed w.e.f. 08.06.2023)

Mr. Amrit Rajaratnam - Director

(Appointed w.e.f. 29.11.2023)

Mr. A.R. Rasiah was appointed as an Independent Non Executive Director with effect from 8th June 2023.

Annual Report of the Board of Directors contd.

Mr. Alagarajah Rajaratnam the former Chairman having relinquished such position with effect from 30th June 2022 and continuing to serve as a Non Executive Director, passed away on 26th August 2023.

Consequent to the demise of Mr. Alagarajah Rajaratnam on 26th August 2023, Mr. Anushman Rajaratnam ceased to be his Alternate Director.

Mr. Amrit Rajaratnam was appointed to the Board as a Non Executive Director on 29th November 2023.

In terms of Articles 85 and 86 of the Articles of Association Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam retire by rotation and being eligible offer themselves for re-election.

Mr. Amrit Rajaratnam who was appointed to the Board on 29th November 2023 retires in terms of Article 92 of the Articles of Association and being eligible offers himself for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. S.D.R. Arudpragasam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A.R. Rasiah who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 11 to 26.

AUDITORS

The Financial Statements of the Company for the year have been audited by KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorize the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs. 2,325,000/- (2022/2023 - Rs. 1,692,000/-) as audit fees by the Company. In addition, they were paid Rs. 206,620/- (2022/2023 - Rs. 179,669/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs. 132.73 million (2022/2023 - Rs. 108.83 million)

RESULTS

The Company made a net profit before tax of Rs. 683.74 million against a profit of Rs. 219.49 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 42.

DIVIDENDS

The Board of Directors have not recommended the payment of a dividend for the year ended 31st March 2024.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2024 were Rs. 1,511.78 million (2022/2023 - Rs. 1,562.00 million) and the Market Value of such Investments were Rs. 6,052.88 million (2022/2023 - Rs. 5,898.20 million) The detailed investment portfolio is given in Notes 15, 16 and 17 in the Financial Statements on pages 88 to 110.

INVESTMENT PROPERTY AND PROPERTY, PLANT & EQUIPMENT

During 2023/2024, the Company invested Rs. 1.16 million in Investment Property and Property, Plant & Equipment (2022/2023 - Rs.5.70 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2024.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2024 was Rs. 927,000,000/- represented by 240,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2024 amounted to Rs. 2013.29 million (2022/2023 - Rs. 1,389.98million). The Reserves comprise, Property Development Reserve of Rs. 10 million (2022/2023 - Rs. 10 million), General Reserve of Rs. 0.5 million (2022/2023 - Rs. 0.5 million), FVOCI Reserve of Rs. 3.88 million (2022/2023 - Rs.3.38 million), and the accumulated profit of Rs. 1,998.91 million (2022/2023 - Rs. 1,376.11 million).The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 24 of 2017 and the subsequent amendments thereto, the Company is liable to pay income tax at the rate of 30% on the profits. The Company does not have a liability towards Income Tax during the year. The detailed Income Tax Computation is given in Note 8 to the Financial Statements on pages 67.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent related party transactions which exceeded the respective disclosure thresholds mentioned in Section 9.14 of the Colombo Stock Exchange Listing Rules. However the non recurrent related party transaction which exceeded the respective disclosure threshold is duly set out in Note 30.5 on page 146. The Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 30 from pages 143 to 149.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 169 to 170.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 35. to the Financial Statements on pages 161 to 162.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 36 and 37 to the Financial Statements on pages 162 to 163.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

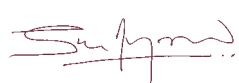
The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

The Directors have reviewed the internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,



S.D.R. Arudpragasam
Chairman



Anushman Rajaratnam
Group Managing Director

By Order of the Board,



Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
02nd September 2024



Rs.

Financial Statements

Financial Statements

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Independent Auditor's Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a material accounting policies and other explanatory information as set out on pages 42 to 167 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2024, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter – Restatement of Comparative Balances

We draw attention to Note 40 to the financial statements which indicates that the comparative balances presented as at and for the year ended 31 March 2023 and 01 April 2022 have been restated and disclosed in these financial statements.

Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

01. Management Assessment of the Group's ability to continue as Going Concern and Impairment assessment of Goodwill recorded in Group financial statements.

Refer Note 14.1 and 34 to the financial statements and accounting policies Note 3.3.5.2.

Risk Description

As at 31st March 2024, the Group current liabilities exceed its current assets by Rs. 3,577 Mn. This is mainly due to the fact that some of the subsidiaries are operating at net current liabilities as disclosed in Note 34 to the financial statements.

However, the directors have determined that use of the going concern basis of accounting is appropriate in preparing the financial statements. Their assessment of the going concern was based on the feasibility of management plans and cash flow forecasts.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

C.P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

T.J.S. Rajakarier FCA
W.K.D.C. Abeyrathne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W.W.J.C. Perera FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA(UK), R.G.H. Raddella ACA



Further, as at 31 March 2024, the Group recorded Rs. 670 Mn as goodwill. As required by relevant accounting standards, as at 31 March 2024 the management performed an impairment assessment on goodwill by allocating it to the respective cash generating units and determined their recoverable amounts based on value-in-use calculations.

Due to the inherent uncertainty involved in cashflow forecasting, which are the basis of the management assessment of the Group's ability to continue as a going concern, this is one of the key judgment areas that our audit is concentrated in.

Our audit procedures for assessment on Going Concern and Impairment of Goodwill included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors on behalf of us;

- Obtaining and evaluate the appropriateness of management assessment of going concern of the subsidiaries disclosed in Note 34 to the financial statements.
- Obtaining an understanding of management's assessment of cash flow forecast and impairment assessment process.
- Discussing the detailed cash flow forecasts prepared by management in their model. The main procedures performed on the model and areas where component auditors challenged management were as follows:
 - Testing the quality of management forecasting by comparing the management forecast for prior period to actual outcomes.
 - Testing the appropriateness of the assumptions that had the most material impact. In challenging these assumptions, we took account of actual results, external data and market conditions.
 - Re-performing the management forecasts to verify the arithmetic accuracy of the calculations including those related to management's forecasts.
 - Performing our own sensitivity calculations to test the adequacy of the available headroom.
 - Agreeing the sources of liquidity and uses of funds to supporting documentation.
- Reviewing the robustness of management's budgeting process by comparing the actual financial results against previous projections.
- Testing the mathematical accuracy of the underlying calculations in the discounted cash flow valuation models (Value in use computations) with the assistance of our own internal business valuation specialists, challenging the reasonableness of the key assumptions in the valuation models.
- Assessing the adequacy of disclosures in the financial statements in relation to going concern and impairment of Goodwill in the financial statements.

02. Measurement of Biological Assets

Refer Note 10.4 & 10.6 to the financial statements and accounting policies Note 3.10.9.

Risk Description

The Group has recognised bearer biological assets in the amount of Rs. 5,505 Mn and consumable biological assets in the amount of Rs. 3,861 Mn.

Consumable Biological Assets

The commercially cultivated timber trees on estates managed by the Group are classified as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years (if any) are carried at cost less impairment as the fair value cannot be reliably measured. The valuation of consumable biological assets requires significant levels of judgments and technical expertise in selecting appropriate valuation models and assumptions. Management engaged a subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the Group as at reporting date.

Bearer Biological Assets

Bearer biological assets mainly include mature and immature tea fields. Inappropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalization of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants. As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point of which commercial harvesting could start depends on the soil condition, weather patterns and plant breed.



We considered measurement of biological assets as a key audit matter because the valuation of consumable biological assets involved significant judgments exercised by the management and external valuation expert and were subjected to significant level of estimation uncertainty. Further, immature to mature transfer of bearer biological assets require management to exercise their judgement in determining the point at which a plant is deemed ready for commercial harvesting.

Our audit procedures for consumable biological assets included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors of the plantation sector on behalf of us;

- Evaluating the competence, capability and objectivity of the external valuer engaged.
- Assessing the completeness and accuracy of the key data used by the external valuer, by tracing those to the underlying books and records maintained by the subsidiary. This also included assessing the appropriateness and consistency of the application of the formula used for deriving the expected timber volume.
- Reading the external valuer's report and understanding key estimates made and approach taken by the valuer in determining the fair value of consumable biological assets.
- Assessing the reasonableness of significant assumptions, judgements and estimates made by the valuer such as discount rate, expected timber volume, price per cubic foot and valuation technique in assessing the fair value of consumable biological assets by comparing with the industry practices that are generally used in determining fair value of consumable biological assets.
- Assessing the adequacy of the disclosures of consumable biological assets made in the notes to the financial statements relating to the significant estimates and judgements.

Our audit procedures for bearer biological assets included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors of the plantation sector on behalf of us;

- Obtaining an understanding of management's expense allocation process and evaluating the design of relevant key controls over the identification of expenses to be capitalize in relation to immature plantations.
- Testing the significant expenses incurred by examining related invoices, capital expenditure authorizations and other corroborative evidence.
- Testing transfer of immature plants to respective matured plantation categories by examining ageing profile of immature plantations.
- Assessing the reasonableness of depreciation provided on the matured plantations by performing independent computations.
- Inspecting the ageing profile of the immature biological assets as of the reporting date to ensure that possible indicators of impairment have been identified, assessed for probable impairment charges/ losses accounted for in the financial statements.
- Assessing the adequacy of the disclosures of bearer biological assets made in the notes to the financial statements.

03. Valuation of Retirement Benefit Obligations

Refer Note 27 to the financial statements and accounting policy for Note 3.10.8.

Risk Description

The Group has recognised retirement benefit obligations of Rs. 4,331 Mn as at 31 March 2024.

The retirement benefit obligation of the Group is significant in the context of the total liabilities of the Group. The valuation of the Group's retirement benefit obligation requires significant judgment and estimation to be applied across numerous assumptions, including salary/ wage increases and discount rate. Minor changes in those assumptions could have a significant effect on the financial performance and financial position of the Group.

Management engaged an independent actuary to assist them in the estimation of the Retirement benefit obligation. We considered the estimation of the retirement benefit obligation to be a key audit matter due to the magnitude of the amounts recognized in the financial statements as well as estimation uncertainty involved in determining the amounts.

Our audit procedures for valuation of retirement benefit obligation included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors on behalf of us;

- Assessing the competency, objectivity and capabilities of the independent actuary engaged by the respective companies.
- Testing the samples of the employees' details used in the computation to the human resource records and performed re-computation of the post-employment benefit liabilities with the assistance of our internal valuation specialist.



- Evaluating the reasonableness of the total annual salaries used in the computation by comparing to the historical data.
- Assessing reasonableness of the other key assumptions used in the valuation, in particular the discount rate, inflation rate and future salary increment rate.
- Assessing the adequacy of the disclosures made in the financial statements including sensitivity analysis.

04. Recoverability of Deferred Tax Assets on Accumulated Tax Losses

Refer Note 18 & 26 to the financial statements and accounting policy for Note 3.9.2.

Risk Description

The Group has recognized deferred tax assets of Rs. 1,486 Mn on accumulated tax losses as at 31 March 2024 which the Group believes recoverable.

The recognition of deferred tax assets relies on the exercise of significant judgment by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profit being generated and future reversals of existing taxable temporary differences. The Group has considered the ability to utilize accumulated tax losses in the future based on forecasted taxable profits for a period of next five years from the reporting date.

We identified the recognition of deferred tax assets as a key audit matter, because determining the recoverability of deferred tax asset involve forecasting the quantum of the future taxable profits likely to be generated by the Group to offset with accumulated unutilized tax losses as at 31 March 2024.

Our audit procedures for assessment of recoverability of Deferred Tax Assets included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors on behalf of us;

- Assessing the accuracy of the forecasted future taxable profit by evaluating historical forecasting accuracy from understanding obtained during our audit, including where applicable their consistency with business plans.
- Reconciling tax losses and expiry dates to tax statements.
- Evaluating the adequacy of the disclosures in the financial statements in accordance with the relevant accounting standards.

05. Revenue recognition

Refer Note 04 to the financial statements and accounting policy for Note 3.8.1.

Risk Description

The Group recorded revenue of Rs. 75,895 Mn for the financial year ended 31 March 2024, revenue from companies in trading of consumer / industrial product segments continued to be the main revenue stream for the Group.

Companies in this segment recognise Revenue from sale of goods when control has been transferred to the buyer; and is measured net of trade discounts.

Based on the business model, there are many different types of revenues, arising from different types of transactions and events with customers.

In addition, the subsidiary considers revenue as an important element in the preparation of budgets and measuring management performance. These factors could create an incentive for revenue to be recognised prior to control being transferred.

Considering above factors, we identified revenue as a key audit matter because revenue is a significant audit risk, significance to the Group financial statements and one of the key performance indicators of the subsidiary and therefore, there is an inherent risk of manipulation of the timing of revenue recognition by management to meet specific targets or expectations.

Our audit procedures for Revenue recognition included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors on behalf of us;

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over the revenue recognition and measurement.
- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of key IT application controls over revenue, in addition to evaluating the integrity of the general IT control environment.



- Evaluating the appropriateness of the Group's revenue recognition policies, including the recognition, measurement and classification criteria as well as disclosure requirements as per SLFRS 15.
- On a sample basis, comparing specific revenue transactions recorded before and after the financial year end with the underlying goods delivery notes and invoices to assess whether the related revenue had been recognized in the correct financial period.
- Performing test of details over revenue by inspecting a sample of invoices and credit notes in order to ensure revenue is recognized and measured in accordance with the contractual terms of the contract and the Group accounting policies.

06. Carrying Value of Inventories

Refer Note 19 to the financial statements and accounting policies for Note 3.2.9.

Risk Description

The Group recorded inventories amounting to Rs. 13,184 Mn as at 31 March 2024 out of that Rs. 5,071 Mn amount of Inventories derived from companies in trading of consumer / industrial product segments.

The Group has significant amount of inventory and judgment is exercised with regard to categorisation of stocks as obsolete and/or slow moving to be considered for provision; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realizable value. Given the level of judgements and estimates involved this is considered to be a key audit matter.

Our audit procedures for assessing the carrying value of Inventories included reviewing the conclusions and workpapers related to the following audit procedures performed by the component auditors on behalf of us;

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over inventory valuation and identify slow moving and obsolete inventories.
- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of key IT application controls over inventories.
- On a sample basis, physically verify the inventories as at reporting date.
- Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the categorisation as obsolete or slow moving.
- Assessing the reasonableness of judgements applied in the identification and recording of inventories at Net Realizable Value, including allowances recorded considering among others, the age of inventories, historical sales trends, subsequent prices secured.
- Testing the accuracy and completeness of inventory ageing reports used in the estimation of allowances.
- Assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.



Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

CHARTERED ACCOUNTANTS
Colombo, Sri Lanka

03rd September 2024

Statement of Profit or Loss & Other Comprehensive Income

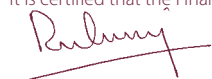
For the year ended 31st March,	Notes	GROUP		COMPANY	
		2024	2023	2024	2023
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
			Restated		
Revenue	4	75,895,448	77,080,849	132,732	108,833
Cost of Sales		(58,478,015)	(54,482,866)	-	-
Gross Profit		17,417,433	22,597,983	132,732	108,833
Other Income	5.1	1,547,389	1,167,167	710,390	237,264
Gain on Bargain Purchase	5.1.1	101,763	-	-	-
Distribution Expenses		(6,458,378)	(4,752,888)	-	-
Administrative Expenses		(6,667,616)	(5,243,253)	(95,818)	(79,917)
Other Expenses	5.2	(180,415)	(500,978)	(11)	(12)
Finance Income	6	256,153	213,491	45,804	92,979
Finance Costs	6	(4,619,612)	(6,488,454)	(109,355)	(139,661)
Net Finance Costs	6	(4,363,459)	(6,274,963)	(63,551)	(46,682)
Share of Results of Equity Accounted Investees ,Net of Tax	16.1	14,664	18,185	-	-
Share of Results of Joint Venture ,Net of Tax	16.2	1,002	(165,413)	-	-
Profit before Tax	7	1,412,383	6,845,840	683,742	219,486
Income Tax Expense	8	(1,351,552)	(2,259,819)	(940)	(23,025)
Profit for the Year		60,831	4,586,021	682,802	196,461
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Losses on Defined Benefit Plans	27	(723,739)	(167,596)	-	-
Tax on Other Comprehensive Income		243,665	(1,472,029)	-	-
Share of Other Comprehensive Income of Equity Accounted Investees ,Net of tax	16	88,673	273,115	-	-
Revaluation of Land	10	93,673	76,157	-	-
Items that are or may be reclassified to Profit or Loss					
Change in Value of FVOCI Financial Assets		58,622	128,592	503	(1,367)
Exchange Differences on Translation of Foreign Operations		151	(163)	-	-
Other Comprehensive Income / (Loss) for the Year Net of Tax		(238,955)	(1,161,924)	503	(1,367)
Total Comprehensive Income/ (Loss) for the Year		(178,124)	3,424,097	683,305	195,094
Profit/(Loss) Attributable to:					
Owners of the Company		(122,686)	2,368,240	682,802	196,461
Non - Controlling Interest		183,517	2,217,781	-	-
Profit for the Year		60,831	4,586,021	682,802	196,461
Total Comprehensive Income / (Loss) Attributable to:					
Owners of the Company		(37,959)	1,730,126	683,305	195,094
Non - Controlling Interest		(140,164)	1,693,971	-	-
Total Comprehensive Income/ (Loss) for the Year		(178,124)	3,424,097	683,305	195,094
Earnings / (Loss) per Share (Rs.)	9	(0.51)	9.87	2.85	0.82

The Notes from pages 47 to 167 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

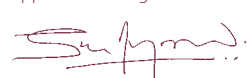
As at 31st March,	Notes	GROUP			COMPANY	
		2024	2023	2022	2024	2023
		Rs.'000	Rs.'000 Restated	Rs.'000 Restated	Rs.'000	Rs.'000
ASSETS						
Non-Current Assets						
Property, Plant and Equipment	10	24,694,074	24,606,208	23,080,802	2,182	2,807
Biological Assets	10.6	3,860,564	3,317,885	3,133,550	-	-
Leasehold Property	11	1,077,687	793,667	791,084	-	-
Right to use of Assets	12	895,327	814,012	697,615	-	-
Investment Property	13	2,685,530	2,712,565	2,819,176	798,673	801,742
Intangible Assets	14	707,919	696,297	702,250	-	-
Investments in Subsidiaries	15	-	-	-	3,054,726	1,910,139
Investments in Associates	16.1	758,917	658,240	366,940	96,435	103,365
Investment in Joint Venture	16.2	293,163	-	163,547	-	-
Other Financial Assets	17	910,498	869,896	654,571	4,238	3,727
Employee Benefits	27	110,720	100,863	84,560	-	-
Deferred Tax Assets	18	516,103	654,855	557,554	-	-
Total Non-Current Assets		36,510,502	35,224,488	33,051,649	3,956,254	2,821,780
Current Assets						
Inventories	19	13,184,177	13,634,248	9,146,007	-	-
Fair Value gain on growing produce of bearer Biological Assets	10.5	35,009	43,278	18,692	-	-
Trade & Other Receivables	20	14,972,337	11,753,040	9,534,143	57,524	50,959
Amounts due from Related Parties	30.1	19,197	237,834	47,495	104,191	172,858
Loans Given to Related Parties	30.1	-	-	-	111,930	265,000
Income Tax Recoverable		118,572	82,861	89,443	-	-
Other Financial Assets	17.3	1,030,302	872,506	918,678	3,844	2,363
Cash & Cash Equivalents	21	2,725,250	1,940,956	2,924,453	28,950	29,492
Total Current Assets		32,084,844	28,564,723	22,678,911	306,439	520,672
Assets Held for Sale		-	-	30,000	-	-
Total Assets		68,595,346	63,789,211	55,760,560	4,262,693	3,342,452
EQUITY AND LIABILITIES						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	22	927,000	927,000	927,000	927,000	927,000
Capital Reserves	23	20,058	20,058	20,058	10,000	10,000
Reserves		3,758,455	4,878,948	2,989,679	2,003,290	1,379,985
Equity Attributable to Owners of the Company		4,705,513	5,826,006	3,936,737	2,940,290	2,316,985
Non - Controlling Interest		7,093,296	5,812,276	4,679,799	-	-
Total Equity		11,798,809	11,638,282	8,616,536	2,940,290	2,316,985
Non-Current Liabilities						
Loans and Borrowings	24	11,072,679	12,301,269	10,217,894	132,812	164,063
Amounts due to Related Parties	31.2	100,000	-	-	526,500	-
Deferred Income- Capital Grants	25	513,066	504,140	525,750	-	-
Deferred Tax Liabilities	26	5,117,946	4,651,740	2,009,864	212,055	211,115
Employee Benefits	27	4,330,913	3,276,975	3,005,714	-	-
Total Non-Current Liabilities		21,134,604	20,734,124	15,759,222	871,367	375,178
Current Liabilities						
Trade & Other Payables	29	13,839,602	11,775,199	11,895,650	87,768	50,638
Amounts due to Related Parties	30.2	723,970	722,393	570,386	270,481	496,138
Loans and Borrowings	24	17,937,730	15,114,044	15,474,214	39,063	39,063
Rent Received in Advance	28	10,365	9,542	8,765	10,365	9,542
Income Tax Payable		579,762	1,169,945	503,872	43,359	54,908
Bank Overdraft	21	2,570,504	2,625,682	2,931,915	-	-
Total Current Liabilities		35,661,933	31,416,805	31,384,802	451,036	650,289
Total Liabilities		56,796,537	52,150,929	47,144,024	1,322,403	1,025,467
Total Equity and Liabilities		68,595,346	63,789,211	55,760,560	4,262,693	3,342,452
Net Assets per Share (Rs.)						
		19.61	24.28	16.40	12.25	9.65

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



M.V.M. Paulraj
Director
Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board,



S.D.R. Arudpragasam
Chairman



Anushman Rajaratnam
Group Managing Director

Colombo
02nd September 2024

The Notes on pages 47 to 167 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Changes in Equity

GROUP	Notes	Equity Attributable to Equity Holders of the Parent								Non-Controlling Interest	Total
		Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	FVOCI Reserve	General Reserve	Foreign Currency Translate Reserve	Revaluation Reserve	Accumulated Profit / (Loss)		
		Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000
Balance as at 31st March, 2022		927,000	15,190	4,868	1,127,472	84,453	(11,377)	3,879,310	(2,113,609)	3,913,307	8,558,271
Error Correction (Note 40)								(7,287)	30,718	23,430	58,265
Restated Balance as at 1st April 2022		927,000	15,190	4,868	1,127,472	84,453	(11,377)	3,872,023	(2,082,891)	3,936,737	8,616,536
Profit for the year		-	-	-	-	-	-	-	2,368,240	2,368,240	4,586,021
Other Comprehensive Income for the Year		-	-	-	94,145	-	-	77,223	(809,320)	(637,952)	(1,161,761)
Reclassification of Foreign Currency Translation Reserve		-	-	-	-	-	(163)	-	-	(163)	-
Deferred Tax on Revaluation of Land		-	-	-	-	-	-	(71,043)	-	(71,043)	-
Subsidiary Dividend to Non-Controlling Interest		-	-	-	-	-	-	-	-	-	-
Effect of Changes in Percentage in Subsidiaries		-	-	-	-	-	-	-	-	(309,750)	(309,750)
Balance as at 31st March, 2023		927,000	15,190	4,868	1,221,617	84,453	(11,540)	3,878,203	(293,785)	5,826,006	11,638,282
Profit / (Loss) for the year		-	-	-	30,421	-	-	93,673	(46,155)	77,939	60,831
Other Comprehensive Income for the Year	10/16/28	-	-	-	-	-	151	-	-	151	-
Reclassification of Foreign Currency Translation Reserve		-	-	-	-	-	-	-	-	-	-
Acquisition Of Subsidiary		-	-	-	-	-	-	6,637	-	6,637	-
Deferred Tax on Revaluation of Land	26	-	-	-	-	-	-	-	-	-	-
Dividend Paid		-	-	-	-	-	-	-	(60,000)	(60,000)	-
Subsidiary Dividend to Non-Controlling Interest		-	-	-	-	-	-	-	-	-	-
Effect of Changes in Percentage in Subsidiaries		-	-	-	-	-	-	-	-	(560,429)	(560,429)
Balance as at 31st March, 2024		927,000	15,190	4,868	1,252,038	84,453	(11,389)	3,978,513	(1,022,533)	4,705,513	812,137

COMPANY	Stated Capital	Property Development Reserve	General Reserve	FVOCI Reserve	Accumulated Profit / (Loss)	Total
	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000
Balance as at 31st March, 2022	927,000	10,000	501	4,745	1,216,673	2,158,919
Deferred Tax on Revaluation surplus on Land	-	-	-	-	(37,028)	(37,028)
Profit for the year	-	-	-	-	196,461	196,461
Remeasuring of other non-current financial assets	-	-	-	(1,367)	-	(1,367)
Balance as at 31st March, 2023	927,000	10,000	501	3,378	1,376,106	2,316,985
Profit for the year	-	-	-	-	682,802	682,802
Dividends Paid	-	-	-	-	(60,000)	(60,000)
Remeasuring of other non-current financial assets	-	-	-	503	-	503
Balance as at 31st March, 2024	927,000	10,000	501	3,881	1,998,908	2,940,290

The Notes from pages 47 to 167 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Statement of Cash Flows

		GROUP		COMPANY	
		2024	2023	2024	2023
	Notes	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	7,288,441	15,632,207	11,538	9,055
(Increase)/Decrease in Inventories		776,041	(4,557,217)	-	-
(Increase)/Decrease in Trade & Other Receivables		(2,964,413)	(2,352,920)	(7,251)	(23,298)
(Increase)/Decrease in Amounts due from Related Parties		249,522	(239,341)	91,787	69,238
Increase/(Decrease) in Trade & Other Payables		2,270,738	(320,063)	33,536	2,645
Increase/(Decrease) in Amounts due to Related Parties		101,577	189,281	(47,757)	90,007
Cash Generated from Operating Activities		7,721,906	8,351,947	81,853	147,647
Income Tax Paid		(1,209,232)	(592,243)	(11,549)	(13,299)
Interest Expenses Paid		(4,619,612)	(6,488,454)	(105,761)	(139,661)
Gratuity Paid		(497,425)	(519,181)	-	-
Rent Income Received		37,812	34,673	37,812	34,673
Net Cash Generated from/(used in) Operating Activities		1,433,449	786,742	2,355	29,360
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment,					
Investment Property & Biological Assets		(3,108,654)	(3,354,264)	(1,160)	(5,703)
Acquisition of Intangible Assets		(23,157)	(4,520)	-	-
Proceeds from Disposal of Property,					
Plant & Equipment & Biological Assets		1,486,282	421,110	-	-
Proceeds from Disposal of Investment Property		-	89,758	-	-
Loans given to Related Parties		-	-	153,070	138,600
Acquisition /Disposal of Subsidiaries and					
Equity Accounted Investments (Net of Cash)		(170,261)	-	(992,598)	(369,278)
Investment of Joint Venture		(294,000)		-	-
Acquisition of FVTPL financial assets		(20,921)	(7,754)	-	-
Proceeds from Disposal of FVTPL financial assets		28,337	61,387	-	-
Net Disposal/Acquisition of Other Investments		18,020	(86,733)	(150)	(113)
Interest Income Received		256,153	213,491	46,492	91,681
Dividend Income Received		34,397	60,758	534,100	196,486
Net Cash Generated from/(used in) Investing Activities		(1,793,804)	(2,606,767)	(260,246)	51,673
Cash Flows from Financing Activities					
Capital Grants Received		48,669	2,755	-	-
Increase/(Decrease) in Other Short-Term Loans		1,468,936	(122,499)	-	-
Increase/(Decrease) in Loan Due to Related Parties		-	-	348,600	(52,000)
Proceeds from Initial Public Offer by Subsidiary		744,811	-	-	-
Repayment of Lease Rentals		(153,436)	(98,638)	-	-
Receipt of Interest-bearing Borrowings		5,445,679	6,773,507	-	-
Redemption of Debenture		(81,618)	(72,235)	-	-
Right Issue of Shares by Subsidiary		67,326	205,178	-	-
Repayment of Interest-bearing Borrowings		(5,720,111)	(5,235,557)	(31,251)	(33,436)
Dividend Paid		(60,000)	-	(60,000)	-
Dividend Paid to Non Controlling Interests		(560,429)	(309,750)	-	-
Net Cash Generated from/(used in) Financing Activities		1,199,827	1,142,761	257,349	(85,436)
Net Increase/(Decrease) in Cash & Cash Equivalents		839,472	(677,264)	(542)	(4,403)
Cash & Cash Equivalents at the beginning of the year	21	(684,726)	(7,462)	29,492	33,895
Cash & Cash Equivalents at the end of the year	21	154,746	(684,726)	28,950	29,492

The Notes from pages 47 to 167 form an integral part of these Financial Statements
Figures in brackets indicate deductions.

Statement of Cash Flows contd.

		GROUP		COMPANY	
		2024	2023	2024	2023
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000
A. Profit before Working Capital Changes					
Profit Before Tax		1,412,383	6,845,840	683,742	219,486
Adjustments for ;					
Depreciation and Amortisation	10/11/12/13	1,762,249	1,709,939	4,854	6,445
Dividend Income	5	(31,737)	(60,758)	(534,100)	(186,323)
Amortisation of Rent Income	28	(36,989)	(33,896)	(36,989)	(33,896)
Interest Expense	6	4,619,612	6,488,454	109,355	139,661
Amortisation of Intangible Assets	14	11,535	10,473		-
Amortisation of Capital Grants	25	(39,743)	(24,365)		-
Gain on Disposal of Property, Plant & Equipment/Timber Trees	5	(99,530)	(62,030)		-
Exchange Loss on Translation of Foreign Currency Loan		(32,672)	119,446		-
Interest Income	6	(256,153)	(213,491)	(45,804)	(92,979)
Provision for Retirement Gratuity	27	797,201	606,543		-
Share of (Profit)/Loss of Equity Accounted Investees		(14,664)	(18,185)		-
Share of results of Joint Ventures		837	165,414		-
(Gain) / Loss on Disposal of Investments in Subsidiaries	5.1	-	-	(145,060)	-
Change in Fair Value of Financial assets classified as FVTPL	5	(165,211)	54,755	(1,338)	(11)
Impairment Loss on					
Trade & Other Receivables		47,474	163,252		-
Impairment Loss/(Reversal of Impairment Loss) on					
Related Party Receivables		(30,885)	34,397	(23,122)	(43,328)
Change in Fair Value of Biological Assets	5	(538,219)	(216,292)		-
Write off during the year		29,732	28,054		-
Impairment/(Reversal of Impairment Loss) on Inventories	5	85,653	68,976		-
Creditors No Longer Payable Written Back	5	(23,251)	(26,277)		-
Gain on Bargain Purchase		(101,763)	-		-
Reversal of Provision for Bad Debts on Trade Receivables	5	(107,418)	(8,042)		-
		7,288,441	15,632,207	11,538	9,055

Notes to the Financial Statements

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the Companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The Companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut and cultivation and sale of palm oil.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and the consolidated financial statements of the Group comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The financial statements of the Group and the Company for the year ended 31st March, 2024 were authorised for issue by the Board of Directors on, 2nd September 2024

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for

measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value.
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value.
- Non-derivative Financial instruments at fair value through Other Comprehensive Income are measured at fair value.
- Class of land under Property, Plant & Equipment is valued under Revaluation model. (Note 10.3)
- Biological assets (managed timber) are measured at fair value less costs to sell. (Note 10.5)
- Defined benefit assets are measured at the present value of the defined benefit obligations. (Note 27)

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs : are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs : are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs : are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Key Accounting Judgements and Estimates

The preparation of financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Notes to the Financial Statements contd.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

2.4.1 Judgements

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.2.1	10
Valuation of Leasehold Property	3.10.1	11
Valuation of Intangible Assets	3.2.8	14
Deferred Tax	3.9.2	18 and 26
Valuation of Employee Benefit Liabilities	3.6	27
Valuation of Biological Assets	3.10.9	10.6
Leases	3.2.5	12
Provisions, Contingent Assets and Liabilities	3.7	37
Unquoted Investments	3.1.4	17.1.2

2.5 Materiality and Aggregation

Each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

2.6 Comparative Information

Comparative information has been reclassified to conform to the current year's presentation, where necessary. Except when a standard permits or requires otherwise, comparative information is disclosed in respect of the previous period. Where the presentation or classification of items in the financial statements are amended, comparative amounts are reclassified unless it is impracticable.

The financial statements for the year ended 31 March 2024 were restated as explained on page 167. Non-financial information has not been re-stated as there was no impact on those disclosures.

2.7 Going Concern

In preparing these financial statements, the management has assessed the existing and anticipated the economic uncertainties on the Group and the appropriateness of the use of the going concern basis of preparation giving special attention on short to medium term economic outlook.

The Group's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for a foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.8 Current versus Non-Current Classification

The Group presents assets and liabilities in the Statement of Financial Position based on Current / Non-Current classification. An asset is Current when it is expected to be realized or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading or expected to be realized within twelve months after the reporting period or is Cash or Cash Equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period. All other assets are classified as Non-Current Assets.

A liability is Current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting date. All other liabilities are classified as Non-Current Liabilities.

2.9 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Income Statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

3. MATERIAL ACCOUNTING POLICIES

Changes in Material Accounting Policies

A. Deferred tax related to assets and liabilities arising from a single transaction

The Group has adopted Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12) from 01st April 2023. The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences. e.g leases. For leases, the Group is recognised the associated deferred tax assets and liabilities from the beginning of the earliest comparative period presented, with any cumulative effect recognised as an adjustment to retained earnings or other comprehensive of equity at that date. For all other transactions, the Group applies the amendments to transactions that occur on or after the beginning of the earliest period presented.

The Group previously accounted for deferred tax on leases and decommissioning liabilities by applying the 'integrally linked' approach, resulting in a similar outcome as under the amendments, except that the deferred tax asset or liability was recognised on a net basis. Following the amendments, the group has recognised a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right to use assets. However, there was no impact on the statement of financial position because the balances qualify for the offset under paragraph 74 of LKAS 12. There was also no impact on the opening retained earnings as at

01st April 2023 as a result of the change. The key impact for the Group relates to disclosure of the deferred tax assets and liabilities recognised.

B. Material Accounting Policy Information

The Group also adopted Disclosure of Accounting Policies (Amendments to LKAS 1 and IFRS Practice Statement 2) from 01st April 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the financial statements. The amendments require the disclosure of 'material', rather than 'significant', accounting policies. The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements.

Management reviewed the accounting policies and made updates to the information disclosed in Note 3 Material accounting policies (2023: Significant accounting policies) in certain instances in line with the amendments.

The accounting policies set out from Note 3.1 onwards have been applied consistently for all periods presented in the financial statements by the Group and Company.

3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Group, its Subsidiaries and the Group's interest in equity accounted investees.

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the

ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition - date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

Notes to the Financial Statements contd.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.73%
Laxapana Batteries PLC	40.92%
Marawila Resorts PLC	37.08%
C.W. Mackie PLC	40.31%
Agarapatana Plantations PLC	32.52%
Lankem Developments PLC	39.61%
Sigiriya Village Hotels PLC	48.38%
Kotagala Plantations PLC	41.38%
York Arcade Holdings PLC	49.99%
Acme Printing and Packaging PLC	49.34%
Bluescope Lysaght Lanka (Private) Limited	40.92%

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as a FVOCI financial asset depending on the level of influence retained.

3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the Other Comprehensive Income or equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of profit or loss and Other Comprehensive Income or the changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method,

the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

Summarised financial Information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in Note 3.3 below. The income from these investments is recognised only to the extent of dividend received.

3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are

recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.1.8 Reporting Date

All subsidiaries and equity accounted investees of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Whose financial year ends on 31st December. Group incorporates the results of Sunquick Lanka Property (Private) Limited up to 31st March in the Group's financial statements.

3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between the amortised cost in Sri Lankan Rupees at the beginning of the period, adjusted for effective interest and payments during the period, and the amortized cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.2 Property, Plant & Equipment

3.2.1 Recognition and Measurement

Items of property, plant & equipment except freehold land are measured at cost less accumulated depreciation and accumulated impairment losses. From 31 March 2019, freehold land of the Group is recognised at revalued amount and such revaluation will be assessed once in three years.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Notes to the Financial Statements contd.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.2.3 Derecognition and Depreciation

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use whereas depreciation of an asset ceases at the earlier of the date that the asset is classified as held-for-sale and the date that the asset is derecognised. Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10-40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04-05
Office Equipment	08-10
Furniture & Fittings	08-10
Computer Equipment	04-05
Electricity	20
Mature Plantations - Tea	33 1/3
Mature Plantations - Rubber	20
CTC Machinery	20
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis /4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.2.5 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16. This policy is applied to contracts entered into, on or after 1 April 2019.

3.2.5.1 As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group entities uses its incremental borrowing rate as the discount rate.

The Group entities determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in "Right-of-use" assets and lease liabilities in interest bearing loans and borrowings in the statement of Financial Position.

Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.2.5.2 As a Lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risk and rewards incidental to ownership of the underlying asset. If this is the case,

then the lease is a finance lease; if not then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic useful life of the asset.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies sub-lease as an operating lease.

The Group recognises lease payments received under operating leases as rental income on a straight-line basis over the lease term as part of 'other income'. Generally, the accounting policies to the Group as a lessor in the comparative period were not different from SLFRS 16.

Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial

Notes to the Financial Statements contd.

statements, and accounted for in accordance with LKAS 16
- Property, Plant & Equipment.

3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in Candy Delights Limited whose cost of inventory is determined on first-in, first out basis (FIFO).

The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

Goods in transit are determined based on actual cost.

3.2.10 Assets Held for Sale

Before the classification as held-for-sale, non-current assets and liabilities in the disposal group are measured in accordance with relevant SLFRSs. Non-current assets and disposal groups classified as held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Non-current assets are classified as held for distribution when the Company/Group committed to distribute the assets or disposal group to its owners.

Impairment losses on initial classification as held-for-sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

3.3 Financial Instruments

3.3.1 Recognition and Initial Measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provision of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity instrument; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;

- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permit or requires prepayment at an annual amount that substantially represent the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Notes to the Financial Statements contd.

Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

3.3.2.2 Financial Liabilities

Classification, subsequent measurement and gains and losses
Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.3.2.3 Derivative Financial Instruments

Derivatives are initially recognised at fair value; any directly attributable transaction costs are recognised in profit or loss as incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

3.3.3 De-recognition

3.3.3.1 Financial Assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

3.3.3.2 Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

3.3.4 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.3.5 Impairment

3.3.5.1 Non-derivative Financial Assets

The Group recognises loss allowances for Expected Credit Loss (ECL) on:

- financial assets measured at amortised cost;
- debt investments measured at FVOCI; and
- contract assets.

The Group measures loss allowance at an amount equal to lifetime ECLs, except for the following, which are measured at 12-months ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for trade receivables and contract assets are always measured at an amount equals to life time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data;

- significant financial difficulty of the borrower;
- a breach of contract such as default or being more than 90 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 90 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

3.3.5.2 Non-financial Assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than biological assets, investment property, inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indicator exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.4 Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and call deposits that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short term commitments.

Notes to the Financial Statements contd.

3.5 Stated Capital

Ordinary Shares

Ordinary shares are classified as equity. As per the Companies Act No. 07 of 2007, Section 58 (1), stated capital in relation to a Company means the total of all amounts received by the Group or due and payable to the Group in respect of the issue of shares and in respect of call in arrears.

3.6 Employee Benefits

Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

Provisions has not been made for gratuity in the accounts of the Company as per LKAS 19 - 'Employee Benefits', since the Company did not employ any staff. All staff related services are provided by Corporate Managers & Secretaries (Pvt) Ltd.

Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

Contribution for Employees Provident Fund and Employees Trust Fund have not been made since the Company does not employ any staff.

When the benefits of a plan are changed or when a plan is curtailed, resulting change in benefit that relates to past service or the gain or

loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

3.7 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

3.8 Statement of Profit or Loss and Other Comprehensive Income

3.8.1 Revenue Recognition

As per SLFRS 15, Revenue from contracts with customers, revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes.

The nature and timing of the satisfaction of performance obligations in contract with customers, including significant payment terms, and the related revenue recognition policies are given below:

Sale of Goods

Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time. Invoices are usually payable within 30/60/90 days based on the product category

Rendering of Services

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

Revenue from Hotel Services

Revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

3.8.1.1 Other Sources of Revenue Dividend Income

Dividend Income is recognised in the Statement of Profit or Loss on the date when the entities right to receive payment is established.

Finance Income

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL), gains on the disposal and Fair Value Gains on Financial Assets at fair value through Profit or Loss. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

Rental Income

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Other Income - Other income recognised based on the actual basis. Gains and losses of a revenue nature on the disposal of Property, Plant and Equipment and other non-current assets are recognised by comparing the net sales proceeds with the carrying amount of the corresponding asset and are recognised net within 'other income' in the Statement of Profit or Loss.

3.8.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year.

Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

3.8.3 Finance Income and Finance Costs

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.9 Income Tax Expenses

Income tax expense comprises current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity, or in OCI.

The Group has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under LKAS 37 Provisions, Contingent Liabilities and Contingent Assets.

3.9.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.24 of 2017 and subsequent amendments.

3.9.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

Notes to the Financial Statements contd.

3.10 Accounting Policies Which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.10.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease

liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. The leasehold rights of assets taken over from JEDB/SLSPC are amortised in equal amounts over the shorter of the remaining lease periods and the useful lives as follows:

3.10.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.10.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year

of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.10.4 Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – "Borrowing Costs".

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.10.5 Infilling Cost on Bearer Biological Assets

Where Infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of Comprehensive Income in the year in which they are incurred.

3.10.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material	At average cost (Agarapatana Plantations PLC At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables Produce Stocks	At actual cost on FIFO basis. Estimated realisable price or since realised price or cost

3.10.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied

with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Group receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.10.8 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience

adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified Actuaries as disclosed in Note 27.

The Group expects to carry out actuarial valuation every year. The key assumptions used by the actuary include the following.

- Rate of Interest - 10% - 15% p.a.
- Salary Increment Rate - Staff 7.5% - 10% per annum
- Retirement Age - 55 to 60 year

3.10.9 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable

that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter planting and fertilizing etc. incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads. The expenditure incurred on bearer biological assets (Tea) which comes into bearing during the year, is transferred to mature plantations.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional valuer.

The Main Variables in Market approach model Concerns;

Variable	Comment
Currency Valuation	Sri Lankan Rupees
Timber content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling price	Estimated based on prevailing Sri Lankan market price. Factor all the conditions to be fulfill in bringing the trees in to saleable condition. Here, the valuer has considered timber prices published by State Timber Corporation as the sector benchmark as the appropriate basis for determining the fair value of the subject timber trees.
Planting cost	Estimated costs for the further development of immature areas are deducted.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

Notes to the Financial Statements contd.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

Impairments to biological assets are charged to the Profit or Loss Statement in full and reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.11 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short-term deposits net of outstanding bank overdrafts.

3.12 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.13 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.14 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.15 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

3.16 Operating Profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes net finance costs, share of profit of equity accounted investees and income taxes.

3.17 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance

to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 33.6 in conformity with Sri Lanka Financial Reporting Standards.

3.18 Directors responsibilities

The Board of Directors of the Company is responsible for the preparation and presentation of Consolidated Financial Statements as per the provisions of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards (SLFRSs/ LKASs). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

3.19 New and Amended Standards Issued but not Effective as at the Reporting Date

3.19.1 Standards Issued but not yet Effective

A number of new standards are effective for annual periods beginning on or after 01st April 2024 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these financial statements.

The Institute of Chartered Accountants of Sri Lanka has issued a number of new amendments to Sri Lanka Accounting Standards (SLFRSs/LKASs) that are effective for annual periods beginning after

the current financial year. Accordingly, the Group has notearly in preparing these Financial Statements.

The following amended standards and interpretations are not expected to have a significant impact on the Group's financial statements:

Classifications of Liabilities as Current Or Non-Current And Non-Current Liabilities With Covenants (Amendments To LKAS1)

The amendments, as issued in 2020 and 2022, aim to clarify the requirements on determining whether a liability is current or noncurrent, and require new disclosures for noncurrent liabilities that are subject to future covenants. The amendments apply for annual reporting periods beginning on or after 01st January 2024. There is no potential impact for the amendments on the classification of these liabilities and the related disclosures.

Supplier Finance Arrangements (Amendment to LKAS 1 and SLFRS 7)

These amendments introduce new disclosures relating to supplier finance arrangements that assist users of the financial statements to assess the effect of these arrangement on an entity's liabilities and cash flows and on and entity's exposure to the liquidity risk. The amendments apply for the annual period beginning on or After January 2024.

Lease Liability in a Sales and Lease Leaseback (Amendment to SLFRS 16)

The amendments specifically affect seller-lessee accounting in sale and leaseback transactions that qualify as a sale under SLFRS 15, especially those involving variable lease payments not based on an index or rate. They modify how a seller-lessee accounts for these leasebacks, preventing recognition of gains on retained rights of use due to lease term modifications or changes, which previously could occur when variable payments not defined as "lease payments" were excluded.

Other Standards

The following new and amended standards are not expected to have a significant impact on the Financial Statements.

- Presentation and disclosure of Financial Statements (SLFRS 18)
- Subsidiaries without Public Accountability (SLFRS 19)
- General Requirements for Disclosure of Sustainability related Financial Information (SLFRS S1)
- Climate-related Disclosures (SLFRS S2)

Notes to the Financial Statements contd.

4 REVENUE

For the year ended 31 March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

4.1 Summary

Gross Revenue	83,076,429	81,722,533	132,732	108,833
Less: Revenue Related Taxes	(7,180,981)	(4,641,684)	-	-
Net Revenue	75,895,448	77,080,849	132,732	108,833

4.2 Business Segment Analysis

Trading of Consumer Products	52,027,740	51,457,885	-	-
Trading of Industrial Products	20,093,597	21,118,696	-	-
Leisure	2,119,715	1,227,121	-	-
Plantations	12,208,151	13,537,608	-	-
Others	2,268,077	2,019,591	132,732	108,833
	88,717,280	89,360,901	132,732	108,833
Inter-Segment Revenue	(12,821,832)	(12,280,052)	-	-
Net Revenue	75,895,448	77,080,849	132,732	108,833

4.3 Business Segment Analysis of Revenue

Segmentation has been determined based on the operating activities of the companies or the sector, where multiple activities fall within one company or sector has been based on the core activities of that particular sector.

Trading Consumer Products	- Manufacturing, Selling and Distribution of Consumer Products
Trading Industrial Products	- Manufacturing, Selling and Distribution of Industrial Products
Leisure	- Owning and Operation of Hotels
Plantation	- Cultivation and Processing of Tea and Rubber
Others	- Investment Holdings ,Special Projects and Other Services

5 OTHER INCOME / (EXPENSES)

For the year ended 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

5.1 Other Income

Gain on Disposal of Property, Plant and Equipment	78,062	37,541	-	-
Dividend Income	31,737	60,758	534,100	186,323
Sale of Rubber Trees	150,650	35,081	-	-
Sale of Timber & Scrap	21,468	95,742	-	-
Amortisation of Grants and Subsidies (Note 25)	39,743	24,365	-	-
Net Gain on Disposal of Subsidiaries / Associates Shares	-	-	145,060	-
Commission Income	21,238	134,665	1,052	600
Reversal of Impairment Loss on Trade and other Receivables	107,418	8,042	-	-
Creditors No Longer Payable Written Back	23,251	26,277	-	-
Change in Fair Value of Biological Assets (Note 10.6.1)	538,219	216,292	-	-
Rental Income	189,147	237,219	-	-
Gain on Financial Assets at fair value through profit or loss	165,211	8,290	1,338	11
Reversal of Expected Credit Loss	-	-	23,132	43,340
Reversal of Impairment of Related Party Receivables	30,885	-	-	-
Sundry Income	150,360	282,895	5,708	6,990
	1,547,389	1,167,167	710,390	237,264

5.1.1 Gain on Bargain Purchase

Gain on Bargain Purchase of				
BlueScope Lysaght Lanka (Pvt) Ltd (Note 15.6)	101,763	-	-	-
	101,763	-	-	-

5.2 Other Expenses

Loss on Financial Assets at fair value through profit or loss	-	54,755	-	-
Net Impairment of Inventories	85,653	197,661	-	-
Write off/Provision for Impairment of Trade and other Receivables	47,474	180,563	-	-
Impairment loss on Property Plant and Equipment	-	1,678	-	-
Impairment of Related Party Receivables	-	-	11	12
Write off of PPE	29,732	29,732	-	-
Others	17,556	36,589	-	-
	180,415	500,978	11	12

Notes to the Financial Statements contd.

6 NET FINANCE COST

For the year ended 31st March	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Finance Income				
Interest Income	256,153	213,491	45,804	92,979
Total	256,153	213,491	45,804	92,979
Finance Costs				
Interest on Short-Term Loans - Related Parties	-	-	69,140	87,925
Interest on Loans	4,324,609	4,505,015	40,215	51,736
Interest on Finance Lease Obligation	147,490	119,164	-	-
Interest on JEDB/SLPC Estate Lease (Note 24.1)	139,023	102,358	-	-
Debenture Interest	21,766	17,178	-	-
Interest on Bank Overdraft	196,053	852,245	-	-
Other Interest	353,331	164,325	-	-
Net (Gain)/loss on Translation of Foreign Currency	(530,887)	781,838	-	-
Amount Capitalised	(31,773)	(53,669)	-	-
Total	4,619,612	6,488,454	109,355	139,661
Net Finance Costs	4,363,459	6,274,963	63,551	46,682

7 PROFIT BEFORE TAXATION

Is stated after charging all expenses including the following:

For the year ended 31st March	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Audit Services				
KPMG	43,241	37,624	2,325	1,692
Other Auditors	19,703	14,656	-	-
Non-Audit Services				
KPMG	8,004	3,349	207	180
Other Auditors	13	14,267	-	-
Amortisation of Intangible assets (Note 14.2 & 14.3)	11,535	10,473	-	-
Depreciation and amortisation (Note 7.1)	1,913,081	1,701,278	4,854	6,445
Directors Remuneration	600,561	604,327	11,025	11,100
Staff Costs (Note 7.2)	10,366,000	8,839,488	-	-
Donations	744	428	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipment (Note 10.1 & 10.2)	1,602,828	1,481,463	855	2,875
Leasehold Property (Note 11)	58,078	48,977	-	-
Right of use Assets (Note 12)	219,836	137,445	-	-
Investment Property (Note 13)	32,339	33,393	3,999	3,570
	1,913,081	1,701,278	4,854	6,445
7.2 Staff Costs				
Salaries and Wages	8,699,632	7,419,090	-	-
Defined Contribution Plan Cost - EPF & ETF	869,167	797,051	-	-
Defined Benefit Plan Cost - Retiring Gratuity	797,201	623,347	-	-
	10,366,000	8,839,488	-	-

8 INCOME TAX EXPENSE

For the year ended 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000 Restated	2024 Rs.'000	2023 Rs.'000
Current Income Tax Expense				
Taxation on Profit for the Year (Note 8.1)	706,552	1,268,395	-	11,457
Under Provision on Taxation in respect of previous years	(87,502)	(10,079)	-	-
	619,050	1,258,316	-	11,457
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	732,502	1,001,503	940	11,568
	1,351,552	2,259,819	940	23,025

8.1 Taxation on Profit for the Year

Reconciliation of Accounting Profit to Income Tax Expense

Profit before Tax	1,412,383	6,845,840	683,742	219,486
Intra-Group Adjustments	3,088,293	4,461,016	-	-
	4,500,676	11,306,856	683,742	219,486
Aggregate Disallowed Expenses	3,989,770	6,356,546	45,128	6,875
Aggregate Allowable Items	(7,130,690)	(7,289,946)	(130,156)	(180,484)
Tax Exempt (Income)/Loss	(362)	(219,139)	(629,538)	(104,708)
Statutory Income/(Loss)	1,359,394	10,154,317	(30,824)	(58,831)
Other Source of Income	7,361	(1,104,756)	5,594	122,858
Tax Losses utilised during the year	(1,953,470)	(2,620,929)	(5,594)	(41,113)
Taxable Income/(Loss)	(586,715)	6,428,632	-	81,745
Income Tax @ 30%	706,491	579,045	-	-
Income Tax @ 24%	-	330,567	-	31
Income Tax @ 15%	-	4,424	-	-
Income Tax @ 14%	-	267,725	-	11,426
Income Tax at Other Rates	61	86,634	-	-
Current Income Tax Expenses	706,552	1,268,395	-	11,457
Tax Losses B/F	16,546,994	15,082,884	17,718	-
Adjustment in respect of prior year	2,129,573	1,167,707	-	-
Tax Loss during the year	1,589,748	2,917,332	30,824	58,831
Tax Loss utilised	(1,953,470)	(2,620,929)	(5,594)	(41,113)
Tax Loss C/F	18,312,845	16,546,994	42,948	17,718

Notes to the Financial Statements contd.

8.2 Income Tax Expense

The companies of the Group are liable to pay income tax on its taxable income at 30% as per the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto except as specified below.

Tax status of companies in the Group which are;

* enjoying income tax exemptions (Note 8.2.1)

* enjoying concessionary tax rates (Note 8.2.2)

on profit/income earned from ordinary activities of business.

8.2.1 Companies exempted from Income Tax

Company	Activity	Statute	Period
Ceyflex Rubber Limited	Taxable profit	Board of Investments of Sri Lanka Law No.4 of 1978, Section 17	In accordance with the agreement entered into with BOI under Section 17 of the BOI Act No. 04 of 1978, the profits of Ceyflex Rubber Ltd is exempted from income tax for a period of seven years starting from the year in which the enterprise commence to make profits or on any year of assessment not later than two years reckoned from the date of commencement of commercial operations, whichever year is earlier. After the expiration of above tax exemption period, the profits and income of the enterprise shall be charged at 10% for a period of two years. After the expiration of aforesaid concessionary tax period, profits and income of the enterprise shall be charged for any year of assessment at a rate of 15% or at such rate that may prevail under the Inland Revenue Law, whichever is less.
Agarapatana Plantations PLC	Profit from its business of "Agro Farming"	Inland Revenue Amendment Act No. 45 of 2022	Exempted from income tax for a period of five years starting from 1st April 2019.
Kotagala Plantations PLC	Profit from its business of "Agro Farming"	Inland Revenue Amendment Act No. 45 of 2022	Exempted from income tax for a period of five years starting from 1st April 2019.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
Kotagala Plantations PLC	Profits from agro processing and investment income	14%, 24% under Inland Revenue (Amendment) Act No 10 of 2021.	01.04.2022 - 07.07.2022
Lanka Special Steels Limited	Manufacturing, Importing and Exporting galvanised wire.	20% under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322.	Indefinite

Other Companies within the Group, excluding those which are enjoying tax holidays or concessionary rates of taxation as mentioned above, are liable for tax at 30%.

8.3 Revaluation Surplus on freehold land

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold lands used for business or investment purpose would be liable to tax at the time of realization. Accordingly, deferred tax is recognised on the revaluation surplus of freehold lands which are treated as capital assets used in the business for tax purpose. In accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

8.4 Tax loss Carried forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2018 and shall be carried forward up to 6 years. Accordingly the Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly.

8.5 Disallowed Finance Costs

As per the Subsection (3) of Section 18 of the Inland Revenue Act No. 24 of 2017, finance cost for which a deduction is denied as a result of Subsection (1) of the same section, may be carried forward and treated as incurred during any of following six years of assessment, only to the extent of any unused limitation in Subsection (2) of the same section for the year. Accordingly, the Group has evaluated the recoverability of unclaimed finance costs and assets have been recognized.

8.6 Deferred Taxation

Deferred tax has been computed by using applicable tax rates liable for income tax for the Company and its subsidiaries for the year of assessment 2023/24.

8.7 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the Income Tax rates substantively in ecacted as at 31st March 2024.

- (i) No Provision has been made for deferred tax in the Financial Statements of Imperial Hotels Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations PLC, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Lankem Chemicals Limited, Lankem Technology Services (Private) Limited, Associated Farms Limited, Kelani Valley Canneries Limited, JF Ventures Limited, SunAgro Farms Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC, Ceytra Limited and Ceymac Rubber Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom. The tax losses carried forward are as follows;

As at 31st March	2024	2023
Unrecognised Deferred Tax Assets	Rs. Mn.	Rs. Mn.
Lankem Ceylon PLC	493.8	162.7
ACME Printing and Packaging PLC	313.6	30.9
Lankem Exports (Private) Limited	-	9.5
Lankem Consumer Products Limited	12.3	57.9
Lankem Chemicals Limited	1.4	1.0
Lankem Paints Limited	-	25.8
Kelani Valley Canneries Limited	17.0	94.4
Muller & Phipps (Ceylon) PLC	7.9	10.7
SunAgro Farms Limited	-	18.0
Associated Farms Limited	-	6.2
Ceytra (Private) Limited	19.2	16.5
Kotagala Plantations PLC	906.2	572.3

Notes to the Financial Statements contd.

9 BASIC EARNINGS / (LOSS) PER SHARE

Basic Earnings / (Loss) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

	GROUP		COMPANY	
	2024	2023 Restated	2024	2023
For the year ended 31st March,				
Profit / (Loss) attributable to Equity Holders of the Company (Rs.'000)	(122,686)	2,368,240	682,802	196,461
Weighted Average Number of Ordinary Shares (No.'000)	240,000	240,000	240,000	240,000
Earnings / (Loss) Per Share (Rs.)	(0.51)	9.87	2.85	0.82

10 PROPERTY, PLANT & EQUIPMENT

10.1 Group

	Balance as at 31.03.2023 Restated	Acquisition of Subsidiary	Revaluation of Land	Additions during the Year	Disposals/ Write-off/ Transfers during the Year	Transfer from Investment Property	Balance as at 31.03.2024
Cost	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Access Roads	69,315	-	-	-	-	-	69,315
Freehold							
Land (Note 10.3)	10,881,650	-	93,673	-	-	2,800	10,978,123
Buildings	5,667,562	19,605	-	771,361	(34,412)	-	6,424,116
Mature/Immature Plantations (Note 10.4)	7,856,167	-	-	615,646	(341,843)	-	8,129,970
Plant & Machinery	7,667,107	146,430	-	712,189	(235,560)	-	8,290,166
Motor Vehicles	1,447,677	2,449	-	48,975	(45,861)	-	1,453,240
Office Equipments	1,219,770	16,558	-	247,006	(21,389)	-	1,461,945
Furniture and Fittings	1,379,373	17,009	-	132,066	(144,743)	-	1,383,705
	36,188,621	202,051	93,673	2,527,243	(823,808)	2,800	38,190,580
Leasehold							
Buildings	15,649	-	-	-	-	-	15,649
	15,649	-	-	-	-	-	15,649
Capital WIP	929,900	-	-	268,683	(808,288)	-	390,295
Total Cost/Valuation	37,134,170	202,051	93,673	2,795,926	(1,632,096)	2,800	38,596,524

10.1 Group Contd.

Accumulated Depreciation	Balance as at 31.03.2023	Acquisition of Subsidiary	Revaluation of Land	Charge for the Year	Disposals/ Write-off during the Year	Transfer from Investment Property	Balance as at 31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Access Roads	40,083	-	-	2,773	-	-	42,856
Freehold							
Buildings	2,155,352	13,304	-	487,479	(4)	-	2,656,131
Mature/Immature Plantations (Note 10.4)	2,375,345	-	-	249,634	-	-	2,624,979
Plant & Machinery	4,567,968	102,766	-	465,712	(31,587)	-	5,104,859
Motor Vehicles	1,288,586	2,449	-	61,599	(35,656)	-	1,316,978
Office Equipments	926,271	16,430	-	106,236	(20,060)	-	1,028,877
Furniture and Fittings	1,158,550	15,883	-	77,589	(141,033)	-	1,110,989
	12,512,156	150,832	-	1,451,022	(228,340)	-	13,885,669
Leasehold							
Buildings	9,057	-	-	974	-	-	10,031
	9,057	-	-	974	-	-	10,031
Total Depreciation	12,521,213	150,832	-	1,451,996	(228,340)	-	13,895,700
Carrying Value	24,612,957						24,700,824
Impairment	(6,749)			-	-		(6,749)
Total Carrying Value of Property, Plant & Equipment	24,606,208		-				24,694,074

Note ; The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2024 is Rs.3,933 million (2022/2023 - Rs. 3,625 million).

a) Capital Work in Progress

Laxapana Batteries PLC

During the year, Laxapana Batteries PLC transferred commissioned roof-top solar power plants amounting to Rs.231.4 Mn from the Capital Work in progress to Property, Plant and Equipment.

C. W. Mackie PLC

The capital work-in progress balance as at 31 March 2024 represent the cost incurred by C. W. Mackie PLC on the snack manufacturing plant to improve the production capacity of the factory. Accordingly, the Company has capitalised the improvements made to machinery, land and buildings in the design stage of the project as at the financial year end.

Kotagala Plantations PLC

Capital Work-in-Progress include the Work-in-Progress pertaining to Improvements to Land & Buildings, Water Projects & Sanitations and Plant & Machinery.

Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.

- b) Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.
- c) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 25.5 to these Financial Statements.

Notes to the Financial Statements contd.

10.2 Company

	Balance as at 01.04.2023 Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2024 Rs.'000
Cost / Valuation					
Freehold					
Plant & Machinery	2,698	-	-	-	2,698
Motor Vehicle	24,669	-	-	-	24,669
Office Equipment	12,745	230	-	-	12,975
Furniture and Fittings	10,721	-	-	-	10,721
Total Cost	50,833	230	-	-	51,063

	Balance as at 01.04.2023 Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2024 Rs.'000
Accumulated Depreciation					
Freehold					
Plant & Machinery	1,216	327	-	-	1,543
Motor Vehicle	24,669	-	-	-	24,669
Office Equipment	12,108	377	-	-	12,485
Furniture and Fittings	10,033	151	-	-	10,184
Total Accumulated Depreciation	48,026	855	-	-	48,881
Total Carrying Value of Property, Plant & Equipment	2,807				2,182

Note: The cost of fully depreciated Property, Plant and equipment of the Company which are still in use as at 31st March 2024 was Rs. 45.01 million (2022/2023 - Rs. 44.79 million)

10.3 GROUP

The portfolio of Lands in the Group consist of the following.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Carrying amount of land under cost model Rs.'000	Market Value as at 31st March 2024 Rs.'000	Market Value as at 31st March 2023 Rs.'000
Marawila Resorts PLC								
Land	Marawila	4,347	72	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	880,948	1,289,010	1,289,010
Sigiriya Village Hotels PLC								
Land	Sigiriya	2,688	39	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	176,245	206,994	206,993
Galle Fort Hotel (Private) Limited								
Land	Galle Fort, Galle.	78	8	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	336,676	1,355,350	1,355,350
Beruwala Resorts PLC								
Land	Moragalla, Beruwala.	3	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	267	267	267

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Carrying amount of land under cost model Rs.'000	Market Value as at 31st March 2024 Rs.'000	Market Value as at 31st March 2023 Rs.'000
B.O.T. Hotel Services (Private) Limited								
Land	Kaparathota Road, Waligama.	491	7	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	361,805	551,775	551,775
Lankem Developments PLC								
Land	Maguruwila Road, Gonawala.	86	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	6,950	22,400	22,400
Union Commodities (Private) Limited								
Land	No.79, Biyagama Road, Talwatta, Kelaniya	611	11	Mr. P.B Kalugalagedara	31.03.2022	255,920	581,940	581,940
	No.120/9, Maya Mawatha, Kiribathgoda	11	-	Mr. P.B Kalugalagedara	31.03.2022	1,000	5,000	5,000
Teacom (Private) Limited								
Land	Paddy Land- Ranawiru JA Chaminda Mawatha	1,016	-	Mr. P.B Kalugalagedara	31.03.2022	3,000	12,700	12,700
Lankem Ceylon PLC								
Land	St. Anthony's Road, Ekala, Kuriduwa.	476	12	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	60,600	385,844	385,844
E B Creasy & Company PLC								
Land	No 98, Sri Sangaraja Mawatha, Colombo 10.	238	2	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	453,000	3,217,500	3,217,500
Land	No.55, Maguruwila Road, Gonawala, Sapugaskanda	868	3	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	524,135	524,135	524,135
Candy Delights Limited								
Land	No 26 , Agaradaguru Mawatha, Ekala, Ja-Ela.	160	1	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	32,000	84,000	84,000
Laxapana Batteries PLC								
Land	No.398, Awissawella Road, Panagoda, Homagama	577	3	Mr. J.M.S. Bandara Chartered Valuer	31.03.2024	103,256	553,500	521,902
C.W. Mackie PLC								
Land	Scan Bottling Plant Munagama, Horana.	485	4	Mr. K.T.D. Tissera Chartered Valuer	31.03.2024	71,944	363,908	363,908
Ceymac Rubber Company Limited.								
Land	Aramanagolla, Horana Horana.	800	11	Mr. K.T.D. Tissera Chartered Valuer	31.03.2024	3,350	640,360	640,360
Land	Thebuwana, Narthupana	850	8	Mr. K.T.D. Tissera Chartered Valuer	31.03.2024	469	137,250	137,250
Kelani Valley Canneries Limited								
Land	Kaluaggala, Hanwellla	355	7	Mr. K.T.D. Tissera Chartered Valuer	31.03.2024	39,000	137,250	137,250

Notes to the Financial Statements contd.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Carrying amount of land under cost model Rs.'000	Market Value as at 31st March 2024 Rs.'000	Market Value as at 31st March 2023 Rs.'000
CM Holdings PLC								
Colonial Motors (Ceylon) Limited								
Land	41/35, Nagahamulla Road, Thalangama, Battaramulla	133	6	Mr. N.B.S.A. Nanayakkara Chartered Valuer	30.03.2022	67,246	293,040	293,040
J.F. Packaging Limited								
Land	Minuwangoda Road, Kotugoda	350	4	Mr. Siri Nissanka Chartered Valuer	31.03.2024	42,199	348,000	304,500
Ceylon Tapes (Private) Limited								
Land	Samagi Mawatha, Ja-ela	45	2	Mr. Siri Nissanka Chartered Valuer	31.03.2024	11,250	36,000	14,625
ACME Printing and Packaging PLC								
Land	345, Gonamadiththa Road, Piliyandala.	464	4	Mr. P. P. T. Mohideen Chartered Valuer	31.03.2022	231,900	231,900	231,900
Total							10,978,123	10,881,650

10.3.1 Laxapana Batteries PLC

Land area of 27.63 perches belongs to Laxapana Batteries PLC has been gazetted to be acquired by the Government. The Company made a claim on 28.04.2016 for Rs.218.6 Million, which includes the compensation for 27.63 perches of land, 3,885 cubic feet of retaining wall and other miscellaneous items. No adjustment has been made in the financial statements, pending finalisation of the claim.

10.4 Immature/Mature Plantations - Bearer Biological Assets

	2024 Rs.'000	2023 Rs.'000
Agarapatana Plantations PLC (APL)	2,228,650	2,236,929
Kotagala Plantations PLC (KPPLC)	3,276,340	3,243,893
	5,504,990	5,480,822

10.4.1 Mature/Immature Plantations- Bearer Biological Assets

Cost	Mature Plantations			Immature Plantations			Total	Total
	Tea Rs'000	Rubber Rs'000	Other Rs'000	Tea Rs'000	Rubber Rs'000	Other Rs'000	31.03.2024 Rs'000	31.03.2023 Rs'000
At the beginning of the year	3,504,236	2,332,025	611,968	662,901	660,525	84,512	7,856,167	7,549,791
Additions/Transfer in	193,509	148,334	-	68,729	158,869	46,205	615,646	426,172
Transfer out	-	-	-	(193,509)	(148,334)	-	(341,843)	(119,796)
At the end of the year	3,697,745	2,480,359	611,968	538,121	671,060	130,717	8,129,970	7,856,167
Depreciation								
At the beginning of the year	1,041,856	1,148,895	184,594	-	-	-	2,375,345	2,132,225
Charge for the year	107,142	111,985	30,507	-	-	-	249,634	243,120
At the end of the year	1,148,998	1,260,880	215,101	-	-	-	2,624,979	2,375,345
Carrying Value as at 31.03.2024	2,548,747	1,219,479	396,867	538,121	671,060	130,717	5,504,990	
Carrying Value as at 31.03.2023	2,462,380	1,183,130	427,374	662,901	660,525	84,512		5,480,822

- a) These are investments in mature/immature plantations since the formation of the respective companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Bearer Biological Assets are measured at cost less accumulated depreciations and accumulated impairment losses, if any, in terms of LKAS 16 - "Property Plant and Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting Rs.2.5 million (2022/23 - Rs.6 million) on Tea, and Rs.47.6 million (2022/23 - Rs.78.6 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 12.75% (2022/23 - 27.78%). The capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations PLC, a subsidiary, amounting to Rs.31,773,125 /- (2023 Rs. 53,669,767/-) have been capitalised as part of the cost of the immature plantations. Capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

10.5 Fair Value gain on growing produce on bearer Biological Assets

As at 31st March	2024 Rs.'000	2023 Rs.'000
At the beginning of the year	43,278	18,692
Change in Fair value less cost to sell	(8,269)	24,586
At the end of the year	35,009	43,278

10.6 Consumable Biological Assets

As at 31st March	2024 Rs.'000	2023 Rs.'000
At the beginning of the year	3,317,885	3,133,550
Increased Due to Development	8,921	3,615
Transfer from Consumable Assets- Immature	-	2,489
Decreased due to harvesting	(12,730)	(13,475)
Gain arising from changes in fair value for the year	546,488	191,706
	3,860,564	3,317,885

Kotagala Plantations PLC and Agarapatana Plantations PLC have recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed tress include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

The fair value of managed trees was valued by Mr.Fathihu A A M (FIV), Incorporated Valuers by using following assumptions:

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Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
	Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition. (Price range per cu ft is Rs. 400 - 1,000)
Discount rate	Future cash flows are discounted at the rate of 15%, 16% & 17% (2022/23 - 21.5%, 22.5% & 23.5%)

The board of directors established that the fair value of consumable biological assets of the Company is comprised of only managed trees which fall under the purview of the forestry management plan of the company, since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by The Institute of Chartered Accountants of Sri Lanka.

The actual number of commercially cultivated managed timber trees available as per the physical verification is included No physical verifications within the fair value of timber (consumable biological assets) for the year ended 31st March 2024.

The Company is exposed to the following risks relating to its timber plantations.

Regulatory and environmental risks

The Company is subject to laws and regulations in Sri Lanka. The Company has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks

Supply and demand risk

The Company is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible, the Company manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analysis to ensure that the Company's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Company's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Company has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

Agarapatana Plantations PLC (APL)

Managed timber plantation was measured at fair value initially as at 31 March 2013 and subsequently. The corresponding gain/(loss) was recognized in the statement of profit or loss. However fair value surplus was recognized in the equity as a separate component which will be available for distribution only on realisation of consumable biological assets.

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees is treated as approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material. When such Plantations become mature, the additional investments since taken over to bring them to maturity are transferred from Immature to Mature.

The fair value of matured managed trees were ascertained in accordance with SLFRS 13. The valuation was carried by Mr. A.A.M Fathihu, FIV, chartered valuation surveyors, using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber, a physical verification was carried out covering all the estates.

10.6.1 Measurement of Fair Value

- The Future cash flows are determined by reference to current timber prices
- The fair value measurement for the consumable biological assets has been categorized as level 3 fair value based on inputs to the valuations used. Breakdown of the total gains recognized in respect of level 3 fair values of biological assets are given below.

As at 31st March	Group	
	2024 Rs. `000	2023 Rs. `000
Change in fair value of consumable biological assets (Note 10.6)	546,488	191,706
Change in fair value of growing produce of bearer biological assets (Note 10.5)	(8,269)	24,586
	538,219	216,292

c) Following table shows the valuation techniques in measuring level 3 fair value of consumable biological assets as well as significant unobservable inputs used.

Kotagala Plantations PLC (KPPLC)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years	Discounted Cash Flows The valuation model considers present value of future net cashflows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per tree basis. Expected cashflows are discounted using a high risk adjusted rates of ; 15% - Trees age to harvest 5 years or below 16% - Trees age to harvest 6 -14 years 17% - Trees age to harvest 15 years or above comprising a risk free rate of 18.5%	Determination of Timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. Determination of Price of Timber Price range per cu ft. is Rs.400 - 1,000 Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, ▪ The estimated timber content ▪ The estimated timber prices per cubic meter ▪ The estimated selling related costs ▪ The estimated maturity age ▪ The risk adjusted discount rate

Agarapatana Plantations PLC (APL)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber	Discounted Cash Flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis Expected Cash flows are discounted using ; 15%- Trees age to harvest 5 years or below 16% - Trees age to harvest 6- 15 years 17% - Trees age to harvest 15 years or above	Optimum Rotation (Maturity) - 25 years Volume at Rotation - 19.4 - 88.5 cu.ft. Price per cu.ft. -Rs.390/- to Rs.1,231/-	Lower the rotation period, the higher the fair value The higher the volume, the higher the fair value Higher the price per cu.ft. higher the fair value. Higher the discount rate ,the lesser the fair value

Other key assumptions used in valuation

1. The harvesting is approved by the PMMD and the Forest Department based on the Forestry Development Plan.
2. The prices adopted are net of expenditure
3. Though the replanting is a condition precedent for harvesting yet the costs are not taken in to consideration.

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity

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markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of the company are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to realise in future included in the calculation of the fair value takes into account the age of the timber plants and not the expiration date of the lease.

10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	10%	-10%
Sensitivity effect on the carrying value of Biological Assets Rs.(000)		
As at 31 March 2024	386,581	(386,581)
As at 31 March 2023	332,206	(332,206)

b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets:

	1%	-1%
Sensitivity effect on the net present value of Biological Assets Rs.(000)		
As at 31 March 2024	(90,061)	92,509
As at 31 March 2023	(68,996)	70,555

11 LEASEHOLD PROPERTY

	Balance as at 31.03.2023 Rs.'000	Additions During the Year Rs.'000	Balance as at 31.03.2024 Rs.'000
Cost			
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)			
Kotagala Plantations PLC (Note 11.1.a)	903,968	342,098	1,246,066
Agarapatana Plantations PLC (Note 11.1.b)	341,588	-	341,588
	1,245,556	342,098	1,587,654
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)			
Kotagala Plantations PLC (Note 11.2.a)	448,322	-	448,322
Agarapatana Plantations PLC (Note 11.2.b)	265,748	-	265,748
	714,070	-	714,070

11 LEASEHOLD PROPERTY CONTD.

	Balance as at 31.03.2023 Rs.'000	Additions During the Year Rs.'000	Balance as at 31.03.2024 Rs.'000
Other Leasehold Assets			
SunAgro Farms Limited	2,555	-	2,555
	2,555	-	2,555
Total Cost	1,962,181	342,098	2,304,279

	Balance as at 31.03.2023 Rs.'000	Charge for the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2024 Rs.'000
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Accumulated Depreciation

Leasehold Right to Bare Land of JEDB/SLSPC Estates

Kotagala Plantations PLC (Note 11.1.a)	271,949	40,068	-	312,017
Agarapatana Plantations PLC (Note 11.1.b)	198,514	6,503	-	205,017
	470,463	46,571	-	517,034

Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

Kotagala Plantations PLC (Note 11.2.a)	442,147	5,522	-	447,669
Agarapatana Plantations PLC (Note 11.2.b)	253,349	5,985	-	259,334
	695,496	11,507	-	707,003

Other Leasehold Assets

SunAgro Farms Limited	2,555	-	-	2,555
Total Depreciation	1,168,514	58,078	-	1,226,592
Carrying Value	793,667	-	-	1,077,687

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company.

Millewa Estate was acquired by the Urban Development Authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to bare land was written off since the company no longer has control of the said estate.

The Group has applied SLFRS-16 from 1 April 2019 (Leases) for leasehold assets recorded in the financial statements.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs.'000	Remeasurement During the Year	Balance 31.03.2024 Rs.'000	Balance 31.03.2023 Rs.'000
Right to use the Land of JEDB/SLSPC Estates	53 years	358,928	342,098	1,246,066	903,968

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Amortisation	Balance as at 31.03.2023 Rs'000	Charge for the Year Rs'000	Balance as at 31.03.2024 Rs'000	Carrying Value as at 31.03.2024 Rs'000	Carrying Value as at 31.03.2023 Rs'000
	271,949	40,068	312,017	934,049	632,019

b) Agarapatana Plantations PLC

"Right-of-use assets - Land" has accounted in accordance with SLFRS 16 - Leases with effect from 01 January 2019. "Right-of-use assets - Land" have been executed for all estates for a period of 53 years. The unexpired period of the lease as at the Statement of Financial Position date is 21 years.

This Right-of-use assets - Land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets.

Description	Cost / valuation as at 22.06.92 Rs'000	Accumulated Amortisation 31.03.2023 Rs'000	Amortisation During the Year Rs'000	Accumulated Amortisation 31.03.2024 Rs'000	Carrying Value as at 31.03.2024 Rs'000	Carrying Value as at 31.03.2023 Rs'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	198,514	6,503	205,017	136,571	143,074

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka based on then existing accounting standards. For this purpose, the Board decided at its meeting held on 8th March 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr. D R Wickramasinghe, just prior to the formation of the Company. The value taken into 22nd June, 1992, statement of Financial Position and the amortisation of leasehold rights upto 31st March 2024 are as follows,

Millewa Estate was acquired by the Urban Development Authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to Immovable Leased Assets was written off since the company no longer has control of the said estate.

Revaluation	Life of the Asset	As at 22.06.92 Rs'000	Balance 31.03.2024 Rs'000	Balance 31.03.2023 Rs'000
Land Development Cost	30 years	6,712	6,360	6,360
Buildings other than Worker housing	25 years	26,519	25,174	25,174
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations				
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	163,548	163,548
- Others	25 years	-	8,140	8,140
Immature Plantations				
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	448,322	448,322

Amortisation	Balance as at 31.03.2023 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2024 Rs.'000	Carrying Value As at 31.03.2024 Rs.'000	Carrying Value As at 31.03.2023 Rs.'000
Land Development Cost	6,360	-	6,360	-	-
Buildings other than Worker Housing	25,174	-	25,174	-	-
Plant & Machinery	8,757	-	8,757	-	-
Water Projects and Sanitations	8,688	-	8,688	-	-
Mature Plantations	-	-	-	-	-
- Tea	222,459	5,196	227,655	-	5,196
- Rubber	163,548	-	163,548	-	-
- Others	7,161	326	7,487	653	979
	442,147	5,522	447,669	653	6,175

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22.06.1992.

Further investment in such plantations to bring them to maturity are shown under Note 10.4.1

b) Agarapatana Plantations PLC

At the time of privatisation of plantation estates, all immovable assets in these estates have been taken into the books of the Company retroactive to 22nd June 1992 under finance lease. However, SLFRS 16 - Leases was applicable with effect from 01 January 2019, and therefore, these assets have accounted in accordance with such standard with effect from 01 January 2019.

Description	Revaluation as at 22.06.92 Rs.'000	Transfers/ Immature to Mature (Adjustments) Rs.'000	Value as at 31.03.2023 Rs.'000	Accumulated Depreciation 31.03.2023 Rs.'000	Depreciation for the Year Rs.'000	Accumulated Depreciation 31.03.2024 Rs.'000	Carrying Value As at 31.03.2024 Rs.'000	Carrying Value As at 31.03.2023 Rs.'000
Improvement to Land	5,406	-	5,406	5,406	-	5,406	-	-
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	521	17	538	139	156
Buildings	62,634	-	62,634	62,634	-	62,634	-	-
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,823	(621)	8,202	8,202	-	8,202	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	168,153	5,968	174,121	4,972	10,940
Vested Tea	1,223	-	1,223	1,223	-	1,223	-	-
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(621)	265,748	253,349	5,985	259,334	6,414	12,399

Note : Investment in plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under immature plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 16 – Property, Plant & Equipment. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further investments in such plantations to bring them to maturity are shown in Note 10.4.1.

Notes to the Financial Statements contd.

12 RIGHT-OF-USE ASSETS

As at 31st March	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Cost				
Balance as at Beginning of the Year	1,298,643	1,056,242	-	-
Reassessment	92,769	114,374	-	-
De-Recognition of ROU due to Termination during the year	(70,430)	(14,422)	-	-
Adjusted balance	1,320,982	1,156,194	-	-
Additions during the year	224,369	142,449	-	-
Balance as at end of the Year	1,545,351	1,298,643	-	-
Accumulated Depreciation				
Balance as at Beginning of the Year	484,631	358,627	-	-
De-Recognition of ROU due to Termination during the year	(54,443)	(11,441)	-	-
Adjusted balance	430,188	347,186	-	-
Depreciation charge of the right-of-use assets for the year	219,836	137,445	-	-
Balance as at end of the Year	650,024	484,631	-	-
Total Carrying Value	895,327	814,012	-	-

(i) C W Mackie PLC

The Group has taken certain land and buildings on lease. In terms of the grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99-year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

The Company is in the process of negotiating to enter into a fresh agreement with the relevant Government Authorities, with the expiry of the present lease agreement by 10 June 2024.

(ii) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037.

(iii) Sigiriya Village Hotels PLC

Sigiriya Village PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039.

(iv) Ceyflex Rubber Limited

Ceyflex Rubber Limited, a subsidiary of the Company, has entered into a Lease agreement with the Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and an annual ground rent of USD 6,050/- per annum. The carrying value of lease rentals paid in advance was transferred to right-of-use asset in accordance with provisions in SLFRS - 16.

13 INVESTMENT PROPERTY

	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost				
Balance as at Beginning of the Year	2,950,941	3,031,034	819,208	816,719
Additions during the year	17,085	13,567	9,910	2,489
Transfers to Property Plant and Equipment	(2,800)	-	-	-
Disposals during the year	-	(93,660)	-	-
Balance as at end of the Year	2,965,226	2,950,941	829,118	819,208
Accumulated Depreciation				
Balance as at Beginning of the Year	247,357	217,866	26,446	22,876
Charge for the Year	32,339	33,393	3,999	3,570
Disposals during the year	-	(3,902)	-	-
Balance as at end of the Year	279,696	247,357	30,445	26,446
Carrying Value	2,685,530	2,703,584	798,673	792,762
Capital Work in Progress	-	8,981	-	8,980
Total Carrying Value (Note 13.1)	2,685,530	2,712,565	798,673	801,742

13.1 Fair value of the investment property as at 31st March 2024 is as follows;

Company	Location	Extent	Carrying Value Rs.'000	Fair Value Rs. Mn.
The Colombo Fort Land and Building PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	156,436 Sq ft	798,673	3,359 Mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10	57,158 Sq ft	-	271 Mn
Sunquick Lanka Properties (Private) Limited	Munagama , Horana	128,774 Sq ft	637,612	700 Mn
Union Commodities (Private) Limited	No.79 , Biyagama Road , Talwatta, Kelaniya.	38,287 Sq ft	16,415	136 Mn
C M Holdings PLC	297,Colvin R De Silva Mw, Colombo 02.	31,757 Sq ft	949,071	3,372 Mn
C M Holdings PLC	497/C Pannipitiya Road, Pelawatta	109.2P	102,207	355Mn
Imperial Hotels Limited	Halloluwa, Katugastota	6A,1R,36P	157,144	528 Mn
Sigiriya Village Hotels PLC	Trincomalee	8A,1R, 2.3P	24,407	24 Mn
			2,685,530	8,745 Mn

13.2 Rent Income is included in the Statement of Comprehensive Income as follows;

	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Rent Income	388,879	347,975	132,732	108,833
Direct operating expenses arising from investment property that generated rental income during the year	86,821	74,636	39,621	36,131

C.W. Mackie PLC

C.W. Mackie PLC has rented out a part of C.W. Mackie building complex and the value of land and buildings of that portion has been classified as investment property and accounted on "Cost Model" as required by LKAS 40 – Investment Property. The above investment property is situated at No. 36, D. R. Wijewardena Mawatha, Colombo 10. and the extent of the building is 57,158 square feet.

Notes to the Financial Statements contd.

C M Holdings PLC

The company and the group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years.

The valuation was performed by Mr. P. P. T. Mohideen Chartered Valuation Surveyor who is an external independent property valuer, having appropriate recognised professional qualifications and recent experience in the location and the category of the property being valued.

Imperial Hotels Ltd

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2023, amounted to Rs. 157.1 Mn.

As per the valuation carried out by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, fair value of investment property as at 31st March 2022 is Rs. 528 Mn.

Sigiriya Village Hotels PLC

During the year, as a result of a change in the Company's business plan, land previously recognised under property, plant and equipment has been classified as investment property and accounted under "Cost Model" as required by LKAS 40 – Investment Property. The Company intends to hold the land for capital appreciation. The above investment property is situated in Trincomalee and the extent of the land is 8 A, 1 R & 2.3 P.

Union Commodities (Private) Limited

The fair value of investment property was determined by the external, independent Chartered Valuation Surveyor, Prathap Chartered Valuation & Consultancy (Pvt.) Ltd. Fair value is determined by reference to market-based evidence. Valuations are based on open market prices adjusted for any difference in the nature, location or condition of the specific property. These valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximize the use of relevant observable inputs. The data of the most recent revaluation carried out was 31st March 2023.

Laxapana Batteries PLC

Laxapana Batteries PLC a subsidiary of the Company, transferred a land of 0A-0R-07P to investment property during the year 2018/19, because the land was regarded as held for capital appreciation.

Immediately before the transfer, the Company remeasured the property at fair value and recognised a gain of Rs.1,581,293 in OCI and transferred the same to Investment Property at a fair value of Rs. 2,800,000.00 During the year this was transferred to PPE.

COMPANY

Investment properties of the Company consists of land amounting to Rs.621.62 million (2023 - Rs.621.62) and building amounting to Rs. 177.05 million (2023 - Rs. 171.15 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	798,673	3,359,000

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS (England) and the fair value of the investment properties as at 31st March, 2022 was Rs.3.36 billion.

The Rental Income earned by the Company from the said properties amounted to Rs.132.73 million (2023 - 108.83 million).

Direct Operating Expenses incurred by the Company amounted to Rs. 39.62 million (2023 - Rs. 36.13 million) and this consists of Rs. 6.10 million (2023 Rs. 5.56 million) relating to premises which are vacant.

The Investment Property is depreciated using the straight line method over its estimated useful life of 99 years and 44 years for the premises situated at Sir Baron Jayatilake Mawatha and Leyden Bastian Road respectively.

As at the reporting date there were no contractual obligations to purchase, construct or develop the investment properties or for repairs, maintenance and enhancement.

The Company has executed a Tertiary Mortgage Bond for Rs.100 million and a Quaternary Mortgage Bond for Rs.87.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

14 INTANGIBLE ASSETS

As at 31st March,	GROUP	
	2024 Rs.'000	2023 Rs.'000
Goodwill on Acquisition (Note14.1)	669,701	669,701
Trade Mark (Note14.2)	164	1,957
Computer software (Note14.3)	38,054	24,639
	707,919	696,297

14.1 Goodwill

At the beginning of the Year	669,701	669,701
At the end of the Year (Note 14.1.1)	669,701	669,701

14.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

C. W. Mackie PLC	92,778	92,778
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steels Limited	21,696	21,696
J.F.Packaging Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
Kiffs (Private) Limited	85,202	85,202
Alliance Five (Private) Limited	24,999	24,999
ACME Printing and Packaging PLC	140,324	140,324
	669,701	669,701

For the purpose of impairment testing , goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

In light of current operational and economic conditions, the Group reassessed the expected future business performance relating to cash generating units (CGUs) where the management has concluded that the recoverable values of CGUs exceed its carrying values.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

Notes to the Financial Statements contd.

The management has identified that a reasonably possible change in key assumptions could cause the carrying amount to exceed the recoverable amount. The following table shows the key assumptions and amount by which assumption would need to change individually for the estimated recoverable amount to be equal to the carrying amount.

14.1.2 Recoverable values measured with reference to the value in use

Investee	Significant unobservable inputs	Value of the inputs	Change required for carrying amount to equal recoverable amount	
			Discount Rate	Growth Rate
Ceylon Tapes (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	30% 19% - 25% 3 years (terminal value thereafter)	9.7%	-10.9%
JF Packaging Ltd.	Average Growth Rate Discount Rate (range) Term	25% 18% - 21% 3 years (terminal value thereafter)	4.2%	-1.0%
Kiffs (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	20% 19% - 22% 3 years (terminal value thereafter)	15.5%	-6.5%
Alliance Five (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	20% 20% - 27% 3 years (terminal value thereafter)	31.4%	-9.1%
Sherwood Holidays Ltd.	Average Growth Rate Discount Rate (range) Term	15% 30% 5 years (terminal value thereafter)	45.0%	-8.0%
Lanka Special Steels Limited	Average Growth Rate GP Margin Discount Rate (range) Term EBITDA Margin	10% for the first 5 years and 3% terminal growth rate 13.5% - 17% 10.3% - 10.8% 5 years (terminal value thereafter) 7.8% - 11.3%	18.9%	-10.0%

Above assumption have been determined based on the historical performance of the comprehensive adjusted for market information related to discount rate.

14.1.3 Recoverable values measured with reference to the fair value less cost to sell

Investee	Significant unobservable inputs	Value of the inputs
C.W. Mackie PLC	Adjusted NAV	Rs.112 - Rs. 130

Above fair values are classified as Level 3 as per the fair value hierarchy under SLFRS 13.

As at 31st March,	GROUP	
	2024 Rs.'000	2023 Rs.'000

14.2 Trade Mark

Cost

As at the beginning of the Year	22,585	23,735
Additions/ disposal during the Year	-	(1,150)
As at the end of the Year	22,585	22,585

Amortisation

As at the beginning of the Year	20,628	18,700
Amortised during the year	1,793	3,078
Disposal during the Year	-	(1,150)
At the end of the Year	22,421	20,628
Carrying Value	164	1,957

14.3 Computer Software

Cost

As at the beginning of the Year	233,711	229,191
Additions/ disposal during the Year	23,157	4,520
As at the end of the Year	256,868	233,711

Amortisation

As at the beginning of the Year	209,072	201,677
Amortised during the year	9,742	7,395
At the end of the Year	218,814	209,072
Carrying Value	38,054	24,639

Trade Mark

During the financial year 2015/2016, Darley Butler & Company Limited acquired the agency right of Intas Pharmaceuticals Limited for Rs.13 Million which was amortised over 03 Years.

During the financial year 2019/2020, E. B .Creasy & Co. PLC paid an amount of Rs.70 million to Lankem Ceylon PLC for acquisition of Lankem consumer brands which is being amortised over 03 Years.

During the financial year 2020/2021, an amount of Rs. 7,804,878/- was paid to Brown & Company PLC to acquire the agency right of Unosource Pharma Ltd by Darley Butler & Co. Ltd and same is amortised over 03 Years.

During the financial year 2008/2009, E. B .Creasy & Co. PLC was paid an amount of Rs. 1,150,000/- to Adamjee Pharma (Private) Limited to acquire the agency right of Navana Pharmaceuticals Limited.

Computer Software

The details of the computer software are as follows;

Intangible Asset	Useful Life	Amortisation Method	Type
Software Licence	5 Years	Straight-Line	Acquired
Sales Force Automation System	5 Years	Straight-Line	Acquired
Human Resource Information System	5 Years	Straight-Line	Acquired
E mail Solution	5 Years	Straight-Line	Acquired
Enterprice Resource Planning	5 Years	Straight-Line	Acquired

Notes to the Financial Statements contd.

15 INVESTMENTS IN SUBSIDIARIES

	Group Holding	Company Holding	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
<i>As at 31st March,</i>	2024	2024	2024	2024	2024	2023	2023	2023
	%	%		Rs.'000	Rs.'000		Rs.'000	Rs.'000

15.1 COMPANY

15.1.1 Quoted Investments

ACME Printing & Packaging PLC	49.34	0.08	80,000	403	440	80,000	403	504
Agarapatana Plantations PLC	32.52	1.30	6,485,358	27,847	47,992	-	-	-
Beruwala Resorts PLC	57.46	0.01	30,000	32	42	30,000	32	42
C M Holdings PLC	26.26	63.49	9,649,850	550,183	775,848	9,649,850	550,183	608,906
C.W.Mackie PLC	40.31	0.17	60,500	4,894	5,747	60,500	4,894	4,955
E.B. Creasy & Company PLC	59.93	52.98	134,319,915	35,228	3,089,358	134,319,915	35,228	2,699,830
Lankem Ceylon PLC	70.59	55.22	28,423,233	815,017	1,932,780	30,980,000	888,320	2,345,186
Marawila Resorts PLC	37.08	0.72	2,516,666	9,186	8,557	1,510,000	7,173	3,171
Muller & Phipps (Ceylon) PLC	30.74	0.02	60,030	91	66	60,030	91	72
York Arcade Holdings PLC	49.99	49.27	369,495	4,963	48,404	369,495	4,963	52,561
				1,447,844	5,909,234		1,491,287	5,715,227

15.1.2 Unquoted Investments

Agarapatana Plantations Limited	-	-	-	-	-	6,455,458	27,577	-
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Group Services (Pvt) Ltd	100.00	100.00	110,000	10,100	-	10,000	100	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Hotels Limited	75.48	26.26	73,059,569	686,760	-	38,163,569	358,738	-
Colombo Fort Properties (Pvt) Ltd	100.00	99.70	1,000	10	-	1,000	10	-
Consolidated Tea Plantations Ltd	73.96	44.97	37,751,575	1,118,085	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				1,869,838	-		681,808	-
Total Cost				3,317,682			2,173,095	
Less: Provision for Impairment in Value of Investments (Note 15.2)				(262,956)			(262,956)	
Carrying Value of Investment in Subsidiaries				3,054,726			1,910,139	

	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000

15.1.3 Preference Shares

Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylan (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
Carrying Value		-			-	

15.2 Provision for Impairment in Value of Investments

	2024 Rs:'000	2023 Rs:'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	55	55
Beruwala Resorts PLC	14	14
Marawila Resorts PLC	5,512	5,512
	5,581	5,581
Unquoted Investments		
C.F.Travels Limited	15,000	15,000
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Colombo Fort Hotels Limited	240,500	240,500
Colombo Fort Group Services (Private) Limited	100	100
Transways (Private) Limited	150	150
	257,375	257,375
	262,956	262,956

15.3 Calculation of Recoverable Values

As explained above, the recoverable values of these subsidiaries were determined with reference to their net assets / Market Values as follows.

Subsidiary	Unobservable input
Beruwala Resorts PLC	Market Value per Share
C M Holdings PLC	Market Value per Share
E.B. Creasy & Company PLC	Market Value per Share
Lankem Ceylon PLC	Market Value per Share
Marawila Resorts PLC	Market Value per Share
Muller & Phipps (Ceylon) PLC	Market Value per Share
York Arcade Holdings PLC	Market Value per Share
Agarapatana Plantations PLC	Market Value per Share
C.F. Travels Limited	Net Assets per Share
Capital Leasing Company Limited	Net Assets per Share
Colombo Fort Group Services (Pvt) Ltd	Net Assets per Share
Colombo Fort Holdings Limited	Net Assets per Share
Colombo Fort Hotels Limited	Adjusted Net Assets per Share
Colombo Fort Properties Limited	Net Assets per Share
Consolidated Tea Plantations Ltd	Net Assets per Share
Transways (Private) Limited	Net Assets per Share
ACME Printing & Packaging PLC	Market Value per Share
C.W.Mackie PLC	Market Value per Share

The Company makes an assessment for the impairment in value of Investments annually. Accordingly the recoverable value is higher than the carrying value and an additional impairment was not required as at 31st March 2024.

Notes to the Financial Statements contd.

15.4 Group Companies Investment in Subsidiaries

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2024	2023	2024	2023
E. B. Creasy & Company PLC	Lankem Ceylon PLC	18.26%	18.26%	9,399,646	9,399,646
	Laxapana Batteries PLC *	68.27%	68.27%	45,212,378	45,212,378
	Darby Butler & Co. Limited	100.00%	100.00%	9,999,964	10,000,000
	Candy Delights Limited	100.00%	100.00%	1,384,454	1,384,454
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	100.00%	1,200	1,200
	E.B.Creasy Ceylon (Private) Limited	100.00%	100.00%	143,582	143,582
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E B creasy logistics Limited	99.99%	99.99%	49,994	49,994
	Imperial Hotels Limited	0.14%	0.14%	19,825	19,825
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steels Limited	100.00%	100.00%	2,138,657	1,823,074
	Ceyflex Rubber Limited	100.00%	100.00%	7,993,186	7,993,183
	ACME Printing & Packaging PLC	52.61%	53.04%	49,979,223	50,386,811
	Agarapatana Plantations PLC	5.31%	6.37%	26,541,327	26,541,327
	Consolidated Tea Plantations Limited	1.53%	0.00%	1,281,157	-
Darley Butler & Company Limited	Lankem Ceylon PLC	1.04%	1.04%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.00%	6	6
	Agarapatana Plantations PLC	0.66%	3.46%	3,280,152	14,411,270
	Marawila Resorts PLC	0.00%	0.00%	188	188
	York Arcade Holdings PLC	0.60%	0.60%	4,500	4,500
	Kotagala Plantations PLC	3.10%	3.10%	10,487,299	10,487,299
	C.W. Mackie PLC	0.01%	0.01%	2,350	2,350
	Consolidated Tea Plantations Limited	4.00%	0.00%	3,356,099	-
Candy Delights Limited	Lankem Ceylon PLC	0.05%	0.05%	23,337	23,337
	York Arcade Holdings PLC	0.33%	0.33%	2,500	2,500
E.B.Creasy Ceylon (Private) Limited	Consolidated Tea Plantations Limited	0.00%	0.00%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	62,162	62,162
	Marawila Resorts PLC	0.04%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	3.36%	3.36%	9,344,800	9,344,800
	Beruwala Resorts PLC	0.00%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.00%	0.00%	536	536
	York Arcade Holdings PLC	0.27%	0.27%	2,000	2,000
	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993
Muller & Phipps (Ceylon) PLC	Muller & Phipps (Health Care) Limited	100.00%	100.00%	272,033,618	2,033,618
Muller & Phipps (Health Care) Limited*	Colombo Fort Hotels Limited	0.46%	0.46%	1,275,200	1,275,200
	Beruwala Resorts PLC	0.00%	0.01%	30,000	30,000
Lankem Ceylon PLC	Lankem Development PLC	2.07%	2.07%	2,480,626	2,480,626
	Marawila Resorts PLC	4.68%	7.23%	16,478,829	16,478,829
	Colombo Fort Hotels Limited	52.93%	65.47%	147,270,913	182,166,913
	Consolidated Tea Plantations Limited	36.38%	47.56%	30,542,991	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Lankem Exports Limited	100.00%	100.00%	10,000	10,000
	Lankem Paints Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Consumer Products Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Chemicals Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Research Limited	100.00%	100.00%	250,007	250,007
	SunAgro LifeScience Limited	100.00%	100.00%	426,000	426,000
	SunAgro Farms Limited	100.00%	100.00%	1,200,000	1,200,000
	Associated Farms Limited	100.00%	99.99%	55,398	55,398
	C.W. Mackie PLC	54.25%	54.25%	19,523,252	19,523,252

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2024	2023	2024	2023
Lankem Ceylon PLC Contd.	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	C M Holdings PLC	2.18%	2.18%	331,547	331,547
	J.F. Packaging Limited	100.00%	100.00%	1,204,068	1,204,068
	Nature's Link (Private) Limited	100.00%	100.00%	5,000,000	5,000,000
	Agrapatana Plantations PLC	0.35%	0.42%	1,760,204	1,760,204
	ACME Printing & Packaging PLC	25.10%	25.10%	23,846,742	23,846,742
	Lankem Minerals Limited	100.00%	0.00%	125,000	-
Consolidated Tea Plantations Limited	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	54.30%	54.30%	183,823,231	183,823,231
	Lankem Developments PLC	49.80%	49.80%	59,762,295	59,762,295
	Union Commodities (Private) Limited	70.00%	70.00%	5,600,000	5,600,000
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	6.08%	6.08%	16,927,739	16,927,739
	Kotagala Plantations PLC	1.64%	1.64%	5,550,000	5,550,000
	Agrapatana Plantations PLC	1.46%	1.75%	7,295,345	7,295,345
Lankem Developments PLC	Agarapatana Plantations PLC	56.25%	56.25%	281,228,778	281,228,778
	Colombo Fort Hotels Limited	0.80%	0.00%	2,231,462	-
Colombo Fort Hotels Limited	Beruwala Resorts PLC	66.99%	65.58%	469,276,958	393,497,345
	Imperial Hotels Limited	34.08%	34.08%	4,921,506	4,921,506
	Marawila Resorts PLC	39.51%	41.06%	139,062,165	93,624,955
	Sigiriya Village Hotels PLC	51.00%	51.00%	4,590,274	4,590,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	11,186,372	11,186,373
	Lak Kraft (Private) Limited	0.00%	99.11%	-	222
	Sherwood Holidays Limited	100.00%	100.00%	7,791,920	7,791,920
	BOT Hotel Services (Private) Limited	31.32%	31.32%	18,008,162	18,008,162
Sigiriya Village Hotels PLC	Marawila Resorts PLC	4.83%	4.83%	17,000,000	17,000,000
	Beruwala Resorts PLC	12.13%	14.23%	85,000,000	85,384,000
	Colombo Fort Hotels Limited	0.01%	0.01%	24,000	24,000
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.00%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.31%	0.31%	866,258	866,258
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	68.68%	68.68%	39,491,798	39,491,798
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.01%	0.01%	24,000	24,000
Agarapatana Plantations PLC*	Beruwala Resorts PLC	0.19%	0.19%	1,300,000	1,300,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,200,000	1,200,000
	Waverly Power (Private) Limited	100.00%	100.00%	7,800,002	7,800,002
Kotagala Plantations PLC	Agarapatana Plantations PLC	4.15%	4.15%	20,756,712	20,756,712
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,199,999	1,199,999
	Rubber & Allied Products (Colombo) Limited	99.85%	99.85%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.72%	3,148,551	3,148,551
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Sunquick Lanka Properties (Pvt) Ltd	51.00%	51.00%	3,070,000	3,070,000
	Kelani Valley Canneries Limited	88.23%	88.23%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	10,000,000	10,000,000
	York Arcade Holdings PLC	0.00%	0.00%	28	28
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	6.83%	6.83%	19,014,348	19,014,348
	Marawila Resorts PLC	0.47%	0.44%	1,666,666	1,000,000
	Lankem Ceylon PLC	5.28%	0.31%	2,716,767	160,000
	Beruwala Resorts PLC	0.01%	0.01%	45,000	30,000

Notes to the Financial Statements contd.

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2024	2023	2024	2023
C M Holdings PLC Contd.	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
	Agarapatana Plantations PLC	1.18%	0.93%	5,886,888	3,888,888
	Consolidated Tea Plantations Limited	5.96%	0.00%	5,000,000	-
Union Commodities (Private) Limited	Unicom Holdings (Private) Limited	100%	100%	30	30
	Union Commodities Teas (Private) Limited	100%	100%	100,000	100,000
	Tea Com (Private) Limited	100%	100%	20	20
	Union Commodities Exports (Private) Limited	100%	100%	20	20
	Unicom Clering & Forwarding (Private) Limited	100%	100%	20	20
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	16,770,000	16,770,000
	York Arcade Holdings PLC	0.00%	0.00%	35	35
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.43%	0.43%	222,800	222,800
	Lankem Developments PLC	2.00%	2.00%	2,400,000	2,400,000
	Agarapatana Plantations PLC	0.78%	0.06%	3,875,400	250,000
	C.W. Mackie PLC	2.81%	2.81%	1,010,000	1,010,000
	Marawila Resorts PLC	2.84%	2.93%	10,000,000	6,681,037
	Sigiriya Village Hotels PLC	13.27%	13.27%	1,194,518	1,194,518
	Colombo Fort Hotels Limited	2.16%	2.16%	6,004,591	6,004,591
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantations PLC	0.00%	0.00%	1,252	1,252
	Muller & Phipps (Ceylon) PLC	0.00%	0.00%	500	500
	Laxapana Batteries PLC	0.00%	0.00%	600	600
	E. B. Creasy & Company PLC	0.00%	0.00%	7,200	7,200
	Colombo Investment Trust PLC	0.00%	0.00%	149	148
	Colombo Fort Investments PLC	0.00%	0.00%	106	104
	Lankem Developments PLC	0.00%	0.00%	296	296
	Lankem Ceylon PLC	0.78%	0.78%	400,300	400,300
	C M Holdings PLC	0.00%	0.00%	185	185
	Marawila Resorts PLC	0.00%	0.00%	1,066	640
	Agarapatana Plantations PLC	0.00%	0.00%	10,000	100
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
	Imperial Hotels Limited	3.46%	3.46%	500,000	500,000
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylan (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	7,000	7,000
J.F. Packaging Limited	JF Ventures Limited	100.00%	100.00%	139,800,000	139,800,000
	Ceylon Tapes (Private) Limited	11.27%	11.27%	160,000	160,000
JF Ventures Limited	Ceylon Tapes (Private) Limited	88.73%	100.00%	1,259,360	1,259,360
	Kiffs (Pvt) Ltd	100.00%	100.00%	823,195	823,195
	Alliance Five (Pvt) Ltd	100.00%	100.00%	1,636,435	1,636,435
Wavely Power (Private) Limited	Agarapatana Plantations PLC	0.50%	0.60%	2,500,100	2,500,000
	Colombo Fort Hotels Limited	0.79%	0.79%	2,186,624	2,186,624
Colombo Fort Group Services (Private) Limited	Agarapatana Plantations PLC	0.32%	0.38%	1,582,452	1,582,452
Ceylon Tapes (Private) Limited	Consolidated Tea Plantations Limited	7.17%	0.00%	6,018,518	-
Laxapana Batteries PLC*	BlueScope Lysaght Lanka (Private) Limited*	100%	0.00%	10,635,000	-

Notes : *Pettah Pharmacy (Private) Limited changed its name to Muller & Phipps (Health Care) (Private) Limited with effect from 23rd November 2023. Subsequent to the name change, the company changed its status to a Public Company and accordingly the name of the company was changed to Muller & Phipps (Health Care) Limited with effect from 10th January 2024.

*Agarapatana Plantations Limited was listed on the Diri Savi Board of the Colombo Stock Exchange (CSE) on 4th September 2023. Subsequent to the Listing, the status of the company was changed to a Public Listed Company and the name of the company was changed to Agarapatana Plantations PLC. The status and the name change were effective from 27th October 2023.

*Laxapana Batteries PLC changed its name to Laxapana PLC with effect from 1st April 2024.

*BlueScope Lysaght Lanka (Pvt) Limited changed its name to Sterling Steels (Pvt) Limited with effect from 13th May 2024.

15.5 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2024	2023
ACME Printing and Packaging PLC	49.34	50.10
Agarapatana Plantations PLC	32.52	44.67
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	70.59	72.27
BlueScope Lysaght Lanka (Private) Limited	40.92	-
B.O.T. Hotel Services (Private) Limited	63.10	61.71
C.W. Mackie PLC	40.31	41.22
Ceylon Tapes limited	70.59	72.28
Corporate Systems Limited	59.89	59.85
Candy Delights Limited	59.93	59.89
Creasy Plantation Management Limited	24.57	24.56
Darley Butler & Company Limited	59.93	59.89
E. B. Creasy Logistics Limited	59.93	59.89
Filmpack Limited	59.93	59.89
Group Three Associates (Private) Limited	59.93	59.89
Guardian Trustees Limited	61.76	61.41
E.B.Creasy Ceylon (Private) Limited	59.93	59.89
J.F.Packaging Limited	70.59	72.28
J F Ventures Limited	70.59	72.28
Kotagala Plantations PLC	41.38	48.56
Lanka Special Steels Limited	59.93	59.89
Lankem Agrochemicals Limited	70.59	72.28
Lankem Chemicals Limited	70.59	72.28
Lankem Consumer Products Limited	70.59	72.28
Lankem Developments PLC	39.61	46.04
Lankem Exports (Private) Limited	70.59	72.28
Lankem Minerals Limited	70.59	-
Lankem Paints Limited	70.59	72.28
Lankem Plantation Services Limited	42.35	43.37
Lankem Research Limited	70.59	72.28
Lankem Tea & Rubber Plantations (Private) Limited	73.91	86.65
Laxapana Batteries PLC	40.92	40.89
SunAgro Farms Limited	70.59	72.28
SunAgro LifeScience Limited	70.59	72.28
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylan (Private) Limited	74.43	74.43
York Hotel Management Services Limited	99.99	99.99
Imperial Hotels Limited	54.25	55.63
York Tours Limited	99.99	99.99

Notes to the Financial Statements contd.

15.6 Acquisition of Bluescope Lysaght Lanka (Pvt) Limited

On 15th March 2024, Laxapana Batteries PLC has invested BlueScope Lysaght Lanka (Pvt) Limited, 10.635Mn ordinary voting shares at Rs.30.09 each. Total investment was Rs.320Mn.

Fair values of the identifiable assets and liabilities of the acquired entities at the date of acquisition were;

	Rs.000
Property, Plant and Equipment	97,614
Right of Use Assets	29,734
Deferred Tax Asset	9,918
Inventories	411,623
Trade and Other Receivables	230,651
Cash and Cash Equivalents	149,738
Loan and Borrowings	(217,847)
Lease Creditors	(40,181)
Employee Benefits	(22,820)
Trade and Other Payables	(65,979)
Deferred Tax on Fair value Gain	(13,745)
Net identifiable assets and liabilities	568,706
Consideration Paid (net of transaction cost)	(320,000)
Fair value of identified net assets	568,706
	248,706
Amount Transferred to non-controlling interest	(146,943)
Gain on Bargain Purchase	101,763

15.7 Measurement of Fair Values

The valuation techniques used for measuring the fair value of material assets were as follows.

Assets Acquired	Valuation Technique
Property, Plant & Equipment	Market comparison technique and cost technique: The valuation model considered market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.
Inventories	Market comparison technique: The fair value is determined based on the estimated selling price in the ordinary course of business less the estimated cost of completion and sale and a reasonable profit margin based on the effort required to complete and sell the inventories.

Trade and other receivables comprise gross contractual amounts due of Rs.272 Mn, of which Rs.41 Mn was impaired at the date of acquisition.

16 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

16.1 Investments in Associates

	Balance as at 2024 Rs.'000	Balance as at 2023 Rs.'000
As at 31st March,		
GROUP		
Quoted Investments		
Balance as at 1st April	658,240	366,940
Statement of Profit or Loss	14,664	18,185
Other Comprehensive Income	88,673	273,115
Share of Results of Equity Accounted Investees (Net of Tax) for the Year	103,337	291,300
Dividend Paid during the Year	(2,660)	-
Carrying Value of Investments in Equity Accounted Investees	758,917	658,240

- a. The group hold Colombo Fort Investments PLC (CFIL), Colombo Investment Trust PLC (CITL) and Capital Investments Limited (CIL) as investment in associate companies.
- b. Market value of quoted investments as at 31st March, 2024 was Rs.136 million (Rs.177 million- 31st March, 2023) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs.297 million as at 31st March, 2024 (Rs.151 million - 31st March, 2023) for the Group and Company as well.

c. Summarised Financial Information of Equity Accounted Investees

Summarised Financial Information of Equity-Linked Warrants								
	GROUP							
	CFIL	CITL	CIL	Total	CFIL	CITL	CIL	Total
As at 31st March,	2024 (Rs.'000)				2023 (Rs.'000)			
Assets & Liabilities								
Total Assets	2,056,023	1,860,150	744,732	4,660,905	1,791,104	1,614,862	649,851	4,055,817
Total Liabilities	(794)	(612)	(12,666)	(14,072)	(782)	(2,549)	(13,138)	(16,469)
Net Assets	2,055,229	1,859,538	732,066	4,646,833	1,790,322	1,612,313	636,713	4,039,348

Summary of the Statement of Profit or Loss

	CFIL	CITL	CIL	Total	CFIL	CITL	CIL	Total
For the year ended 31st March,	2024 (000)'				2023 (000)'			
Revenue	70,276	49,792	9,238	129,306	35,090	44,670	596	80,356
Cost of Investment Disposed	-	(132)	-	(132)	-	(6,125)	-	(6,125)
FV through Profit or Loss	(15,484)	52	-	(15,432)	48,942	22,540	-	71,482
Other Operating Income	375	9	-	384	7,945	1,806	-	9,751
	55,167	49,721	9,238	114,126	91,977	62,891	596	155,464
Administrative Expenses	(5,501)	(5,682)	(389)	(11,572)	(4,701)	(4,863)	(406)	(9,970)
Other Operating Expenses	-	-	-	-	(816)	-	-	(816)
Profit From Operations	49,666	44,039	8,849	102,554	86,460	58,028	190	144,678
Net Finance Cost	1,138	269	189	1,596	(1,426)	(1,448)	-	(2,874)
Profit Before Tax	50,804	44,308	9,038	104,150	85,034	56,580	190	141,804
Income Tax Expenses	(318)	(260)	-	(578)	(1,753)	(874)	-	(2,627)
Net Profit for the year	50,486	44,048	9,038	103,572	83,281	55,706	190	139,177
Other Comprehensive income								
for the period ,Net of Tax	214,421	203,177	92,015	509,613	513,356	484,953	311,545	1,309,854
Total Comprehensive income								
for the period	264,907	247,225	101,053	613,185	596,637	540,659	311,735	1,449,031
Share of Profit for the								
Parent Company,	6,694	3,751	4,218	14,664	11,715	6,377	92	18,185

Notes to the Financial Statements contd.

d. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

	Holding %	No. of Shares	Cost As at 2024 Rs.'000	Market Value As at 2024 Rs.'000	No. of Shares 2023	Cost As at 2023 Rs.'000	Market Value As at 2023 Rs.'000
<i>As at 31st March,</i>	2024	2024					

COMPANY

Quoted Investments

Colombo Fort Investments PLC	13.26	1,165,077	41,350	75,730	1,211,190	42,417	81,755
Colombo Investment Trust PLC	8.52	604,380	19,736	59,834	802,761	25,599	95,127
			61,086	135,564		68,016	176,882

Unquoted Investments

Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349	-		35,349	-
Carrying Value of Investments in Equity Accounted Investees			96,435			103,365	

16.2 INVESTMENT IN JOINT VENTURE

As at	31.03.2024 Rs.'000	31.03.2023 Rs.'000
Sunquick Lanka (Private) Limited	293,163	-
	293,163	-

C.W. Mackie PLC (CWM)

The Company has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro A/S, Denmark products in the form of concentrates and ready-to-drink (RTD) products marketed under 'Sunquick' brand.

The Company share of loss of the joint venture Company Sunquick Lanka (Private) Limited (SQL), exceeds the investment in the joint venture as at 31 March 2023. Therefore CWM discontinues recognising its share of further losses of SQL in year 2023. Once the net assets of SQL is positive with the capital infusion in 2024, total change in the share of joint venture investment has directly recognised in the profit or loss.

The Group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below:

Summary of the Statement of Financial Position

As at	31.03.2024	31.03.2023
	Rs.'000	Rs.'000

Summary of the Statement of Profit or Loss

Revenue	3,268,852	2,546,508
Operating Expenses	(3,263,005)	(2,543,744)
Other Operating income	10,288	31,832
Finance Income	115,249	53,599
Finance Costs	-	(466,036)
Income tax	(17,959)	(63,605)
Other Comprehensive Income / (Loss)	(3,754)	3,809
Total comprehensive income / (expense) for the year	109,671	(437,637)
Share Profit / (Loss) recognised for the year	1,002	(165,413)
Share Profit / (Loss) recognised in other comprehensive income / (expense)	(1,839)	1,866

Summarised Statement of Financial Position

Non-Current Assets	908,808	934,423
Current Assets	1,859,674	1,803,092
Non-Current Liabilities	725,889	1,465,321
Current Liabilities	1,444,302	1,373,689
Equity	598,291	(101,495)
Carrying amount of the investments	293,163	-

Equity Reconciliation

Carrying Value as at 1st April	-	163,547
Investment made during the year	294,000	-
Share of profit / (loss)	53,739	(163,547)
Unrecognised share of loss in prior year	(54,576)	-
Carrying Value as at	293,163	-

17 OTHER FINANCIAL ASSETS - NON CURRENT

	Notes	GROUP		Notes	COMPANY	
		Carrying Value	Carrying Value		Carrying Value	Carrying Value
As at 31st March,		2024	2023		2024	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Quoted Investments - Financial Assets at FVOCI	17.1.1	200,353	178,619	17.2.1	4,238	3,727
Unquoted Investments - Financial Assets at FVOCI	17.1.2	710,801	594,339	-	-	-
Unit Trusts - Financial Assets at FVOCI	17.1.3	4,744	3,805	-	-	-
Investment in Treasury Bond	17.1.4	-	98,533	-	-	-
		915,898	875,296		4,238	3,727
Less : Provision for Impairment in Value of Investment *		(5,400)	(5,400)		-	-
		910,498	869,896		4,238	3,727

*Impairment relates to Dutch Dairy International (Private) Limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) Limited.

Notes to the Financial Statements contd.

17.1 GROUP

17.1.1 Quoted Investments

As at 31st March,	GROUP					
	No. of	Cost	Carrying	No. of	Cost	Carrying
	Shares		Value	Shares		Value
	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Automobiles & Components						
Kelani Tyres PLC	360	2	25	360	2	21
Total		2	25		2	21
Banks						
Commercial Bank of Ceylon PLC-Voting	22,852	1,922	2,233	333	16	21
DFCC Bank PLC	18,148	802	1,414	18,148	802	797
Hatton National Bank PLC-Voting	10	-	2	10	-	1
Housing Development Finance Corporation Bank of Sri Lanka	100	4	3	100	4	3
National Development Bank PLC	7,466	554	507	6,684	554	286
Nations Trust Bank PLC	14,600	336	1,570	13,875	336	835
Pan Asia Banking Corporation PLC	3,000	24	64	3,000	24	38
Sampath Bank PLC	937	26	75	915	25	48
Seylan Bank PLC-Non-Voting	250	7	10	232	6	5
Seylan Bank PLC-Voting	8	-	-	8	-	-
The Finance Company PLC	100	8	-	100	8	-
Union Bank of Colombo PLC	100	3	1	100	3	1
Total		3,686	5,879		1,778	2,035
Capital Goods						
ACL Cables PLC	1,152	2	97	1,152	2	95
Aitken Spence PLC	555	10	72	555	10	73
Colombo Dockyard PLC	15	-	1	15	-	1
Hayleys PLC	8,590	735	705	90	1	6
Hemas Holdings PLC	719	10	58	161,772	8,162	10,515
John Keells Holdings PLC	192	11	37	192	11	27
Lanka Ashok Leyland PLC	90	1	62	90	1	71
Lanka Tiles PLC	10,760	468	556	260	1	11
Lanka Walltiles PLC	10,665	479	543	165	4	8
Renuka Holdings PLC- Voting	1,252	18	16	1,222	18	16
Renuka Holdings PLC- Non Voting	175	2	2	170	2	2
Richard Peiris & Company PLC	3,705	2	76	3,705	2	77
Royal Ceramics Lanka PLC	21,450	416	3,715	10,950	114	3,008
Sierra Cables PLC	2,600	8	31	2,600	8	31
The Colombo Fort Land & Building PLC	5,800,333	14,174	174,010	5,800,333	14,174	151,389
Unisyst Engineering PLC	180	3	1	180	3	1
Brown & Company PLC	100	3	11	100	3	12
Lanka Ceramic PLC	7	1	1	7	1	1
Total		16,343	179,994		22,517	165,344
Commercial & Professional Services						
Gestetner of Ceylon PLC	754	16	89	754	16	50
Paragon Ceylon PLC	100	1	6	100	1	4
Total		17	95		17	54

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Consumer Durabi & Apperal						
Abans Electrical PLC	240	10	38	240	10	38
Dankotuwa Porcelain PLC	166	3	4	166	3	3
Hayleys Fabric PLC	818	7	34	818	7	21
Hayleys Fibre PLC	315	2	16	315	2	16
Regnis (Lanka) PLC	-	-	-	60	1	3
Ambeon holdings PLC	1,002	2	37	1,002	2	35
Kelsey Developments PLC	337	4	7	337	4	7
Singer Industries (Ceylon) PLC	-	-	-	170	1	6
Blue Diamond Jewellery Worldwide PLC	22	-	-	22	-	-
Total		28	136		30	129
Consumer Services						
Aitken Spence Hotel Holdings PLC	140	2	9	140	2	8
Amaya Leisure PLC	554	2	11	554	2	13
Asian Hotels & Properties PLC	200	1	12	200	1	9
Browns Beach Hotels PLC	150	-	2	150	-	2
Ceylon Hotels Corporation PLC	534	2	10	534	2	12
Citrus Leisure PLC	53	1	-	53	1	-
Dolphin Hotels PLC	125	1	4	125	1	4
Eden Hotel Lanka PLC	200	2	3	200	2	4
Galadari Hotels (Lanka) PLC	100	-	2	100	-	1
Hotel Sigiriya PLC	52,000	1,294	1,938	14,000	65	-
Hunas Falls Hotels PLC	67,500	19	1,816	67,500	19	2,045
John Keells Hotels PLC	1,506	5	28	1,506	5	28
Mahaweli Reach Hotels PLC	100	1	1	100	1	1
Palm Garden Hotels PLC	56	3	2	56	3	3
Pegasus Hotels of Ceylon PLC	1,093	37	25	1,093	37	38
Renuka City Hotel PLC	600	148	216	600	148	219
Royal Palms Beach Hotels PLC	475	12	14	475	12	13
Trans Asia Hotels PLC	400	1	-	400	1	-
Tal Lanka Hotels PLC	100	-	2	100	-	2
The Kingsbury PLC	1,374	3	15	1,374	3	14
The Fortress Resorts PLC	500	5	12	500	5	11
The Lighthouse Hotel PLC	100	1	4	100	1	3
The Nuwara Eliya Hotels Company PLC	12	4	21	12	4	18
Touchwood Investments PLC	-	1	-	-	1	-
Total		1,545	4,147		316	2,448

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Diversified Holdings						
Associated Motor Finance Company PLC	3,036	62	75	3,036	62	25
Asia Capital PLC	100	-	-	100	-	-
Central Finance Company PLC	10	-	1	10	-	1
Ceylon Guardian Investment Trust PLC	174	2	16	174	2	12
Ceylon Investment PLC	467	2	22	471	3	16
Colombo Fort Investments PLC	106	3	7	-	-	-
Colombo Investment Trust PLC	149	3	15	-	-	-
First Capital Holdings PLC	14,400	11	495	14,400	11	458
Lanka Orix Leasing Company Holding PLC	800	1	318	800	1	300
Lanka Ventures PLC	100	1	3	100	1	4
LB Finance PLC	4,624	3	290	4,624	3	254
Merchant Bank of Sri Lanka & Finance PLC	67	1	-	67	1	-
Nation Lanka Finance PLC	625	5	-	625	5	-
People's Leasing & Finance PLC	13,632	218	150	12,921	210	102
People's Merchant Finance PLC	270	4	1	270	4	1
Selinsing PLC	36	9	-	36	9	25
SMB Leasing PLC	3,610	3	3	3,610	3	3
The Indo Malay PLC	5	1	-	5	1	7
Total		329	1,396		316	1,208
Energy						
Lanka IOC PLC	800	22	93	800	22	137
Total		22	93		22	137
Food & Staples Retailing						
CT Holdings PLC	223	7	58	223	7	40
Cargills (Ceylon) PLC	343	9	123	343	9	80
Ceylon & Foreign Traders PLC	10,000	5	-	10,000	5	-
Tess Agro PLC	2,053	2	2	2,053	2	2
Total		23	183		23	122
Food Beverage & Tobacco						
Agalawatte Plantations PLC	100	1	3	100	1	3
Bairaha Farms PLC	110	1	19	110	1	16
Balangoda Plantations PLC	310	5	21	310	5	27
Bogawantalawa Tea Estate PLC	46	-	2	46	-	2
Browns Investments PLC	6,000	19	32	6,000	19	36
Bukit Darah PLC	10	3	4	10	3	4
Carson Cumberbatch PLC	191	10	49	191	10	52
Ceylon Grain Elevators PLC	10	-	2	10	-	1
Ceylon Tobacco Company PLC	7	-	9	7	-	5
Convenience Foods (Lanka) PLC	90	1	83	90	1	109
Ceylon Beverage Holdings PLC	276	6	423	276	6	313
Ceylon Cold Stores PLC	640	1	34	640	1	26
Dilmah Ceylon Tea Company PLC	80	3	80	80	3	82
Distilleries Company of Sri Lanka PLC	118	1	3	118	1	2

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Food Beverage & Tobacco Contd.						
Hapugastenne Plantations PLC	300	5	10	300	5	13
Hatton Plantation PLC	12,000	52	309	12,000	52	225
Horana Plantations PLC	120	2	5	120	2	6
Kahawatte Plantations PLC	531	9	9	531	9	10
Keells Food Products PLC	219	11	32	219	11	35
Kegalle Plantations PLC	200	6	24	200	6	26
Kelani Valley Plantations PLC	400	7	30	400	7	28
Lanka Milk Foods (CWE) PLC	1,330	3	36	133	3	19
Madulsima Plantations PLC	200	5	2	200	5	2
Malwatte Valley Plantations PLC	2,000	2	105	2,000	2	128
Maskeliya Plantations PLC	2,300	42	73	2,300	42	84
Melstacorp PLC	400	1	35	400	1	22
Namunukula Plantations PLC	1,200	22	424	1,200	22	435
Nestle Lanka PLC	-	-	-	40	4	43
Renuka Foods PLC	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	6	142	3	6
Talawakelle Tea Estates PLC	1,400	15	160	1,400	15	115
Three Acre Farms PLC	19	-	5	19	-	2
Udapussellawa Plantations PLC	200	4	14	200	4	16
Watawala Plantations PLC	10,284	45	913	10,284	45	766
Total		285	2,956		289	2,659
Health Care Equipment & Services						
Asiri Hospital Holdings PLC	2,660	6	67	2,660	6	66
Asiri Surgical Hospital PLC	1,499	4	17	1,499	4	19
Durdans Hospitals PLC-Non-Voting	130	2	13	130	2	12
Durdans Hospitals PLC - Voting	130	8	16	130	8	17
E - Channelling PLC	1,162	2	17	1,162	2	18
Nawaloka Hospitals PLC	26,666	20	104	26,666	20	152
Singhe Hospital PLC	1,000	3	2	1,000	3	3
The Lanka Hospital Corporation PLC	100	2	12	100	2	11
Total		47	248		47	298
Insurance						
Amana Takaful PLC	402	9	5	402	9	5
Ceylinco Holdings PLC	22	-	50	22	-	48
HNB Assurance PLC	600	3	36	600	3	30
Janashakthi Insurance Company PLC	1,800	56	79	1,800	56	48
Softlogic Life Insurance PLC	1,000	1	66	1,000	1	84
Total		69	236		69	215

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Materials						
ACL Plastics PLC	100	3	39	100	3	39
Bogala Graphite Lanka PLC	200	1	10	200	1	13
Chemane PLC	177	2	13	177	2	14
Chevron Lubrications Lanka PLC	12,400	452	1,336	12,400	452	1,136
CIC Holdings PLC	16,956	29	1,196	16,956	29	1,208
Dipped Products PLC	860	2	26	860	2	24
Haycarb PLC	8,770	559	671	270	1	15
Industrial Asphalts (Ceylon) PLC	45,000	1	14	45,000	1	14
Lanka Aluminium Industries PLC	50	-	1	50	-	1
Lanka Cement PLC	100	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	101	3,428	6	66
Richard Peiris Exports PLC	92	3	40	92	3	51
Samson International PLC	50	1	7	50	1	13
Swisstek (Ceylon) PLC	500	-	10	500	-	7
Tokyo Cement Company (Lanka) PLC-Voting	19,754	30,000	1,118	19,740	30,000	987
Total		31,059	4,582		30,501	3,588
Real Estate						
C.T. Land Development PLC	167	1	4	167	1	5
Colombo Land & Development Company PLC	1,400	2	25	1,400	2	28
Commercial Development PLC	600	6	68	600	6	60
East West Properties PLC	1,200	6	10	1,200	6	10
Equity Two PLC	100	1	4	100	1	4
On'ally Holdings PLC	155	-	4	155	-	4
Overseas Realty (Ceylon) PLC	300	2	5	300	2	5
Serendib Land PLC	33	7	43	33	7	44
Seylan Developments PLC	-	-	-	204	1	3
Standard Capital PLC	400	17	15	400	17	17
Total		42	178		43	180
Retailing						
Diesel & Motors Engineering PLC	6	-	3	6	-	3
Hunters & Company PLC	24	1	14	24	1	17
John Keells PLC	336	2	22	336	2	23
Odel PLC	100	2	1	100	2	2
Singer Sri Lanka PLC	945	4	15	270	3	4
RIL Properties PLC	6,666	53	42	6,666	53	37
Sathosa Motors PLC	66	2	13	66	2	10
The Autodrome PLC	100	2	9	100	2	10
Total		66	119		65	106

As at 31st March,	GROUP					
	No. of	Cost	Carrying	No. of	Cost	Carrying
	Shares	2024	Value	Shares	2023	Value
	2024	Rs.'000	2024	2023	Rs.'000	2023
Telecommunication Services						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	18	200	3	19
Total		5	19		5	20
Utilities						
Panasian Power PLC	1,000	3	4	1,000	3	3
Resus Energy PLC	1,475	24	26	1,475	24	20
Vallibel Power Erathna PLC	3,000	8	22	3,000	8	20
Vidullanka PLC	2,042	2	15	2,042	2	12
Total		37	67		37	55
Total Quoted Investments		53,605	200,353		56,077	178,619
17.1.2 Unquoted Investments						
Ceylon Biscuits Limited	5,041,680	30	705,281	5,041,680	30	588,809
Dacreel Ceylon Limited	1	-	-	1	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	10,500	105	72	10,500	105	72
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Srilanka Institue of Nanotechnology (Private) limited	3,810,182	50,000	-	3,814,182	50,040	-
York Conventions (Private) Limited	-	-	-	1	10	10
Ingrin Institute of Printing & Graphics	-	-	25	-	-	25
Total		55,876	710,801		55,926	594,339
17.1.3 Unit Trusts						
Pyramid Unit Trust	87,321	2,447	4,744	87,321	2,447	3,805
Total		2,447	4,744		2,447	3,805
17.1.4 Other Investments						
Investment in Treasury Bond		-	-		-	98,533
Total		-	-		-	98,533

Muller & Phipps (Health Care) Limited, a subsidiary of the Group, was issued a treasury bond carrying a maturity date of 15.09.2027 in lieu of settlement of trade receivables due from State Pharmaceutical Corporation. This treasury bond was subsequently sold by Muller & Phipps (Health Care) Limited at the then prevailing market price after the reporting date.

The Group designated the Investments shown above as Equity Securities at FVOCI because these Equity Securities represent investments that the Group intended to held for the lonf term for strategic purposes.

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

Notes to the Financial Statements contd.

As at 31st March,	COMPANY					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000

17.2 Company

17.2.1 Quoted Investments

Banks, Finance & Insurance

People's Leasing & Finance PLC	13,632	218	150	12,921	210	102
The Finance Company PLC	100	8	-	100	8	-
Total		226	150		218	102

Beverages, Food & Tobacco

Ceylon Beverage Holdings PLC	226	1	346	226	1	256
Namunukula Plantations PLC	1,000	15	355	1,000	15	363
Total		16	701		16	619

Manufacturing

Royal Ceramic Lanka PLC	108,900	114	3,387	108,900	114	3,006
Total		114	3,387		114	3,006
Total		356	4,238		348	3,727

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

The Company and the Group have valued their Equity Securities at the price on the last day of trading for the year ended 31st March, 2024.

17.3 Other Financial Assets -Current

As At 31st March,	Notes	GROUP		COMPANY	
		Carrying Value	Carrying Value	Carrying Value	Carrying Value
		2024	2023	2024	2023
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Quoted Investments - Financial Assets at FVTPL	17.3.1 / 17.3.3	1,015,318	858,610	3,844	2,363
Unit Trusts - Financial Assets at FVTPL	17.3.2	14,984	13,896	-	-
		1,030,302	872,506	3,844	2,363

The movement of the financial assets at fair value through profit or loss is as follows;

As at 31st March,	GROUP	
	Carrying Value	Carrying Value
	2024	2023
	Rs.'000	Rs.'000
At the beginning of the year		
Investment in Unit Trust	13,896	10,191
Equity Investments	858,610	908,487
	872,506	918,678
Additions		
Investment in Unit Trust	248	133
Equity Investments	20,674	7,621
	20,922	7,754

17.3 Other Financial Assets -Current Contd.

As at 31st March,	GROUP	
	Carrying Value	Carrying Value
	2024 Rs.'000	2023 Rs.'000
Disposals		
Equity Investments	(28,337)	(62,216)
	(28,337)	(62,216)
Market Fair value changes		
Investment in Unit Trust	840	3,572
Equity Investments	164,371	4,718
	165,211	8,290
At the end of the year		
Investment in Unit Trust	14,984	13,896
Equity Investments	1,015,317	858,610
	1,030,302	872,506

17.3 Group

17.3.1 Quoted Investments

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Automobiles & Components						
Kelani Tyres PLC	160	1	11	160	1	10
Total		1	11		1	10
Banks						
Commercial Bank of Ceylon PLC-Non-Voting	144,641	5,988	12,323	135,220	5,471	7,315
Commercial Bank of Ceylon PLC-Voting	1,300,655	52,342	127,074	1,228,372	48,450	78,124
Hatton National Bank PLC- Non-Voting	65,188	2,916	9,794	61,745	2,653	5,446
Hatton National Bank PLC-Voting	364,041	20,596	65,527	349,202	19,112	45,222
Development Finance Corporation of Ceylon PLC	126,355	8,088	9,603	123,229	7,841	5,410
National Development Bank PLC	37,722	2,040	2,565	35,894	1,958	1,612
Nations Trust Bank PLC	185,340	5,615	20,042	182,651	5,339	11,690
Pan Asia Banking Corporation PLC	109,000	1,101	2,322	209,000	2,107	2,613
Sampath Bank PLC	419,389	14,497	33,551	409,260	14,097	21,486
Seylan Bank PLC-Non-Voting	473,448	9,769	17,991	456,817	9,417	10,278
Union Bank of Colombo PLC	55,000	3	517	55,000	3	495
Total		122,955	301,309		116,449	189,690

Notes to the Financial Statements contd.

17.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Capital Goods						
ACL Cables PLC	144,000	1,485	12,110	144,000	1,485	11,851
Browns & Company PLC	28,900	2,745	3,179	28,900	2,745	3,454
Colombo Dockyard PLC	14,880	842	723	14,880	842	952
Hayleys PLC	1,000,160	2,373	82,113	1,000,160	2,373	72,012
Hemas Holdings PLC	21,653	432	1,741	21,653	432	1,407
John Keells Holdings PLC	69,137	5,686	13,413	69,137	5,686	9,679
Kelani Cables PLC	400	7	112	400	7	108
Lanka Tiles PLC	125,000	630	6,463	125,000	630	5,388
Lanka Walltiles PLC	500,000	3,947	25,450	500,000	3,947	24,050
Richard Peiris & Company PLC	4,740	11	97	4,740	11	98
Sierra Cables PLC	824,000	1,515	9,806	824,000	1,515	9,888
Vallibel One PLC	109,012	2,600	5,505	109,012	2,600	3,990
Total		22,272	160,712		22,272	142,876
Consumer Durabi & Apperal						
Dankotuwa Porcelain PLC	42,500	349	1,046	42,500	349	871
Hayleys Fabric PLC	17,180	194	706	17,180	194	433
Hayleys Fibre PLC	1,467	21	76	1,467	21	73
Regnis (Lanka) PLC	-	-	-	275,706	2,464	12,682
Singer Industries (Ceylon) PLC	-	-	-	165,360	844	6,085
Teejay Lanka PLC	10,000	150	376	10,000	150	320
Hela Apperal PLC	6,000	90	37	6,000	90	48
Total		804	2,241		4,112	20,513
Consumer Services						
Aitken Spence Hotel Holdings PLC	100,625	1,856	6,661	100,625	1,856	6,027
Amaya Leisure PLC	134,886	2,335	2,698	134,886	2,335	3,237
Asian Hotels & Properties PLC	72,000	989	4,392	72,000	989	3,168
Ceylon Hotels Corporation PLC	10,478	254	199	10,478	254	236
Dolphin Hotels PLC	20,000	275	702	20,000	275	640
Eden Hotel Lanka PLC	350,000	7,006	4,515	350,000	7,006	6,160
Galadari Hotels PLC	7,000	60	118	7,000	60	102
Hikkaduwa Beach Resort PLC	33,742	675	159	33,742	675	172
John Keells Hotels PLC	530,416	8,907	9,866	530,416	8,907	10,025
Palm Garden Hotels PLC	15,164	711	623	15,164	711	834
Pegasus Hotels of Ceylon PLC	22,666	499	548	22,666	499	777
Renuka City Hotel PLC	12,740	897	4,586	12,740	897	4,666
Royal Palms Beach Hotels PLC	15,700	629	471	15,700	629	413
Serendib Hotels PLC-Non-Voting	125,000	671	1,225	125,000	296	838
Tal Lanka Hotels PLC	19,500	182	351	19,500	182	296
Tangerine Beach Hotels PLC	11,400	348	671	11,400	348	627
The Fortress Resorts PLC	50	1	1	50	1	1
The Lighthouse Hotel PLC	114,800	1,948	4,093	114,800	1,948	3,134
Total		28,243	41,879		27,868	41,353

17.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of	Cost	Carrying	No. of	Cost	Carrying
	Shares	2024	Value	Shares	2023	Value
	2024	Rs:'000	Rs:'000	2023	Rs:'000	Rs:'000
Diversified Financials						
Alliance Finance Company PLC	80,000	353	7,232	80,000	353	5,344
Central Finance PLC	40,318	821	4,304	40,318	821	2,919
Ceylon Guardian Investments PLC	151,416	1,567	13,491	152,189	1,574	10,297
Ceylon Investment PLC	601,208	2,824	28,437	607,159	2,852	20,340
Galle Face Capital Partners PLC	117,879	8,380	3,360	113,000	8,253	1,932
Lanka ORIX Finance PLC	99,250	620	546	99,250	620	596
Lanka ORIX Leasing Company PLC	355,734	2,917	141,404	399,000	3,283	149,625
Lanka Ventures PLC	339,700	11,405	9,070	339,700	11,405	12,909
LOLC General Insurance PLC	2,300	18	14	2,300	18	17
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	637	124,879	8,170	425
People's Merchant Bank PLC	1,500	27	7	1,500	27	8
Total		37,102	208,502		37,375	204,410
Energy						
Lanka IOC PLC	174,600	5,418	20,385	174,600	5,418	29,944
Total		5,418	20,385		5,418	29,944
Food & Staples Retailing						
Cargills (Ceylon) PLC	146,057	4,386	52,581	146,057	4,386	34,031
Total		4,386	52,581		4,386	34,031
Food Beverage & Tobacco						
Browns Investments PLC	-	-	-	706,000	1,933	4,236
Bukit Darah PLC	896	250	365	896	250	384
Carson Cumberbatch PLC	664	81	172	664	81	180
Ceylon Cold Stores PLC	93,200	178	5,023	93,200	178	3,728
Ceylon Grain Elevators PLC	30,000	302	5,115	30,000	302	2,517
Dilmah Ceylon Tea Company PLC	1,428	86	1,421	1,428	86	1,457
Ceylon Tobacco Company PLC	3,500	140	4,299	3,500	140	2,383
Hatton Plantations PLC	432,000	-	11,102	432,000	-	8,078
Keells Food Products PLC	3,570	174	525	3,570	174	571
Lanka Milk Foods (CWE) PLC	1,330	4	36	133	4	19
Melstacorp PLC	10,000	652	880	10,000	652	549
Nestle Lanka PLC	-	-	-	4,700	404	5,024
Renuka Agri Foods PLC	32,056	108	119	31,560	106	164
Renuka Foods PLC -Voting	25,433	326	356	25,000	317	535
Sunshine Holdings PLC	2,136	24	127	2,136	24	96
Three Acre Farms PLC	25,000	216	6,888	25,000	216	3,269
Watawala Plantations PLC	364,201	495	32,305	364,201	495	27,133
Total		3,036	68,733		5,361	60,324

Notes to the Financial Statements contd.

17.3.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2024	2024 Rs.'000	2024 Rs.'000	2023	2023 Rs.'000	2023 Rs.'000
Health Care Equipment & Services						
Asiri Hospital Holdings PLC	353,000	895	8,825	353,000	895	8,790
Asiri Surgical Hospital PLC	112,500	277	1,305	112,500	277	1,406
Ceylon Hospitals PLC (Durdans)-Voting	13,330	300	1,356	13,330	300	1,272
The Lanka Hospital Corporation PLC	33,000	489	3,828	33,000	489	3,729
Total		1,961	15,314		1,961	15,197
Insurance						
Amana Takaful PLC	-	-	-	75,000	753	900
HNB Assurance PLC	300,000	1,308	17,820	300,000	1,308	14,970
Softlogic Life Insurance PLC	100,000	284	6,610	100,000	284	8,440
Total		1,592	24,430		2,346	24,310
Materials						
Bogala Graphite Lanka PLC	11,200	37	578	11,200	37	728
Chemanex PLC	17,700	1,558	1,274	17,700	1,558	1,372
Chevron Lubrications Lanka PLC	47,460	3,482	5,114	47,460	3,482	4,347
Dipped Products PLC	350,240	1,562	10,647	350,240	1,562	9,702
Haycarb PLC	3,450	10	264	3,450	10	194
Lanka Cement PLC	5,000	39	-	5,000	39	-
Richard Peiris Exports PLC	39,600	692	17,345	39,600	692	22,077
Tokyo Cement Company (Lanka) PLC-Voting	155,267	19,807	7,996	141,153	19,807	7,058
Tokyo Cement Company (Lanka) PLC-Non-Voting	501,050	3,379	21,996	455,500	3,379	20,725
Union Chemicals Lanka PLC	100	1	60	100	1	70
Total		30,568	65,274		30,568	66,273
Real Estate						
C.T. Land Development PLC	3,333	14	77	3,333	14	90
Colombo Land & Development Company PLC	522,460	4,783	9,248	522,460	4,783	10,501
East West Properties PLC	48,000	338	398	48,000	338	403
Equity Two PLC	25,200	217	1,036	25,200	217	958
Touchwood Investments PLC	600,000	10,602	-	600,000	10,602	-
Total		15,954	10,759		15,954	11,953
Retailing						
John Keells PLC	20,000	383	1,296	20,000	383	1,376
Singer Sri Lanka PLC	1,455,664	3,312	23,436	6,000	3	90
United Motors Lanka PLC	34,881	334	2,023	34,881	334	2,089
Odel PLC	1,500	23	20	1,500	23	25
Total		4,051	26,775		742	3,581
Telecommunications Services						
Dialog Axiata PLC	15,000	224	176	15,000	224	156
Total		224	176		224	156

17.3.1 Quoted Investments Contd.

	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
As at 31st March,	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Transportation						
Expolanka Holdings PLC	55,000	13,310	8,278	55,000	13,310	7,590
Total		13,310	8,278		13,310	7,590
Utilities						
Panasian Power PLC	29,200	88	120	29,200	88	99
Resus Energy PLC	162,367	3,178	2,858	162,367	3,178	2,192
Vallibel Power Erathna PLC	39,017	86	289	39,017	86	261
Vidullanka PLC	652,053	1,030	4,695	652,053	1,030	3,847
Total		4,381	7,962		4,381	6,400
Total Financial Assets at FVTPL		296,257	1,015,318		292,727	858,610

17.3.2 Unit Trusts

	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
As at 31st March,	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Bartleet Transcapital (Pvt) Ltd	10,000	200	200	10,000	200	200
Ceybank Unit Trust	318,639	5,037	11,044	318,639	5,037	10,697
National Equity Fund	12,000	120	534	12,000	120	423
NDB Wealth Growth & Income Fund	15,826	291	943	16	291	695
NDB Wealth Money Plus Fund	69,126	1,881	2,263	69,126	1,633	1,881
Total Unit Trusts		7,529	14,984		7,281	13,896

17.3.3 Quoted Investments

	COMPANY					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
As at 31st March,	2024	2024	2024	2023	2023	2023
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Banks						
Commercial Bank of Ceylon PLC-Voting	39,345	2,494	3,844	37,159	2,352	2,363
Total		2,494	3,844		2,352	2,363

Notes to the Financial Statements contd.

17.4 Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: Quoted market price (unadjusted) in an active market for an identical instrument.

Level 2: Other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly, i.e. as prices or indirectly – i.e. derived from prices. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Quoted Investments - Financial Assets at FVOCI	200,353	178,619	-	-	-	-
Quoted Investments - Financial Assets at FVTPL	1,015,318	858,610	-	-	-	-
Unquoted Investments - Financial Assets at FVOCI	-	-	-	-	710,801	594,339
Unit Trusts - Financial Assets at FVOCI	4,744	3,805	-	-	-	-
Unit Trusts - Financial Assets at FVTPL	14,984	13,896	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Market comparison technique: The valuation model is based on market multiples derived from quoted prices of companies comparable to the investee and the expected revenue and EBITDA of the investee. The estimate is adjusted for the effect of the non-marketability of the equity securities.	Forecast EBITDA margin 15-20% (2023:15-20%)	The estimated fair value would increase (decrease), if the EBITDA margin was higher (lower). Generally, a change in the annual revenue growth rate is accompanied by a directionally similar change in EBITDA margin.

17.5 Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Quoted Investments - Financial Assets at FVOCI	4,238	3,727	-	-	-	-
Quoted Investments - Financial Assets at FVTPL	3,844	2,363	-	-	-	-

18 DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Balance at the beginning of the Year	654,855	557,554	-	-
Acquisition of Subsidiaries	26,165	-	-	-
Prior Year Adjustment	(26,582)	161,967	-	-
	654,438	719,521	-	-
Recognised in Profit/Loss	(167,499)	179,411	-	-
Amount recognised due to increase in tax rate - Profit/Loss	-	10,692	-	-
Recognised in Other Comprehensive Income	29,164	(254,285)	-	-
Amount recognised due to increase in tax rate - OCI	-	(484)	-	-
Balance at the end of the Year	516,013	654,855	-	-

18.1 Deferred Tax Composition - Group

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Property Plant and Equipment	(360,687)	(377,300)	-	-
Lease Liability	96,438	39,695	-	-
Right of use Assets	(60,635)	(37,419)	-	-
Investment in Equity Securities	(166,724)	(199,522)	-	-
Defined Benefit Obligations	195,303	137,881	-	-
Impairment of Debtors	267,479	299,661	-	-
Impairment of Inventory	5,441	21,840	-	-
Tax loss carried forward	539,488	770,019	-	-
Deferred Tax Assets	516,103	654,855	-	-

19 INVENTORIES

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Raw Materials	4,392,754	5,499,481	-	-
Growing Crop-Nurseries	9,403	14,169	-	-
Consumable Stock	49,865	34,704	-	-
Work- in -Progress	244,243	304,801	-	-
Finished Goods	7,648,669	6,797,295	-	-
Right to recover finish goods	457,568	353,615	-	-
Goods-in-Transit	1,014,667	1,177,522	-	-
	13,817,169	14,181,587	-	-
Less: Net provision for Obsolete Inventories	(632,992)	(547,339)	-	-
	13,184,177	13,634,248	-	-

Inventories pledged as securities in obtaining loans are disclosed in Note 24.5.

On adoption of SLFRS 15, an asset for right to recover returned goods is recognised in relation to products sold with a right to return.

Notes to the Financial Statements contd.

20 TRADE AND OTHER RECEIVABLES

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Trade Debtors	12,592,108	10,158,085	24,867	30,184
Less: Impairment Loss on Trade Receivable	(852,073)	(912,017)	-	-
	11,740,035	9,246,068	24,867	30,184
Other Receivables (Note 20.2)	1,377,420	953,923	29,183	17,649
Deposits & Prepayments	1,216,734	1,063,821	3,474	3,126
Staff Loan	210,133	168,623	-	-
Other Tax Recoverable (Note 20.1)	428,015	320,605	-	-
	3,232,302	2,506,972	32,657	20,775
	14,972,337	11,753,040	57,524	50,959

20.1 Other Tax Recoverable

	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
WHT Recoverable	61,304	7,070	-	-
VAT Recoverable	350,353	280,392	-	-
Other Tax Recoverable	16,358	33,143	-	-
	428,015	320,605	-	-

20.2 Kotagala Plantations PLC

Advances, deposits, prepayments and other receivables consists of a receivable from Urban Development Authority (UDA) related to Millewa estate amounting to Rs.134.9Mn.

Millewa estate was acquired by the Urban Development Authority (UDA) of Sri Lanka on the 26th of October 2017. All assets pertaining to Millewa estate were written off from the financial statements of the Company, since the Company no longer has control of the said estate and assets. Subject to the take of Millewa estate by the Government Kotagala Plantations PLC have, lodged a rightful compensation claim amounting to Rs. 660 Mn with UDA. Therefore the assets have been re-classified under other receivable balance due from Urban development authority of Sri Lanka. The liabilities pertaining to Millewa estate as at 26th of October 2017 have been retained within the financial statements of the Company, since the Company has an obligation that may arise during the course of business operations.

	GROUP
	2024
	Rs.'000
Property Plant and equipment	10,334
Leasehold Right to Bare Land	5,713
Immovable leased assets	48
Bearer Biological assets	118,807
	134,902

21 CASH AND CASH EQUIVALENTS

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Favourable Balance				
Fixed Deposits	945,352	246,021	22,787	20,397
Cash at Bank	1,746,390	1,662,635	6,151	9,083
Cash in Hand	33,508	32,300	12	12
	2,725,250	1,940,956	28,950	29,492
Bank Overdraft	(2,570,504)	(2,625,682)	-	-
Cash & Cash Equivalents as per the Statement of Cash Flows	154,746	(684,726)	28,950	29,492

21.1 Security Details Over Bank Overdraft Facilities

Group

E.B.Creasy & Company PLC

Group's bank overdraft facilities are secured against mortgages over property, shares and stock and book debts.

Agarapatana Plantations PLC

Bank overdraft facilities of Agarapatana Plantations PLC, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 200 million) from Bank of Ceylon .
- Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs.20 million) from Commercial Bank of Ceylon PLC.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs.50 million) and Standard Chartered Bank (facility amount Rs.250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates. Primary mortgages over leasehold rights of the estate lands and buildings of Sorana Estates.
- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

22 STATED CAPITAL

	2024		2023	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	240,000,000	927,000	240,000,000	927,000
At the end of the Year	240,000,000	927,000	240,000,000	927,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

Notes to the Financial Statements contd.

23 CAPITAL RESERVES

	Property Development Reserve	Capital Redemption Reserve Fund	Total
	Rs.'000	Rs.'000	Rs.'000
GROUP			
Balance as at 31.03.2023	15,190	4,868	20,058
Balance as at 31.03.2024	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2023	10,000	-	10,000
Balance as at 31.03.2024	10,000	-	10,000

23.1 Nature and the Purpose of Reserves

23.1.1 Property Development Reserve

Represent of the amount set aside for future development of properties.

23.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

23.1.3 Financial Assets at FVOCI

The amount set aside out of retained profits for the changes in the fair value of investments classified as FVOCI.

23.1.4 Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve represents the differences between translated values of assets and liabilities of foreign operations at the exchange rate as at reporting date and historical rate.

23.1.5 Revaluation Reserve

The Revaluation reserve relates to freehold lands which have been revalued by the Group.

23.1.6 General Reserve

General reserve is the reserve set aside for general purposes.

24 LOANS & BORROWINGS

	GROUP		COMPANY	
As at 31st March,	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 24.1)	1,052,439	721,075	-	-
Lease Obligation- Others (Note 24.2)	885,378	814,677	-	-
Loans - Others (Note 24.3)	9,012,976	10,562,015	132,812	164,063
Debentures (Note 24.4)	121,886	203,502	-	-
	11,072,679	12,301,269	132,812	164,063
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 24.1)	8,608	4,880	-	-
Lease Obligation - Others (Note 24.2)	211,285	159,586	-	-
Loans - Others (Note 24.3)	4,920,168	3,620,844	39,063	39,063
Debentures (Note 24.4)	73,996	73,997	-	-
Trust Receipt Loans (Note 24.6)	2,233,112	3,599,987	-	-
Other Short Term Loans	10,490,561	7,654,750	-	-
	17,937,730	15,114,044	39,063	39,063
	29,010,409	27,415,313	171,875	203,126

24.1 Lease Obligation - JEDB/SLSPC

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
At The beginning of the year	725,955	676,980	-	-
Remeasurement of Right of use Asset	342,098	-	-	-
Adjusted Balance at the beginning of the year	1,068,053	676,980	-	-
Interest Charge for the year	139,023	102,358	-	-
Payments made during the Year	(146,029)	(53,383)	-	-
Net Lease Obligations	1,061,047	725,955	-	-

24.1.1 Leasehold rights can be analysed as follows

Payable within one year	8,608	4,880	-	-
Payable within two to five years	15,323	20,745	-	-
Payable after five years	1,037,116	700,330	-	-
	1,061,047	725,955	-	-
Net lease obligations payable after one year	1,052,439	721,075	-	-

24.1.2 Amounts Recognised in Profit and Loss

Interest charged during the year	139,023	102,358	-	-
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24.1.3 Amounts Recognised in Cash Flow

Payments made during the year	(146,029)	(53,383)	-	-
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24.1.4 Kotagala Plantations PLC and Agarapatana Plantations PLC

Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC and Agarapatana Plantations PLC.

24.1.5 Kotagala Plantations PLC

In terms of the amendment of leases, Rs.22.2 million is payable each year as lease rental, commencing from 22.06.1996 till the end of the lease on 21.06.2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflator in the form of contingent rent.

24.2 Lease Creditors - Others

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Balance at the beginning	974,263	829,173	-	-
Acquisition of Subsidiaries	40,180	-	-	-
Modification to lease liability	(8,679)	114,374	-	-
Adjusted Balance at the beginning of the year	1,005,764	943,547	-	-
Leases acquired during the Year	244,335	129,354	-	-
Payments made during the Year	(153,436)	(98,638)	-	-
Balance at the end	1,096,663	974,263	-	-

Notes to the Financial Statements contd.

24.2.1 Analysis of Lease Obligations by Year of Repayment

Lease Obligations Repayable within One Year from Year End

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Gross Liability	211,285	159,586	-	-
Less : Interest in Suspense	-	-	-	-
Net Lease Obligations Repayable within One Year from Year End	211,285	159,586	-	-

Lease Obligations Repayable after one year

Gross Liability	885,378	814,677	-	-
Less : Interest in Suspense	-	-	-	-
Net Lease Obligations Repayable within Two to Five Years	885,378	814,677	-	-

24.2.2 Amounts Recognised in Profit and Loss

Interest charged during the year	147,490	119,164	-	-
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24.2.3 Amounts Recognised in Cash Flow

Payments made during the year	(153,436)	(98,638)	-	-
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24.3 Term Loans

Balance at the beginning	14,182,859	12,458,985	203,126	236,562
Acquisition of Subsidiaries	490,392	-	-	-
Loans obtained during the Year	4,838,673	6,786,602	-	-
Re-Schedule During the year	28,127	-	-	-
Effect of Exchange Fluctuations	(32,823)	119,446	-	-
Payments made during the Year	(5,574,084)	(5,182,174)	(31,251)	(33,436)
Balance at the end	13,933,144	14,182,859	171,875	203,126
Payable within one Year	(4,920,168)	(3,620,844)	(39,063)	(39,063)
Payable after one Year	9,012,976	10,562,015	132,812	164,063

24.4 Debentures

Kotagala Plantations PLC a Subsidiary has issued Rs.500 Mn rated secured redeemable listed Debentures. The details are as follows;

24.4.1 Rated Secured Redeemable Listed Debentures - after the restructure

Debenture Type	Year of Issue	Original Year of Redemption	Restructured Period (Capital Repayment)	Colombo Stock Exchange Listing	Issued Value	Interest Payable Frequency	Interest Rate %	Outstanding Balance as at	
								31.03.2024 Rs'000	31.03.2023 Rs'000
C	2014	2020	From 2020 to 2025	Unlisted	Rs.250Mn	Monthly	7.50	134,039	166,400
D1 - D6	2014	2021	From 2021 to 2026	Listed	Rs.250Mn	Monthly	7.50	125,093	166,729
								259,132	333,129
Debentures held by related Companies of the Group								(63,250)	(55,631)
Debentures Non related Companies								195,882	277,498

24.4.2 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
C	Not traded	Not traded	Not traded
D1 - D6	Not traded	Not traded	Not traded

24.4.3 Comparable interest rate on Government Securities

4 Years	14.21%
6 Years	14.22%

24.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Commercial Bank of Ceylon PLC Term Loan	171.88	203.12	AWPLR + 2.5%	Thirty two equal quarterly instalments of Rs.7.8 million each.	Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million, Quaternary Mortgage Bond for Rs.87.50 million and Fifth Mortgage Bond to be executed for Rs. 82.5 million, over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
		171.88	203.12			
E.B. Creasy & Company PLC	Sampath Bank PLC Term Loan I	12.87	29.60	AWPLR + 3%	Each sub loans to be paid in 60 monthly instalments.	Loan agreement for respective sub loan amounts and mortgage over respective machinery to be imported and installed at the factory premises at Millewa estate Millewa.
	Sampath Bank PLC Term Loan II	-	1.24	6% p.a	In 71 equal monthly instalments of Rs.117,000/- and a final instalment Rs.186,000/-.	Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.8,493,000/-.
	Commercial Bank of Ceylon PLC Term Loan I	257.05	319.00	AWPLR + 2.5%	In 83 equal monthly installments of Rs.4,765,000/- each and a final installment Rs.4,505,000/-.	Primary Mortgage Bond executed for Rs. 400 million over land called 'Alubogahawatta' and 'Batadombagahawatta', Gonawala.
	Bank of Ceylon PLC Loan I	715.21	855.21	AWPLR + 2%	In Monthly Installment 1-36 months - Rs.10,million + Interest 36-72 months - Rs. 15 million + Interest 72-84 months - Rs. 20,800,000/- + Interest	Primary Mortgage over property located at No.98, Sri Sanagaraja Mawatha, Colombo 10 owned by E. B. Creasy & Co. PLC.
	Bank of Ceylon PLC Loan II	85.54	158.93	15.5% p.a	36 equal monthly installments of Rs.5,241,594/-.	Primary Mortgage over property located at No.98, Sri Sanagaraja Mawatha, Colombo 10 owned by E. B. Creasy & Co. PLC.
	Cargills Bank Limited	56.68	78.31	AWPLR + 2.75%	59 equal monthly installments of Rs.1,666,667/- and a final instalment of Rs.1,666,647/-	Primary Mortgage executed over machineries at "Ninja" mosquito coil production facility at Gonawala for Rs.100 million.
		1,127.35	1,442.29			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Candy Delights Limited	Hatton National Bank PLC Term Loan I	-	6.38	AWPLR+2%	48 equal monthly installments of Rs.1.25 Million each	Primary Floating Mortgage Bond for Rs.60 Million over movable machinery and equipment imported at a cost of Rs.82 Million and installed at Candy Delights Ltd., Unit 3, Industrial Estate, Ekala.
	Hatton National Bank PLC Term Loan II	-	9.39	AWPLR+2%	48 equal monthly installments of Rs.1.875 Million each	Registered Primary Floating Mortgage Bond for Rs.120 Million over land, immovable machinery situated at No. 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fittings, services and such other rights attached.
		-	15.77			
Lanka Special Steels Limited	Commercial Bank of Ceylon PLC Term Loan I	12.23	21.40	AWPLR 1.5%	59 equal monthly installments of Rs.1,530,000/- and a final installment of Rs.1,519,145/-.	Primary mortgage bond for Rs.91.8 Million over wire drawing plant with accessories.
	Commercial Bank of Ceylon PLC Term Loan II	275.50	319.00	9.5% p.a	60 equal monthly installments of Rs.7,250,000/- each.	Floating primary mortgage bond for Rs. 27 Million over lease hold right of LINDEL (Lot No: 5,6 &7) and Floating Primary Mortgage Bond for Rs. 483 Million over Machinery of New wire galvanizing plant.
	Commercial Bank of Ceylon PLC Term Loan III	92.96	104.47	AWPLR 2.5%	60 equal monthly installments of Rs.2,000,000/- each.	Floating primary mortgage bond to be executed for Rs.435 Million over new wire galvanizing plant.
	DFCC Bank PLC	132.00	150.00	AWPLR 2.25%	60 equal capital instalments after a grace period of 12 months from the disbursement date.	Primary mortgage bond for Rs.25 Million over movable machinery, Mortgage bond for Rs.300 Million over stocks and Mortgage bond for Rs.275 Million over stock and book debts.
		512.69	594.87			

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Laxpana Batteries PLC	Commercial Bank of Ceylon PLC	36.64	47.95	9% p.a.	In 59 equal monthly instalment of Rs.3.33 million. (6 years including 1 year of grace)	Primary mortgage bond of Rs.56.4 million to be executed over the solar panels and related machinery and equipment installed.
	Sampath Bank PLC	-	21.44	AWPLR + 1.25%	Loan to be settled within 120 days from the date grant.	Existing primary mortgage bond of Rs.95.9 million over the property situated in Panagoda, Homagama. (Facility has been discontinued w.e.f 10th April 2024).
	DFCC Bank	108.56	19.03	AWPLR + 2%	Loan to be settled within 120 days from the date grant.	Mortgage for Rs.356 million over allotment of land depicted as lots 1A & 2A depicted in plan No.1537 dated 02.10.2022.
	DFCC Bank	100.00	-	15%	Three months from the date of grant.	Mortgage for Rs.356 million over allotment of land depicted as lots 1A & 2A depicted in plan No.1537 dated 02.10.2022.
		245.20	88.42			
BlueScope Lysaght Lanka (Private) Limited	State Bank of India	41.03	-	AWPLR + 1%	Each sub loans to be settled within 75 days from the date of grant.	Mortgage for Rs.200 million over stocks kept at Company premises at Sapugaskanda industrial estate.
		41.03	-			
Lankem Ceylon PLC	Sampath Bank PLC Term Loan I	44.36	50.24		In 60 monthly instalments in following manner after a grace period of 24 months. 1-12 months - Rs.0.25 million, 13-24 months - Rs.0.625 million, 25- 36 months - Rs.0.750 million, 37-48 months - Rs.0.875 million, 49-59 months - Rs.2.71 million 60th month Rs.0.302 million per month, interest to be serviced separately on monthly basis.	(a) Term Loan Agreement of Rs.60.11 million. (b) Term Loan Agreement of Rs.189.888 million. (c) Hypothecation bond over stocks and book debts of Pannala Rs.450 million. (d) Corporate guarantee of E.B. Creasy & Company PLC Rs. 250 million.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Contd.	Sampath Bank PLC Term Loan II	142.64	160.26		In 60 monthly installments in following manner after a grace period of 24 months. 1-12 months - Rs.0.75 million, 13-24 months - Rs.1.875 million, 25-36 months - Rs.2.250 million, 37-48 months - Rs.2.625 million, 49-59 months - Rs.8.130 million 60th month Rs.10.458million per month, interest to beserved separately on monthly basis.	
	Commercial Bank of Ceylon PLC Term Loan I	-	9.45		In December 2017 Existing loan was convert to new reschedulement facility. Repayable in 55 equal monthly of Rs.0.96 million and a final instalment of Rs. 0.76 million together with interest.	(a) Primary Mortgage for Rs. 200 million over land at Ja-ela. (b) Secondary Mortgage Bond No. 528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs. 307 million over above property. (d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by th Company. (e) Corporate guarantee of E.B. Creasy & Company PLC Rs. 382 Million
	Commercial Bank of Ceylon PLC Term Loan II	2.80	16.00		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million together with interest payable monthly on reducing balance of capital.	

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Contd.	Commercial Bank of Ceylon PLC Term Loan III	11.60	43.10		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.1 million Yr - 2 equal instalments of Rs. 0.4 million Yr - 3 equal instalments of Rs. 0.6 million Yr - 4 equal instalments of Rs. 1 million Yr - 5 equal instalments of Rs. 1.2 million for 11 months and a final instalment of Rs. 1.6 million together with interest payable monthly on reducing balance of capital.	
	Peoples' Bank PLC I	504.95	510.00		In September existing loan Rs. 515 million was convert to new reschedulement facility payable over 96 installments inclusive of 12 months capital grace period.	Mortgage over stocks and Book debts and a Corporate Gurantee from SunAgro LifeScience Ltd for Rs.515 million.
	Peoples' Bank PLC II	216.47	216.47		Payable over 10 quarterly installments.	Stock in Trade & Book debts, Company Indemnity.
	Peoples' Bank PLC III	83.20	90.00		Payable over 96 monthly installments.	
	Peoples' Bank PLC IV	48.60	52.00		Payable over 96 monthly installments.	
	Peoples' Bank PLC V	30.20	35.00		Payable over 60 monthly installments.	
	Peoples' Bank PLC VI	11.80	14.10		Payable over 60 monthly installments.	
	National Development Bank	86.98	146.46		In September 2021 existing loan convert to new reschedulment facility payable over 40 installments inclusive of 4 months grace period.	Mortgage over stocks and Book debts.
	Bank of Ceylon	6.63	79.23		In 33 monthly equal installments inclusive of 09 months grace period.	
	Central Finance Co. PLC	-	8.15		In March 2022, existing loan was convert to new reschedulment facility. Payable over 24 installments excluding grace period of 5 months.	Mortgage and special power of Attorney of 05 No.of Double cab vehicle Promissory note.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Contd.	Union Bank Term Loan I	-	10.51		In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.	Pledge over trading shares for Rs.121 million held in slash Account. Shares given below; C.W.Mackie 2137,526 No. of Shares Marawilla resorts PLC 11,023,676 No. of Shares, Lankem Development PLC 2480,626 No. of Shares.
	Nations Trust Bank	252.38	252.38		In August 2021 existing loan was converted to new reschedulement facility. Payable over 72 installments inclusive of 6 months grace period.	Mortgage over stocks and book debts of Rs. 300 Million, Corporate guarantee from SunAgro Lifescience Ltd. For Rs.300 million. Letter of awareness comfort from Colombo Fort Land & Building PLC.
	Peoples Leasing & Finance PLC I	50.10	64.35		In February 2023 existing loan convert to new reschedulement facility payable over 36 installments.	Corporate guarantee from SunAgro Lifescience Limited for Rs. 65.53 million.
	Peoples Leasing & Finance PLC II	162.63	178.29		Payable over 36 monthly installemnets from the date of disbursement.	Corporate gurantee from SunAgro Lifescience Limited For Rs.185.11 million.
	Pan Asia Banking Corporation PLC	66.89	84.57		Repayable within 6 years with a grace period of 12 months.	Floating Mortgage Bond for Rs.150.0 million over Stocks stored at Lankem Paint factory, Horncastle Estate,Kanuwana, Ja-Ela together with an assignment over book debts (Mortgage bond No. 313 of 20/11/2008)
	Siyapatha Finance PLC I	5.36	13.87		Payable over 48 monthly instalemnets.	Corporate Guarantee from J.F.Packaging Ltd for Rs. 14.5 million.
	Siyapatha Finance PLC II	157.46	157.40		Payable over 96 monthly installments.	Corporate Guarantee from J.F.Packaging Ltd for Rs. 157.59 million.
	Hatton National Bank	325.00	-		Payable over 72 monthly installments.	Secondary floating mortgage for Rs.325Mn over commercial property (Free Hold) belonging to union Commodities (Pvt) Ltd at No. 79, Biyagama Road, Talwatte, Kelaniya to the extent of 3A 3R 11.2P including machiery and buildings.
		2,210.06	2,191.83			

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
C.W. Mackie PLC	Commercial Bank of Ceylon PLC	129.11	158.24	AWPLR + 1.75% & 6.75 p.a		Mortgage bond over the machinery valued Rs.1.89 million and Rs.1.7 million at Kaluaggala, Hanwella. Primary mortgage bond over property situated at Mungama, Horana.
	Hatton National Bank	51.16	83.21	AWPLR + 0.75% & 1 p.a		Primary floating mortgage bond over plant and machinery of the new product line at Horana.
		180.27	241.45			
Beruwala Resorts PLC	Cargills Bank PLC Term Loan USD I	311.70	283.24	11% p.a		Primary mortgage over land and buildings of BOT Hotel Services Limited situated at Weligama.
	Cargills Bank PLC Term Loan SLR	123.23	147.45	AWPLR + 2%		Corporate guarantee of Colombo Fort Land and Buildings PLC Rs. 25 million.
		434.93	430.69			
Sigiriya Village Hotels PLC	Sampath Bank PLC	227.58	202.98		Repayable over 35 monthly instalments.	Primary Mortgage Bond for Rs.195,000,000/- over leasehold right of property at No.01, Hotel Road Sigiriya owned by the Sri Lanka Tourism Development Authority. Also depicted as Lot No. 217B and 217C in survey Plan No.2356 dated 22nd January 1979 made by H. Anil Peris (Licensed Surveyor).
		227.58	202.98			
Marawila Resorts PLC	Commercial Bank of Ceylon PLC Term Loan I - IV	118.49	154.17	AWPLR + 1.5%	Loan I - Rs. 26.5 million Loan II - Rs. 18.3 million Loan III - Rs. 41.4 million Loan IV - Rs. 9.2 million should be repaid on maturity date July 2028.	Floating mortgage Bond No: CTY/MBO/17/06/03 dateds 10/08/2017 for Rs.25 million obtained over assignment of book debts.
	Commercial Bank of Ceylon PLC Term Loan IV	400.40	469.05	3 Months USD SOFR + 4.15%	To be repaid in April 2030 with the grace period of 24 months commencing from July, 2023.	Floating Primary Mortgage Bond No.5484 dated 26.03.2019 for Rs. 120 million to be obtained over the property situated at "Club Palm Bay". Thalwilawella, Marawila morefully depicted as Lots 03 to 09 in Plan No. 5656 dated 16.10.2016 drawn by Mr. W S S A Fernando (L/S) in extent of A 24: R:0 P 2.7 owned by Marawila Resorts PLC.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Marawila Resorts PLC Contd.	Saubagya Loan	-	3.54	4% p.a.	Repayble within 4 equal installment of Rs. 883,838/- plus interest.	Lien over the Savings Account No. 7000012576 for Rs. 18,061,657/- in the name of Marawila Resorts PLC. Floating Moratge Bond No . CTY /MBD/17/06/03 dated 10/08/2017 for 25 million obtaiend over assignments of book debts. Floating Primary Mortgage Bond No 5484 dated 26/03/2019 for 120 million obtained over the property situated in Marawila. Insurance Policy No FFC2016 - 4155 from Alliance Insurance Limited for Rs 1.4 Billion obtained in the joint name of the owner of the property and the bank coveriing the risk of fire, SRCC, Malcious dameges and natural perils.
		518.90	626.76			
Galle Fort Hotel (Private) Limited	Cargills Bank PLC Term Loan I	-	12.73	AWPLR + 1.95%	Repayable over 39 equal monthly instalments of Rs.0.53 million together with interest.	Primary mortgage bond over property for Rs.35 Mn and 0.775Mn USD, mentioned as Lot X in the plan no 130 situated at Fort Village in the gramasewa division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan II	-	59.49	LIBRO + 4.4%	Repayable over 39 equal monthly insatlments of USD 7,574 and a final instalment of USD 7,578.69 together with monthly interest.	
	Cargills Bank PLC Term Loan III	-	39.02	LIBRO + 4%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan IV	-	11.45	LIBRO + 4.4%	Repayable over 23 equal monthly instalments of Rs.1.04 milllion and a final instalment of Rs. 1.03 milllion together with interest.	
	Cargills Bank PLC Term Loan V	-	11.45	LIBRO + 4.4%	Repayable over 23 equal monthly instalments of Rs.1.04 million and a final instalment of Rs.1.03 million together with interest.	

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Galle Fort Hotel (Private) Limited Contd.	Cargills Bank PLC Term Loan VI	-	46.06	TB + 1%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan VII	-	77.05		Repayable over 40 equal monthly installments of US \$ 4,584 and a final installment of US \$ 4,613 together with interest.	
	Cargills Bank PLC Term Loan VIII	-	8.50	LIBRO + 4.4%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan IX	-	8.34	LIBRO + 4.4%		
	Cargills Bank PLC Term Loan X	95.52	-	AWPLR + 3%		Primary mortgage bond over property mentioned as Lot X in the plan No. 130 and Lot A and B in plan No. 151 situated at Fort Village in the Gramasewa Division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan XI	5.24	-	AWPLR + 3%		
	Cargills Bank PLC Term Loan XII	174.63	-	11% p.a		
		275.39	274.09			
Kotagala Plantations PLC	National Development Bank PLC Term Loan I	21.95	11.09	AWPLR+5% if delayed AWPLR+8%	Payable in 63 equal monthly instalments of Rs. 2,030,000/- with a first instalment of Rs. 2,110,000/-.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan II	21.95	15.32			
	National Development Bank PLC Term Loan III	21.95	23.59			
	National Development Bank PLC Term Loan IV	37.35	37.25	LIBOR + 8% if delayed LIBOR+ 11%	Payable in 56 equal monthly instalments of \$8,000 with a first instalment of \$7,000.	
	National Development Bank PLC Term Loan V	37.35	37.25		Payable in 56 equal monthly instalments of \$8,000 with a first instalment of \$7,000.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC Contd.	National Development Bank PLC Term Loan VI	37.35	37.25		Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	
	Sampath Bank PLC Term Loan	96.90	180.30	AWPLR + 3.5%	Payable in 71 equal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000/- with a capital grace period of 12 months.	Primary Mortgage Bond for Rs.500 million over leasehold rights of Drayton and Kelliewatte Estates in Nuwara Eliya together with factory building therein.
	People's Bank Term Loan	236.25	243.75	AWPLR + 8.5%	Repayable within 120 instalments. 2nd -3rd Year - Rs.625,000 per month 4th Year - Rs. 835,000 per month 5th Year - Rs.1,875,000 per month 6th Year - Rs.2,083,335 per month 7th Year - Rs.2,958,000 per month Last payment - Rs.2,957,980.	Primary Mortgage Bonds over Leasehold rights of all those estate plantation and premises of Mayfield Estate situated in the village of dimbula and Ukutile in the Nuwara Eliya Pattu in Kotmale Korale in the district of Nuwara Eliya, Central province.
	Standard Chartered Bank	655.63	676.75	AWPLR	Payable within 60 instalments.	Primary Mortgage Bond over leasehold rights of Hedigalle and Eduragala Estates together with factory building therein.
	Standard Chartered Bank Packing credit loan	-	31.34			
	Forbes & Walker Limited	8.00	26.52		Repayable within 3 months.	Tea / Rubber stocks.
	Seylan Bank PLC Term Loan	16.00	44.50	16%	Repayable within 72 months with following instalments 12 instalment of Rs.400,000 + Interest 12 instalment of Rs.600,000 + Interest 12 instalment of Rs.1,000,000 + Interest 12 instalment of Rs.2,250,000 + Interest 11 instalment of Rs.2,500,000 + Interest and final instalment of Rs. 3,500,000	Primary mortgage over leasehold rights of Yuilliefield and Sorana Estates.
	Seylan Bank Moratorium Loan II	-	1.69	TB + 1%		
	AEN Oil Palm	-	15.00		Repayable within 3 months.	

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
	Bank of Ceylon	280.00	-	AWPLR + 2%	Payable within 12 months.	Primary Mortgage Bond over leasehold rights of Padukka Estate.
	Amana Bank	230.00	-	AWPLR + 2%	Payable within 24 months.	Assignment over 20,700,000 ordinary shares of Agarapatana Plantation PLC owned by Kotagala Plantation PLC valued at Rs.740 per share (current market price).
		1,700.66	1,381.60			
Agarapatana Plantations PLC	Sampath Bank PLC Term Loan I	124.70	215.05	AWPLR + 3.5%	71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.	Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.
	Seylan Bank PLC Term Loan I	26.65	34.65	16%	84 equal instalments commencing from 30.11.2018.	Mortgage over leasehold rights over the estate land & building, fixed & floating assets of Diyagama East Estate.
	Seylan Bank PLC Term Loan II	-	0.17	TB Rate + 1%	20 weekly installments of Rs.1 million commencing from 25/11/2021.	
	Seylan Bank PLC Term Loan III	-	0.68	TB Rate + 1%	50 weekly installments of Rs.1 million commencing from 07/07/2021.	
	Seylan Bank PLC Term Loan V	47.48	58.90	16%	60 monthly installments of Rs. 312,500/- commencing from 30/07/2022.	
	Bank of Ceylon Term Loan II	-	33.33	AWPLR + 2%	48 monthly instalments commencing from 12.06.2019.	Tri partite agreement with borrower, bank and the tea broker - John Keels PLC and Corporate Guarantee from Lankem Ceylon PLC.
	Bank of Ceylon Term Loan III	102.27	147.23	AWPLR + 3.5%	72 monthly installements commencing from 03.05.2020 including six months of grace period.	An additional mortgage over lease hold rights of Glenanore and Haputhale Estates including machinery fixed each of these Estates.
	Bank of Ceylon Term Loan IV	-	29.55	AWPLR + 3%	72 monthly installements commencing from 03.05.2020 including six months of grace period for the capital	A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these Estate.
	Bank of Ceylon Term Loan V	-	1.50		10 weekly installments of Rs. 1,000,000 commencing from 26.02.2020.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations PLC Contd.	Bank of Ceylon Term Loan VI	-	34.02	6.93%	36 monthly installments commencing from 30/04/2023.	
	Bank of Ceylon Term Loan VII	28.66	51.58	6.93%	36 monthly installments commencing from 13/04/2020.	
	Bank of Ceylon Term Loan VIII	5.62	10.11	6.93%	24 monthly installments commencing from 10/03/2020.	
	Bank of Ceylon Term Loan IX	-	0.59	6.93%	6 monthly installments commencing from 07/11/2021.	
	Bank of Ceylon Term Loan X	27.56	50.47	AWPLR + 3%	6 monthly installments commencing from 30/04/2023.	
	Bank of Ceylon Term Loan XI	16.89	-	AWPLR + 2.5%	within 2 months	A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these Estates.
	Bank of Ceylon Term Loan XII	180.27	-	AWPLR + 2.5%	within 4 months	A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these Estates.
	Commercial Bank of Ceylon PLC Term Loan	85.88	136.90	AWPLR + 3%	48 monthly instalments commencing from 21.01.2022.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambettenne Estate.
	Amana Bank PLC	180.00	-	11%	within 2 months commencing from 31/07/2022.	
	Sri Lanka Tea Board Term Loan II	-	100.41	8%	12 weekly installments of Rs.8,367,320/- commencing from 12.04.2023	
	Walkers Tea Brokers (Pvt) Ltd	-	62.49	28%	16 weekly installments of Rs.12,500,000/- commencing from 18.01.2023	
	Seylan Merchant Bank PLC	40.61	51.99	18%	60 monthly installments commencing from 31.07.2022.	
	Forbes and Walkers Tea Brokers (Pvt) Ltd	50.00	-	19%	12 weekly installments of Rs.4,166,666/- commencing from 03/04/2024.	
		916.57	1,019.62			

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC Term Loan	-	15.43		84 monthly instalments commencing from 01.04.2014.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC.
	People's Leasing & Finance PLC	-	2.99			Promissory Notes worth Rs.25 million have been pledged.
		-	18.42			
Waverley Power (Private) Limited	Sampath Bank PLC I	8.26	12.02	AWPLR + 2%	96 monthly installements.	a) Loan agreement for Rs.25 million. b) Primary mortgage bond for Rs.25 million over the entirety of shares issued by the company, supported by an irrevocable Power of Attorney.
	Sampath Bank PLC II	46.08	60.80	AWPLR + 2%	96 monthly installments commencing one month after the date of first disbursement.	Loan agreement for Rs. 100 million.
	Sampath Bank PLC III	8.26	12.02	AWPLR + 2%	12 monthly installments commencing from date of grant.	Loan agreement for Rs.25 million.
	Sampath Bank PLC IV	-	8.46	AWPLR + 2%	18 monthly installments after a capital grace period of 6 months from the date of disbursement.	Loan agreement for Rs. 13.28 million.
	Sampath Bank PLC V	-	11.60	12.5%	18 monthly installments after a capital grace period of 6 months from the date of disbursement.	Loan agreement for Rs.16 million.
	Sampath Bank PLC VI	-	2.00	AWPLR	18 monthly installments.	Loan agreement for Rs.6 million.
		62.60	106.89			
Union Commodities (Private) Limited	Commercial Bank of Ceylon PLC	1,106.25	978.79	AWPLR + 1.5%	Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.	Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre-shipment loan.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Union Commodities (Private) Limited Contd.	DFCC Bank PLC	1,786.88	557.80	LIBOR + 4.5%	Each loan to be settled within a period of 90 days form the date of disbursement of or at the time of negotiation /purchase of relative export documents, whichever is earlier.	Primary concurrent Mortgage bond for Rs.100 million and book debts of the company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from Union Commodities (Private) Limited to the value of Rs.195 million.
	Hatton National Bank PLC Term Loan I	5,321.00	2,058.42	LIBOR + 5%	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 6.7 million over commercial property including immovable property at Biyagama Road Thalwatte, Kelaniya. Including Buildings and every thing standing thereon.
	Hatton National Bank PLC Term Loan II	-	339.84	LIBOR + 5%	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 1.2 million over movable machinery at Biyagama Road Thalwatte Kelaniya.
	National Development Bank PLC I	141.79	154.68	6.50%	Maximum 90 days from which date make it consistent with other disclosures.	Primary Concurrent pari pasu mortgage bond over stock and book debts.
	National Development Bank PLC II	619.44	30.66	LIBOR + 4%	Each loan to be repaid within 4 months.	Hypothecation over stocks lying at Biyagama Road,Talwatte,Kelaniya and book debts.
	Bank of Ceylon PLC	619.44	242.59	LIBOR + 4%	Each loan ro be repaid within 4 months.	Hypothecation over stocks lying at Biyagama Road,Talwatte,Kelaniya and book debts.
	Amana Bank PLC	45.61	526.35	Term Investment Rate + 1.75%	Each loan ro be repaid within 6 Months	Lien over third part term investment account of Daryl Butler & Company Limited for Rs.556 Mn together with a third party set off letter & Board Resolution.
		9,640.41	4,889.12			
JF Packaging Limited	Sampath Bank PLC Term Loan I	56.25	77.00		Repayble over 5 years in 60 monthly insallments 1 year Rs.322,500/- 2 year Rs.1,000,000/- 3 year Rs.1,750,000/- 4 year Rs.2,250,000/- 5 year Rs.3,000,000/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.98,870,000/- & mortgage over shares of Alliance Five (Pvt) Ltd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging Limited Contd.	Sampath Bank PLC Term Loan II	14.74	19.89		Repayable over 5 years in 60 monthly insallments 1 year Rs.125,000/- 2 year Rs.250,000/- 3 year Rs.450,000/- 4 year Rs.575,000/- 5 year Rs.738,800/-.	Mortagage over Dry laminating machine and related equipment.
	Sampath Bank PLC Term Loan III	0.90	1.57		Repayable over 5 years in 60 monthly insallments of Rs.47,500/-.	
	Sampath Bank PLC Term Loan IV	-	15.09		Repayable over 2 years in 24 monthly installments 1 year Rs.125,000/- 2 year Rs.1,958,400/- and a final installment of Rs.1,100,000/-.	
	Bank of Ceylon Term Loan I	74.42	107.58		Repayable over 6 years in 72 monthly installments, 01-12month - Rs.500,000/-, 13-24month -Rs.750,000 /-, 25-36month- Rs.1,702,000/-, 37-48month- Rs.2,119,000/-, 49-60month- Rs.2,536,000/- , 61-72month- Rs.2,607,000/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan II	52.48	58.62		Repayable over 5 years in 60 monthly installments, 01-12month - Rs.500,000/-, 13-24month -Rs.750,000 /-, 25-36month- Rs.1,000,000/-, 37-48month- Rs.1,333,000/-, 49-60month- Rs.1,415,000/-.	
	Bank of Ceylon Term Loan III	82.14	87.84		Repayable over 6 years in 72 monthly installments, 01-12month - Rs.500,000/-,13- 24month -Rs.750,000 /-,25-36month- Rs.1,000,000/-,37- 48month-Rs.1,828,000/- ,49-60month- Rs.1,995,000/- , 61-72month- Rs.2,397,000/- .	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging Limited Contd.	Bank of Ceylon Term Loan IV	219.55	271.04		Repayable over 5 years in equal monthly capital of Rs.4,927,975/-.	Mortgage over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan VI	211.90	233.22		Repayable over 6 years in 72 monthly installments, 1 year Rs.500,000/- 2 year Rs.1,000,000 /- 3 year Rs.3,283,000/- 4 year Rs.4,283,000/- 5 year Rs.5,033,000/- 6 year Rs.5,599,000/-.	
	Nations Trust Bank PLC	107.20	107.69		Repayable over 5 years in monthly installments; 01-12month - Rs.1,500,000/-, 13-24month -Rs.2,000,000 /-, 25-36month- Rs.2,500,000/-, 37-48month- Rs.3,000,000/-, 49-60month- Rs.2,342,639/-.	Mortgage over stocks and book debts held at factory premises at No:306, Minuwangoda Road, Kotugoda. Corporate guarantee from Lankem Ceylon PLC for Rs.117.36 million.
	Siyapatha Finance PLC	53.76	64.53		Repayable over 31 monthly installments; 01-12month - Rs.2,250,000/-, 13-25month -Rs.2,500,000 /-, 25-30month- Rs.3,000,000/-, 31 month- Rs.3,165,914/-.	Corporate guarantee from Ceylon Tapes (Pvt) Ltd and a loan agreement for Rs.100,000,000/-.
		873.35	1,044.08			
SunAgro LifeScience Limited	Commercial Bank of Ceylon PLC	78.75	103.70		12 installments of Rs. 0.4 MN, 12 installments of Rs.1 MN, 12 installments of Rs.2.5 MN, 12installments of Rs.4.5 MN, 12 installments of Rs.5.5 MN & final payment Rs. 667,014.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.100 million.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
SunAgro LifeScience Limited Contd.	Peoples Leasing & Finance PLC - Long Term Loan	110.49	162.72		12 installments of Rs.0.5 million, 12 installments of Rs.1 million & Balance Equal installments within next 24months.	Security cheque to be lodged with People's Leasing Finance PLC for Rs. 154,972,027 Promissory Note of Rs. 154,972,027 and Corporate guarantee of M/S Lankem Ceylon PLC (PQ128) to the value of Rs. 154,972,027. Security cheque of Rs. 53,858,157 & Promissory note of Rs. 53,858,157.
	Siyapatha Finance PLC	1.91	18.05			Lankem Ceylon PLC for Rs. 50 million corporate guarantee.
	Hatton National Bank PLC I	207.51	338.89		To be repaid over a period of five years follows together with interest after an initial grace period of 12 months.0-12 months - Grace Period, 13-36 months 6.25 million per month 27-48 months 7.8 million per month and 48-60 months 10.94 million per month.	Corporate Guarantee from Lankem Ceylon PLC amounting to Rs.375 million.
	Hatton National Bank PLC - Trsut Receipt Loan	114.17			Repayable within 4 months.	Stocks and debtors.
		512.83	623.36			
Lanka Special Steels Limited	Commercial Bank of Ceylon PLC I	12.23	21.40	AWPLR + 1.5%	In 59 equal monthly installments of Rs. 1,530,000/- and a final instalment of a Rs. 1,519,145/-.	Primary mortgage bond for Rs.91.8 million over wire drawing plant with accessories.
	Commercial Bank of Ceylon PLC II	275.50	319.00	9.5 % p.a	60 equal monthly installments of Rs.7,250,000/- each.	Floating primary mortgage bond for Rs. 27 million over lease hold right of LINDEL (Lot No: 5,6 &7) and Floating Primary Mortgage Bond for Rs. 483 million over Machinery of New wire galvanizing plant.
	Commercial Bank of Ceylon PLC III	92.96	104.47	AWPLR + 2.5%	60 equal monthly installments of Rs.2,000,000/- each.	Floating primary mortgage bond for Rs. 27 million over lease hold right of LINDEL (Lot No: 5,6 &7) and Floating Primary Mortgage Bond for Rs. 483 million over Machinery of New wire galvanizing plant.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lanka Special Steels Limited Contd.	DFCC Bank PLC	132.00	150.00	AWPLR + 2.25%	60 equal capital installments after a grace period of 12 months from the disbursement date.	Primary mortgage bond for Rs.25 million over movable machinery, Mortgage bond for Rs.300 million over stocks and Mortgage bond for Rs.275 million over stock and book debts.
		512.69	594.87			
Kiffs (Private) Limited	National Development Bank PLC Loan I	-	0.31		Repayable over 4 years in equal monthly capital of Rs.156,250/-.	Primary Mortgage over equipment located at No.179/6, Ragama Road, Kadawatha.
	National Development Bank PLC Loan II	-	6.68		Repayable over 18 months in equal monthly capital of Rs.1,388,889/-.	Corporate Guarantee of J.F.Packaging Limited.
		-	6.99			
ACME Printing and Packaging PLC	Seylan Bank PLC	-	3.29	AWPLR + 2.5%	Repayable in 60 equal monthly installments commencing from December 2018.	Facility Agreement Monthly transfer of Rs. 0.15 million to Savings Account.
	NDB Bank PLC I	52.90	62.10	AWPLR + 2%	Repayable in 53 equal monthly installements commencing from May 2023.	Primary Mortgage Bond over stocks and book debt of the borrowers and monthly transfer of Rs. 0.10 million to savings accounts.
	NDB Bank PLC II	42.22	50.00	AWPLR + 2%	Repayable in 53 equal monthly installements commencing from May 2023.	Primary Mortgage Bond over stocks and book debt of the borrowers and monthly transfer of Rs. 0.1 million to savings accounts
	NDB Bank PLC III	15.56	28.00	AWPLR + 2%	Repayable in 53 equal monthly installements commencing from May 2023.	Primary Mortgage Bond over stocks and book debt of the borrowers and monthly transfer of Rs. 0.1 million to savings accounts.
	Softlogic	29.46	36.90	AWPLR + 2%	Repayable in 60 monthly installements commencing from May 2023.	
		140.13	180.29			
ACME Packaging Solutions (Private) Limited	Sampath Bank PLC I	36.25	36.25	AWPLR + 2.5%	Repayable in equal monthly installments commencing from December 2018.	Mortgage of Rs. 90 Mn over Machinery owned by ACME Packaging Solution.
	Sampath Bank PLC II	7.00	7.00	AWPLR + 2.5%		

	Company/ Lender	Balance as at 31.03.2024 Rs. million	Balance as at 31.03.2023 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
ACME Packaging Solutions (Private) Limited Contd.	NDB Bank PLC I	32.70	32.70	AWPLR + 2%	Repayable in 53 equal monthly installements commencing from May 2023.	Primary Mortgage Bond over stocks and book debt of the borrowers and monthly transfer of Rs. 0.10 million to savings accounts.
	NDB Bank PLC II	6.47	14.30	AWPLR + 2%	Repayable in 53 equal monthly installements commencing from May 2023.	Primary Mortgage Bond over stocks and book debt of the borrowers and monthly transfer of Rs. 0.1 million to savings accounts.
	Softlogic	96.88	120.78	AWPLR + 2%	Repayable in 60 monthly installements commencing from May 2023.	
		179.31	211.03			

24.6 Trust Receipt Loans

As at 31st March,	GROUP	
	2024 Rs.'000	2023 Rs.'000
E. B. Creasy & Company PLC	341,321	1,083,895
Lankem Ceylon PLC	1,588,560	1,328,644
Darley Butler & Company Limited	-	346,479
SunAgro LifeScience Limited	166,755	103,699
J F Packaging Limited	-	393,004
Muller & Phipps (Health Care) Limited	27,918	303,794
Laxapana Batteries PLC	108,558	40,472
	2,233,112	3,599,987

■ E.B. Creasy & Company PLC

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10, share investments and assignment of book debts.

■ Darley Butler & Company Limited

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at Panagoda, Homagama and stocks in trade and assignment of book debts.

■ Muller & Phipps (Health Care) Limited

Trust receipt loans are secured by existing mortgage bonds to banks over pharmaceutical stocks in trade and assignment of book debts.

■ Laxapana Batteries PLC

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at Panagoda, Homagama and stocks in trade and assignment of book debts.

Notes to the Financial Statements contd.

Muller & Phipps (Health Care) Limited

Company/ Lender	Facility	Interest	Balances as at 31.3.2024 Rs.'000	Balances as at 31.3.2023 Rs.'000	Terms of Repayment	Security Pledged
Hatton National Bank PLC	Revolving Trust Receipt Loan of Rs.225 Mn	AWPLR + 1%	27,918	190,939	Each loan should be repaid in a maximum period of 180 days.	Primary Floating Mortgage bond for Rs.450 Mn over stock of pharmaceuticals and an assignment of book debts.
National Development Bank PLC	Revolving Trust Receipt Loan of Rs.100 Mn	18% p.a	-	45,000	Each loan should be repaid in a maximum period of 120 days.	Primary Floating Mortgage bond for Rs.160 Mn over stock and an assignment of book debts.
Union Bank of Colombo PLC	Revolving Trust Receipt Loan of Rs.50 Mn	AWPLR + 2.50% p.a with a floor rate 12%	-	67,855	Out of own cashflows.	Primary Floating Mortgage Bond for Rs.50 Mn over stocks and assignment over book debts.
			27,918	303,794		

* The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities.

25 DEFERRED INCOME - CAPITAL GRANTS

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Balance at the beginning of the Year	504,140	525,750	-	-
Additions during the Year	48,669	2,755	-	-
Amortised during the Year	(39,743)	(24,365)	-	-
Balance at the end of the Year (Note 25.1)	513,066	504,140	-	-

25.1 Balance at the end of the Year

Kotagala Plantations PLC	308,944	316,081	-	-
Agarapatana Plantations PLC	174,149	183,606	-	-
C.W. Mackie PLC	26,485	705	-	-
E B Creasy & Company PLC	3,488	3,748	-	-
	513,066	504,140	-	-

25.2 The Group's utilisation of funds received is as below:

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Creches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

c) Rubber Development Department

Funds received are utilised for replanting.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations PLC

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank and Plantation Reform Project for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilized for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and Bearer Biological Assets and the grant component is reflected under Deferred Grants and Subsidies.

C. W. Mackie PLC (CWM)

CWM has been awarded a government grant from Ministry of Plantation Industries, amounted to Rs. 41 million for the acquisition of peanut processing line and automated packing machines during the year. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited (KVC) has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs. 500,000 for the acquisition of fully automated jam cup filling machine at a total cost of Rs. 1.3 million. During the year 2019/20, the Company has acquired an Automated Filling Machine at a total cost of Rs. 2.2 million under a government grant scheme which was aimed at facilitating Micro Small and Medium Enterprises (MSME) engaged in food based products by supporting them with funds needed to acquire new technology or purchase modern machinery to enhance the quality or productivity of their production. Out of the approved grant, the Company has received Rs.1,054,000/- during the previous years. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery.

In accordance with the term of the grant KVC has started the production with above machineries and shall not dispose, assign, pledge, mortgage, gift, or let rent the machinery for a period of five years from the date of purchase.

E B Creasy and Company PLC

E. B. Creasy & Co, PLC received a grant of Rs.5.2 million during the year ended 31st March 2018 in relation to setting up of a roof top solar power project on net metering basis under ADB funded clean energy and network efficiency improvement projects which is amortised over 20 years.

26 DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000 Restated	2024 Rs.'000	2023 Rs.'000
Balance at the beginning of the Year	4,651,740	2,009,864	211,115	162,519
Prior Year Adjustment	115,704	161,967	-	-
Origination/(Reversal) of Temporary Differences Recognised in Profit / (Loss) for the Year	565,003	1,011,019	940	11,568
Amount recognised due to increase in tax rate - P/L	-	180,587	-	-
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Other Comprehensive Income	(214,501)	537,844	-	37,028
Amount recognised due to increase in tax rate - OCI	-	679,416	-	-
Transfer to Equity	-	71,043	-	-
Balance at the end	5,117,946	4,651,740	212,055	211,115

Notes to the Financial Statements contd.

26.1 Deferred Tax Composition - Group

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000 Restated	Rs.'000	Rs.'000
Property Plant and Equipment	5,302,431	4,994,000	517	540
Revaluation Surplus on Land	1,957,583	1,786,629	226,939	225,346
Right to use Assets	88,890	109,420	-	-
Lease Liabilities	(45,004)	(46,935)	-	-
Defined Benefit Obligations	(1,004,109)	(736,510)	-	-
Impairment of Inventories	(10,257)	(139,367)	-	-
Impairment of Debtors	(110,544)	46,222	(2,517)	(9,456)
Impairment of Financial Assets	(114,527)	15,808	-	-
Tax loss carried forward	(946,517)	(1,377,527)	(12,884)	(5,315)
Deferred Tax Liabilities	5,117,946	4,651,740	212,055	211,115

27 EMPLOYEE BENEFITS

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Fair Value of Plan Assets (Note 27.1)	110,720	100,863	-	-
Present Value of the Funded Obligations (Note 27.2)	445,979	295,550	-	-
Present Value of the Unfunded Obligations (Note 27.4)	3,884,934	2,981,425	-	-
Total Present Value of Retirement Benefit Obligations	4,330,913	3,276,975	-	-

27.1 Fair Value of Plan Assets

Movements in Fair Value of Plan Assets

Fair Value of Plan Assets as at 01st April	100,863	84,560	-	-
Contribution Paid to the Plan Assets	24,469	16,804	-	-
Expected Return on Plan Assets	14,029	10,687	-	-
Benefits Paid by the Plan	(24,165)	(5,618)	-	-
Actuarial (Losses)	(4,476)	(5,570)	-	-
Fair Value of Plan Assets as at 31st March	110,720	100,863	-	-

As at 31st March,	GROUP	
	2024	2023
	Rs.'000	Rs.'000
27.1.1 Plan Assets Consist of the following:		
Treasury bills	52,436	48,263
Balance with Group Companies	22,392	15,490
Cash	11,401	17,855
NDB Wealth Management Fund	-	9,077
Aviva Insurance Lanka PLC	-	1,575
Other Investments	24,491	8,603
	110,720	100,863

The plan assets are invested entirely in short term Treasury Bills issued by the Government of Sri Lanka in order to mitigate any potential financial risks.

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

27.2 Present Value of the Funded Obligations

Movement in Present Value of Funded Obligations

Present value of Defined Benefit Obligations as at 1st April	295,550	240,696	-	-
Provision for the Year (Note 27.2.1)	84,669	57,181	-	-
	380,219	297,877	-	-
Benefits paid by the Plan	(36,625)	(26,109)	-	-
Actuarial Losses (Note 27.2.1)	102,385	23,782	-	-
Present Value of Defined Benefit Obligations as at 31st March	445,979	295,550	-	-

27.2.1 Expenses Recognised in the Statement of Comprehensive Income

Current Service Cost	27,555	27,617	-	-
Interest Cost	57,114	29,564	-	-
	84,669	57,181	-	-
Provision for the Year	84,669	57,181	-	-
Net Actuarial Losses	102,385	23,782	-	-
	187,054	80,963	-	-

27.3 Present Value of Net Obligations

Fair Value of Plan Assets	110,720	100,863	-	-
Present Value of Funded Obligations	(445,979)	(295,550)	-	-
Present Value of Net Funded Obligations	(335,259)	(194,687)	-	-

27.4 Present Value of the Unfunded Obligation

Movement in Present Value of Unfunded Obligation

Present value of Defined Benefit Obligations as at 1st April	2,981,425	2,765,018	-	-
Acquisition of Subsidiaries	20,566	-	-	-
Provision for the year	726,561	576,853	-	-
	3,728,552	3,341,871	-	-
Inter-company Liability Transfers				
Benefits paid by the Plan	(460,496)	(498,690)	-	-
Actuarial Losses	616,878	138,244	-	-
Present value of Defined Benefit Obligations as at 31st March	3,884,934	2,981,425	-	-

27.4.1 Expenses Recognised in the Statement of Comprehensive Income

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Current Service Cost	172,268	186,595	-	-
Interest Cost	554,293	390,258	-	-
Provision for the Year	726,561	576,853	-	-
Net Actuarial Losses	616,878	138,244	-	-
	1,343,439	715,097	-	-

i) Agarapatana Plantations PLC

According to the valuation done based on the full actuarial valuation carried out by a professionally qualified actuary firm M/s. Actuarial and Management Consultants (Pvt) Ltd as at 31st March 2024, the liability is Rs.1,791 million. If the Company had provided for gratuity for all employees on the basis of 14 days wages for workers and a half month salary for staff for each completed year of service for the year ended 31st March 2024, the liability would have been Rs. 1,969 million (2023 - Rs. 2,131 million) Hence, there is a contingent liability of Rs.178 million which would crystallise only if the Company ceases to be a going concern

Notes to the Financial Statements contd.

ii) Kotagala Plantations PLC

The actuarial valuation had been carried out by M/S Actuarial & Management Consultants (Pvt) Ltd. According to the valuation the gratuity liability on employees of the Company as at 31st March 2024 is Rs.821 million (2023 - Rs.598 million).

iii) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Piyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2024. The actuarial present value of the accrued benefits as at 31st March 2024 is Rs. 16.60 million (2023 - Rs.7.78 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

iv) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2024 by Mr. Piyal Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2024 is Rs.17.39 million (2023 - Rs.6.14 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

v) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March, 2024 by Mr. Piyal Goonatilleka, Fellow of the Society of actuaries (USA). The actuarial present value of the accrued benefits as at 31st March 2024 is Rs.14.26 million (2023- Rs. 8.71 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vi) C.W. Mackie PLC

The contributions of the Company and its subsidiaries (Ceymac Rubber Company Limited and Ceytra (Private) Limited) to the defined benefit plan are determined by a formula stated in the Indenture establishing the CWM Group Staff Non-Contributory Gratuity Fund.

As required by the Sri Lanka Accounting Standard 19 (LKAS 19), "Employee Benefits" the Fund was actuarially valued by Mr. Piyal S. Goonetilleke, Fellow of the Society of Actuaries (USA), Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piyal S. Goonetilleke and Associates, as at 31 March 2024 and the appropriate adjustments have been effected in the Financial Statements. The liability as at 31st March, 2024 of the C.W. Mackie group was Rs.197.67 million (2023 - Rs.119.97 million).

vii) J.F. Packaging Limited

The retirement benefit obligations as at 31st March 2024 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited. As per which liability as at 31st March 2024 was Rs.21.77 million (2023 - Rs.12.03 million)

viii) Lankem Ceylon PLC

An actuarial valuation has been carried out as at 31st March 2024 by Messrs. Actuarial and Management Consultants (Private) Limited. as required by the Sri Lanka Accounting Standard 19 'Employee Benefits'.

Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs. 5.6 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19 'Employee Benefits'.

ix) C M Holdings PLC - Group

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31 March 2024.

x) E.B. Creasy & Company PLC

An actuarial valuation has been carried out as at 31st March 2024 by Messrs. Piyal. S. Goonathilake & Associates (Actuarial Valuer) as required by the Sri Lanka Accounting Standard LKAS 19 - 'Employee Benefits'.

The actuarial present value of the accrued benefit as at 31st March, 2024 is Rs. 606.83 million (2023- Rs.758.18 million). This item is grouped under retirement benefit obligation in the Statement of Financial Position. The liability is not externally funded.

xi) Darley Butler & Company Limited

An actuarial valuation has been carried out by Mr. Piyal S. Goonetilleke, a professional actuary, as at 31st March 2024. The Projected Unit

Credit method has been used in determining the valuation. As per which liability as at 31st March 2024 was Rs.357.96 million (2023 - Rs.232.01 million).

xii) BlueScope Lysaght Lanka (Private) Limited

an actuarial valuation has been carried out as at 31st March 2024 by Messrs. Actuarial Management and Consultant Private Limited. As per which liability as at 31st March 2024 was Rs.22.47 million (2023 - Rs.20.56 million).

xiii) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee Benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the obligation in order to determine the present value of the retirement benefit obligation. The key assumptions made in arriving at the retirement benefit obligation as at 31st March 2024 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2024 Rs.million
Marawila Resorts PLC	10%	11.1%	60	16.60
Sigiriya Village Hotels PLC	10%	11.1%	60	17.39
Laxapana Batteries PLC	10%	11.1%	60	8.87
BlueScope Lysaght Lanka (Private) Limited	10%	11.1%	60	22.47
Lankem Ceylon PLC	7%	19.5%	55	218.68
Ceylon Tapes (Private) Limited	10%	12%	55	11.20
JF Packaging Limited	10%	12%	55	21.77
E.B. Creasy & Company PLC	10%	11.1%	60	606.83
E.B. Creasy Logistics Limited	10%	12%	60	4.11
Muller & Phipps (Health Care) Limited	10%	11%	60	16.43
Beruwala Resorts PLC	10%	11.1%	60	14.26
Galle Fort Hotel (Private) Limited	7.5%	11.0%	60	9.03
Darley Butler & Company Limited	10%	11.1%	60	357.96
Candy Delights Limited	10%	11.1%	60	19.47
SunAgro LifeScience Limited	10%	18%	55	2.29
Lankem Paints Limited	10%	18%	55	9.84
Lanka Special Steels Limited	10%	11.1%	60	33.11
Sherwood Holidays Limited	7.5%	11.1%	55	2.64
Alliance Five (Private) Limited	10%	12.0%	60	7.03
Kiffs (Private) Limited	10%	12.0%	55	3.59
ACME Printing and Packagaing PLC	10%	19.5%	55	65.39
C M Holdings PLC - Group				
Colonial Motors (Ceylon) Limited	8%	13%	55	14.64
C.W. Mackie PLC - Group	10%	12%	60	197.66
Kotagala Plantations PLC - Group	Workers - 10% increase p.a and other categories of staff - 25% + 5% once in three years	12.0%	60	821.26
Agarapatana Plantations PLC	Workers - 10% increase p.a and other categories of staff - 25% + 5% once in three years	12.0%	60	1,791.11
Ceyflex Rubber Limited	10%	11.1%	60	0.64

As per the LKAS 19 issued by the Institute of Chartered Accountants of Sri Lanka, a long-term treasury bond rate of 12.50% p.a. (2023 - 18%) was used to discount future liabilities taking into consideration the remaining working life of eligible employees for the purpose of valuing employee benefit obligations.

xiv) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

Notes to the Financial Statements contd.

27.5 Sensitivity of Assumptions Employed in Acturial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Total Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on to total Comprehensive Income and employment benefit obligation for the year.

As at 31st March Group	2024		2023	
	Increase Rs.'000	Decrease Rs.'000	Increase Rs.'000	Decrease Rs.'000
Movement by 1%				
Discount Rate	(962,948)	1,112,506	(734,062)	806,930
Future salary scale	1,124,221	(955,892)	829,460	(731,595)

27.6 The Expected Benefits Payout

As at 31st March	GROUP	
	2024 Rs.'000	2023 Rs.'000
Years from the current period		
Within Next 12 Months	387,297	331,405
Between 2-5 years	1,006,726	830,892
Beyond 5 years	2,936,890	2,114,678
	4,330,913	3,276,975

28 RENT RECEIVED IN ADVANCE

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Balance at the beginning of the Year	9,542	8,765	9,542	8,765
Received during the Year	37,812	34,673	37,812	34,673
Amount Recognised as Income during the Year	(36,989)	(33,896)	(36,989)	(33,896)
Balance at the end of the Year	10,365	9,542	10,365	9,542
Amount falling due within one Year	(10,365)	(9,542)	(10,365)	(9,542)
Amount falling due after one Year	-	-	-	-

29 TRADE & OTHER PAYABLES

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Trade Payables	6,015,019	4,103,955	-	-
Other Payables	4,533,994	4,965,114	45,643	24,455
Accrued Expenses	2,139,038	1,872,360	32,309	17,685
Bills Payables	233,457	143,006	-	-
Advance Received	466,459	370,833	-	-
Security Deposit	415,839	272,630	8,082	7,737
Unclaimed Dividend	35,796	47,301	1,734	761
	13,839,602	11,775,199	87,768	50,638

30 RELATED PARTY TRANSACTIONS

30.1 Amounts due from Related Parties

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Subsidiaries				
Agarapatana Plantations PLC	-	-	75	75
American Lloyd Travels Limited	-	-	400	400
Beruwala Resorts PLC	-	-	6,859	5,835
C.F.Travels Ltd	-	-	292	249
Colombo Fort Hotels Limited	-	-	23,085	4,000
E.B. Creasy & Co PLC	-	-	-	20,000
Transways (Pvt) Ltd	-	-	28,606	29,797
Kotagala Plantations PLC	-	-	2,082	2,082
Lankem Ceylon PLC	-	-	6,827	7,109
Consolidated Tea Plantations Limited	-	-	-	174,501
Lankem Developments PLC	-	-	133,237	120,889
Sigiriya Village Hotels PLC	-	-	7,425	6,400
Union Commodities (Private) Limited	-	-	-	83,056
Colombo Fort Group Services (Private) Limited	-	-	1,701	9,603
York Hotel Management Services Limited	-	-	13,922	5,383
	-	-	224,511	469,379
Less: Transferred to Loan given to Related Parties				
Colombo Fort Hotels Limited	-	-	(20,000)	-
Consolidated Tea Plantations Limited	-	-	-	(105,070)
Transways (Pvt) Ltd.	-	-	(25,000)	(28,000)
Lankem Developments PLC	-	-	(66,930)	(66,930)
Union Commdodities (Pvt) Ltd	-	-	-	(65,000)
	-	-	(111,930)	(265,000)
Less: Provision for impairment - Related Parties (Note30.1.1)			(8,390)	(31,521)
	-	-	104,191	172,858
Other Related Parties				
CWM Hotel Holdings Ltd	81,939	81,939	-	-
York Conventions (Private) Limited	3,700	5,612	3,512	3,501
Far Eastern Exports (Colombo) Limited	404	393	-	-
Property & Investment Holdings (Private) Limited	18,060	25,560	-	-
Others	733	240,854	-	-
	104,836	354,358	3,512	3,501
Less: Provision for impairment - Related Parties (Note30.1.1)	(85,639)	(116,524)	(3,512)	(3,501)
	19,197	237,834	-	-
Total Amounts due from Related Parties	19,197	237,834	104,191	172,858

Notes to the Financial Statements contd.

30.1.1 Provision for impairment - Related Parties

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Subsidiaries				
Colombo Fort Hotels Limited	-	-	10	-
Consolidated Tea Plantations Limited	-	-	-	17,713
Lankem Ceylon PLC	-	-	153	84
Agarapatana Plantations PLC	-	-	1	-
Kotagala Plantations PLC	-	-	58	46
York Hotel Management Services Limited	-	-	2,117	2,337
Union Commodities (Pvt) Ltd	-	-	-	5,295
Colombo Fort Group Services (Pvt) Ltd	-	-	8	249
Sigiriya Village Hotels PLC	-	-	222	268
Beruwala Resorts PLC	-	-	128	1,851
Transways (Pvt) Ltd.	-	-	1,952	2,191
E.B.Creasy & Company PLC	-	-	-	191
Lankem Developments PLC	-	-	3,603	1,045
C.F.Travels Ltd	-	-	131	249
American Lloyd Travels Ltd.	-	-	7	2
	-	-	8,390	31,521

Other Related Parties

CWM Hotel Holdings Ltd	81,939	81,939	-	-
York Conventions (Private) Limited	3,700	3,689	3,512	3,501
Others	-	30,896	-	-
	85,639	116,524	3,512	3,501
	85,639	116,524	11,902	35,022

30.2 Amounts due to Related Parties

Subsidiaries

C M Holdings PLC	-	-	7,962	193,476
Capital Leasing Co. Limited	-	-	1,175	1,887
Colombo Fort Holdings Limited	-	-	41,765	41,572
Creasy Plantation Management Limited	-	-	4,583	4,583
Colombo Fort Properties (Private) Limited	-	-	-	181
Lankem Plantations Services Limited	-	-	4,583	4,583
York Arcade Holdings PLC	-	-	101,293	87,177
Imperial Hotels Limited	-	-	154,357	129,703
Darley Butler & Co. Ltd.	-	-	357,337	-
	-	-	673,055	463,162

Associates

Colombo Fort Investments PLC	-	1,000	-	1,000
Capital Investments Limited	2,639	-	2,639	-
	2,639	1,000	2,639	1,000

30.2 Amounts due to Related Parties Contd.

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Affiliates				
Corporate Holdings (Private) Limited	3,300	3,488	-	-
Property & Investment Holdings (Private) Limited	-	-	-	-
Ceylon Tea Brokers PLC	103,669	63,945	-	-
York Conventions (Private) Limited	-	2,920	-	-
Financial Trust Limited	121,287	113,274	121,287	31,976
Sunquick Lanka (Private) Limited	592,942	537,634	-	-
Others	133	132	-	-
	821,331	721,393	121,287	31,976
Total Amounts due to Related Parties	823,970	722,393	796,981	496,138

Amounts Due within one year

Interest-bearing Borrowings (Note30.2.1)	100,000	18,000	126,100	304,000
Non-interest-bearing Borrowings	704,970	704,393	144,381	192,138
	723,970	722,393	270,481	496,138

Amounts Due after one year

Interest-bearing Borrowings (Note 30.2.1)	100,000	-	526,500	-
	100,000	-	526,500	-

30.2.1 Interest-bearing Borrowings

Amounts due within one year

Subsidiaries

C M Holdings PLC			4,500	120,000
Colombo Fort Holdings Limited	-	-	-	18,000
Imperial Hotels Limited	-	-	-	102,000
Darley Butler & Co. Ltd.	-	-	100,000	-
Capital Investments Ltd	-	-	2,600	-
York Arcade Holdings PLC	-	-	-	46,000
	-	-	107,100	286,000

Other Related Parties

Financial Trust Limited	19,000	18,000	19,000	18,000
	19,000	18,000	19,000	18,000
	19,000	18,000	126,100	304,000

Amounts due after one year

Subsidiaries

Colombo Fort Holdings Limited	-	-	16,000	-
Imperial Hotels Limited	-	-	108,000	-
Darley Butler & Co. Ltd.	-	-	250,000	-
York Arcade Holdings PLC	-	-	52,500	-
	-	-	426,500	-

Other Related Parties

Financial Trust Limited	100,000	-	100,000	-
	100,000	-	100,000	-
Total	100,000	-	526,500	-

Notes to the Financial Statements contd.

30.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	(4,149)	(5,927)
Loans (Taken)/Given	-	-	(565,000)	86,350
Interest (Expenses)/Income	-	-	(23,209)	8,593
Dividend (Paid)/Received	-	-	528,225	183,619
Rent (Taken)/Given	-	-	36,730	26,713
Guarantee Commission (Taken)/Given	-	-	1,243	622
(Received)/Payment of Outstanding Balances	-	-	154,380	(349,453)
Advance (Taken)/Given	-	-	(54,758)	63
Disposal/(Acquisition) of Shares	-	-	(1,015,108)	(363,902)
Associates				
Loans (Taken)/Given	2,600	-	(25,600)	-
Interest (Expenses)/Income	(1,596)	-	(1,596)	-
Dividend (Paid)/Received	85,858	28,887	(15,250)	2,314
(Received)/Payment of Outstanding Balances	500	500	25,557	500
Transfer (Into) / Out of Current Account	189	-	-	-
Disposal/(Acquisition) of Shares	(68,486)	(37,712)	24,876	(3,063)
Related Parties				
(Purchases)/Sales of Goods	1,369,190	1,200,491	-	-
(Received)/Payment of Rendering of Services	(1,390,565)	(1,163,298)	(11)	12
Dividend (Paid)/Received	(6,681)	-	(6,681)	-
Interest (Expenses)/Income	(1,701)	(6,230)	(1,701)	(6,230)
Loans (Taken)/Given	(119,108)	-	(119,108)	-
(Received)/Payment of Outstanding Balances	40,498	7,200	40,498	7,200
Rent (Taken) /Given	-	-	-	-
Advances (Taken)/Given	(9,000)	(5,754)	(9,000)	(5,754)

30.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding balances at year end are unsecured and no interest was charged during the year on non-interest bearing balances. Interest on balance transferred to interest-bearing borrowings are charged at AWPLR+2%. The balance will be settled as and when the dues are called upon.

30.5 Recurrent and Non-Recurrent Related Party Transactions

During the year there were no Recurrent transactions which exceeded the disclosure thresholds. However Non-Recurrent transactions which exceeded the disclosure threshold mentioned in Section 9.14 of the Colombo Stock Exchange Listing Rules is given below.

Name of the Related Party	Relationship	Value of the Related Party Transaction entered into during the financial year	Value of the Related Party Transaction as a % of Equity and as a % of Total Assets	Terms and Conditions of the Related Party Transaction	The rationale for entering into the transaction
Consolidated Tea Plantations Limited (CTPL)	Subsidiary	Rs. 877,585,050/-	Equity - 15.18% Total Assets-1.39%	Acceptance by The Colombo Fort Land & Building PLC 3,516,581 ordinary shares in CTPL against amounts due from CTPL and further direct investment in 12,734,994 ordinary shares of CTPL, at a price of Rs.54/- per share.	Further Investment in Subsidiary

30.6 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Short-Term Employee Benefits	600,561	604,327	11,025	11,100

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 31 of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

Notes to the Financial Statements contd.

30.8 The Directors of the Company are also Directors of the following companies:

Name of the Company	Relationship	Mr. S.D.R. Arudpragasam	Mr. C.P.R. Perera	Mr. Anushman Rajaratnam	Mr. A. Rajaratnam (Decd. -26.08.2023)	Mr. A.M. de S. Jayaratne	Mr. P.M.A. Sirimane	Mr. S. Rajaratnam	Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)	Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓	✓
ACME Printing & Packaging (Private) Limited	Subsidiary	✓		✓			✓			
Agarapataka Plantations PLC (Formerly known as Agarapataka Plantations Limited)	Subsidiary	✓	✓	✓		✓	✓			
American Lloyd Travels Limited	Subsidiary	✓		✓				✓		✓
Beruwala Resorts PLC	Subsidiary	✓	✓	✓				✓	✓	✓
C M Holdings PLC	Subsidiary	✓		✓	✓	✓		✓		
C. F. Travels Limited	Subsidiary							✓		✓
Capital Leasing Company Limited	Subsidiary	✓		✓			✓			
Colombo Fort Group Services (Private) Limited	Subsidiary	✓		✓			✓			
Colombo Fort Holdings Limited	Subsidiary	✓			✓			✓		
Colombo Fort Hotels Limited	Subsidiary	✓		✓				✓		✓
Colombo Fort Properties (Private) Limited	Subsidiary			✓	✓					
Consolidated Tea Plantations Limited	Subsidiary	✓	✓	✓	✓	✓	✓			
Creasy Plantation Management Limited	Subsidiary	✓			✓					
Darley Butler & Company Limited	Subsidiary	✓				✓	✓	✓	✓	
E. B. Creasy Milk Foods Limited	Subsidiary	✓						✓		
E.B. Creasy & Company PLC	Subsidiary	✓			✓	✓	✓	✓	✓	
Guardian Asset Management Limited	Subsidiary	✓						✓		
Kotagala Plantations PLC	Subsidiary	✓	✓	✓		✓	✓			
Lankem Ceylon PLC	Subsidiary	✓		✓			✓			
Lankem Plantation Services Limited	Subsidiary	✓			✓					
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓	✓	✓	✓	✓			
Marawila Resorts PLC	Subsidiary	✓	✓	✓				✓	✓	✓
Muller & Phipps (Ceylon) PLC	Subsidiary	✓					✓	✓	✓	
SunAgro LifeScience Limited	Subsidiary	✓		✓			✓			
Sigiriya Village Hotels PLC	Subsidiary	✓	✓	✓				✓	✓	✓
Transways (Private) Limited	Subsidiary			✓				✓		✓
Union Commodities (Private) Limited	Subsidiary	✓		✓		✓	✓		✓	✓
Union Investments (Private) Limited	Subsidiary	✓		✓	✓	✓				
Voyages Ceylan (Private) Limited	Subsidiary			✓				✓		✓

Name of the Company	Relationship	Mr. S.D.R. Arudpragasam	Mr. C.P.R. Perera	Mr. Anushman Rajaratnam	Mr. A. Rajaratnam (Decd. -26.08.2023)	Mr. A.M. de S. Jayaratne	Mr. P.M.A. Sirimane	Mr. S. Rajaratnam	Mr. A.R. Rasiah (Appointed w.e.f. 08.06.2023)	Mr. Amrit Rajaratnam (Appointed w.e.f. 29.11.2023)
York Arcade Holdings PLC	Subsidiary	✓		✓		✓		✓		✓
York Hotel Management Services Limited	Subsidiary	✓		✓				✓		✓
Imperial Hotels Limited	Subsidiary	✓		✓				✓		✓
York Tours Limited	Subsidiary			✓				✓		✓
Capital Investments Limited	Associate	✓			✓					
Colombo Fort Investments PLC	Associate	✓		✓	✓	✓	✓	✓		✓
Colombo Investment Trust PLC	Associate	✓		✓	✓	✓	✓	✓		✓
Capital Finance Limited	Related Company				✓			✓		
Ceylon Tea Brokers PLC	Related Company		✓							
Consolidated Holdings (Private) Limited	Related Company	✓		✓	✓					
Far Eastern Exports (Colombo) Limited	Related Company	✓		✓						✓
Financial Trust Limited	Related Company			✓	✓			✓		✓
Property & Investment Holdings (Private) Limited	Related Company	✓		✓				✓		✓
York Conventions (Private) Limited	Related Company			✓				✓		✓

Mr. A.Rajaratnam deceased - 26.08.2023.

Mr. S. Rajaratnam was appointed to the Board of Capital Finance Ltd with effect from 07.07.2023.

Mr. S.D.R. Arudpragasam, Mr. Anushman Rajaratnam, Mr. S. Rajaratnam and Mr. Amrit Rajaratnam were appointed to the Board of American Lloyd Travels Ltd with effect from 01.02.2024.

Mr. A.R. Rasiah was appointed to the Board of Union Commodities (Pvt) Ltd with effect from 01.06.2024.

Mr. Anushman Rajaratnam was appointed to the Board of York Hotel Management Services Ltd with effect from 01.08.2024.

Notes to the Financial Statements contd.

31 COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

32 FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

32.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts. Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

32.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2024 Rs.'000	2023 Rs.'000	2024 Rs.'000	2023 Rs.'000
Trade and Other Receivables	14,972,337	11,738,435	54,050	47,833
Amount due from Related Companies	19,197	252,439	228,023	472,880
Cash at bank	2,691,742	1,908,656	28,938	29,480
	17,683,276	13,899,530	311,011	550,193

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross	Impairment	Gross	Impairment	Gross	Impairment	Gross	Impairment
	2024	2024	2023	2023	2024	2024	2023	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Past due 0-365 days	733	-	240,854	(30,896)	46,510	1,849	94,309	(6,074)
More than one year	104,103	(85,639)	128,109	(85,628)	181,513	10,053	378,571	(28,948)
	104,836	(85,639)	368,963	(116,524)	228,023	11,902	472,880	(35,022)

32.1.2 Investments

Credit risk from invested balances with the financial institutions are managed by the treasury departments available with each entity. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty depending on its credit rating. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through potential counterparty's failure.

Cash and cash equivalents

The Group held cash in hand and at bank equivalents of Rs. 2,725 Mn 31 March 2024 (2023 -Rs.1,940 Mn) which represents its maximum credit exposure on these assets.

Respective credit ratings of banks which group cash balances held are as follows;

- Commercial Bank of Ceylon PLC – A (Ika)
- Standard Chartered Bank – AAA (Ika)
- Hatton National Bank PLC– A (Ika)
- Sampath Bank PLC – A (Ika)
- Bank of Ceylon– A(Ika)
- Amana Bank PLC - BB+ (Ika)
- Cargills Bank Limited - A (Ika)
- National Development Bank PLC - A- (Ika)
- Union Bank of Colombo PLC- BBB- (Ika)
- People's Bank – A (Ika)
- Seylan Bank PLC -A- (Ika)
- Nations Trust Bank PLC – A- (Ika)
- Pan Asia Banking Corporation PLC Bank– BBB- (Ika)
- Sanasa Development Bank PLC - BB+ (Ika)

Source - <http://www.fitchratings.lk>

32.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March	GROUP							
	2024				2023			
	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non- Derivative								
Financial Liabilities								
Loans and Borrowings	29,010,409	29,010,409	17,937,730	11,072,679	27,415,313	27,415,313	15,114,044	12,301,269
Other Liabilities	590,127	590,127	590,127	-	1,179,487	1,179,487	1,179,487	-
Trade & other payables	14,429,729	14,429,729	14,429,729	-	12,917,411	12,917,411	12,917,411	-
Amounts due to Related Party	723,970	723,970	723,970	-	759,667	759,667	759,667	-
Bank overdraft	2,570,504	2,570,504	2,570,504	-	2,625,682	2,625,682	2,625,682	-
Total	47,324,739	47,324,739	36,252,060	11,072,679	44,897,560	44,897,560	32,596,291	12,301,269

Notes to the Financial Statements contd.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March	COMPANY							
	2024				2023			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loas and Borrowings	171,875	233,566	60,066	173,499	203,126	305,032	79,278	225,754
Other Liabilities	53,724	53,724	10,365	43,359	64,450	64,450	20,999	43,451
Trade & other payables	55,459	55,459	55,459	-	32,953	32,953	32,953	-
Amounts due to								
Related Party	796,981	882,537	882,537	-	496,138	565,278	565,278	-
Total	1,078,039	1,225,286	1,008,427	216,858	796,667	967,713	698,508	269,205

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

32.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

32.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2024 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Increase /(Decrease) in Exchange rate

As at 31 March	Effect on Profit before Tax	
	2024 Rs.'000	2023 Rs.'000
Dollar (USA) + 10%	(375,095)	(617,300)
Dollar (USA) - 10%	375,095	617,300
Dollar (USA) + 15%	(16,520)	(16,758)
Dollar (USA) - 15%	16,520	16,758
Euro +10%	(5,310)	(10,499)
Euro -10%	5,310	10,499
Great Britain Pound +10%	-	(298)
Great Britain Pound -10%	-	298
Yen (Japan) +10%	-	(1,134)
Yen (Japan) -10%	-	1,134

The following significant exchange rates were applicable during the year:

For the year ended 31st March,	Average Rate	
	2024	2023
USD	300.44	357.65
Euro	325.25	373.11

As at 31st March,	Reporting Date Spot Rate	
	2024	2023
USD	301.18	336.10
Euro	326.03	357.27

32.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

Group	Effect on Profit before Tax	
	2024	2023
As at 31 March	Rs.'000	Rs.'000
Variable rate instrument (1% decrease)	325,569	316,967
Variable rate instrument (1% Increase)	(325,569)	(316,967)

32.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total Liabilities	29,010,409	27,415,313	968,856	699,264
Less: Cash and Cash Equivalents	2,725,250	1,940,956	28,938	29,480
Net Debt	26,285,159	25,474,357	939,918	669,784
Total Equity	11,798,809	11,638,282	2,940,290	2,316,985
Net Debt to Equity Ratio	223%	219%	32%	29%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

Notes to the Financial Statements contd.

32.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

GROUP

31st March, 2024	Note	Investments Classified as Financial Assets FVTOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised Cost Rs. '000	Total Carrying Value Rs. '000	Fair Value Rs. '000
Investment in Equity Securities	17.1	911,154	-	-	-	911,154	911,154
Unit trust	17.1	4,744	-	-	-	4,744	4,744
Trade & Other Receivables	20	-	-	14,972,337	-	14,972,337	14,972,337
Amounts due from Related Parties	30.1	-	-	19,197	-	19,197	19,197
Other financial assets	16	-	1,030,301	-	-	1,030,301	1,030,301
Cash & Cash Equivalents	21	-	-	2,725,250	-	2,725,250	2,725,250
		915,898	1,030,301	17,716,784	-	19,662,983	19,662,983
Trade & Other Payables	29	-	-	-	13,839,602	13,839,602	13,839,602
Amounts due to Related Parties	30.2	-	-	-	723,970	723,970	723,970
Loans and Borrowings	24	-	-	-	29,010,409	29,010,409	29,010,409
Bank Overdraft	21	-	-	-	2,570,504	2,570,504	2,570,504
Other liabilities		-	-	-	1,103,193	1,103,193	1,103,193
		-	-	-	47,247,678	47,247,678	47,247,678

COMPANY

31st March, 2024	Note	Investments Classified as Financial Assets FVTOCI Rs. '000	Investments Classified as Financial Assets FVTPL Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised Cost Rs. '000	Total Carrying Value Rs. '000	Fair Value Rs. '000
Investment in Equity Securities	17.2/17.3.3	4,238	3,844	-	-	8,082	8,082
Loans Due from Related Parties	30	-	-	111,930	-	111,930	111,930
Trade & Other Receivables	20	-	-	54,050	-	54,050	54,050
Amounts due from Related Parties	30	-	-	104,191	-	104,191	104,191
Cash & Cash Equivalents	21	-	-	6,151	-	6,151	6,151
Deposits with Banks	21	-	-	22,787	-	22,787	22,787
		4,238	3,844	299,109	-	307,191	307,191
Bank Loans	24	-	-	-	171,875	171,875	171,875
Trade and Other Payables	29	-	-	-	87,768	87,768	87,768
Amounts due to Related Parties	30.2	-	-	-	796,981	796,981	796,981
		-	-	-	1,056,624	1,056,624	1,056,624

33 FAIR VALUE OF NONFINANCIAL ASSETS AND LIABILITIES CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological assets						
Gain arising from changes in fair value.	Discounted cash flows	Determination of timber content				
	The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis . Expected cash flows are discounted using a risk-adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content - the estimated timber prices per cubic meter - the estimated selling related costs. - the estimated maturity age - the risk-adjusted discount rate.			538.20 Mn

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method				
	This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch /Per Square Feet	-	-	10,978 Mn

Notes to the Financial Statements contd.

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Investment property					
- Freehold land and buildings	Market comparable method / Income Method				
	Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	8,745 Mn

34 GOING CONCERN

GROUP

Directors of the below Subsidiary Companies are confident that the financial position of the following subsidiaries of the Group will significantly improve during the year 2020/21 as a result of expected better financial performance. Accordingly, the Directors of the Companies are of the view that the below Subsidiaries are able to continue as a going concern and the Financial Statements have been prepared on the assumption on the basis that the Companies are going concern.

(i) Lankem Developments PLC (LDPLC)

The Company (LDPLC) has recorded a net loss of Rs. 101 Mn for the year ended 31st March 2024. The Company's Current liabilities exceeds its current assets by Rs.704 Mn. Its accumulated losses as of 31st March 2024 was Rs 115 Mn (2023: Rs. 14 Mn). This factor raised concerns over the appropriateness of the use of going Concern assumption of the preparation of financial statements of the Company. However, the Board of Directors of the Company has determined that the use of going concern assumption in the preparation of financial statements of the Company for the year ended 31st March 2024 is appropriate based on the following factors.

Ultimate parent company acknowledges that there are no current plans for the payables to be called for a minimum period of 12 months from the date of signing the financial statements for the year ended 31st March 2024. However, should they be called within the 12 months period referred to above, payments will only be required to the extent that they do not impact the Company's ability to meet its financial obligations as and when they fall due and payable. Further, The Board has already negotiated with related parties to whom the Company has short term loans & payable balances with regard to the settlement of them in a manner that would not affect the liquidity situation of the Company.

(ii) Kotagala Plantations PLC (KPPLC)

The Company has incurred a net loss of LKR 134 Mn during the year ended 31st March 2024 (2023 - Net Profit of LKR 237 Mn) and Company has accumulated losses of LKR 776 Mn (2023 - LKR 523 Mn). As at 31st March 2024, net current liability is LKR 991 Mn (2023 - LKR 1,219 Mn). The Company has loans and borrowings of LKR 498 Mn (2023 - LKR 322 Mn) due within 12 months from 31st March 2024.

Notwithstanding this, the financial statements have been prepared on a going concern basis after assessing the appropriateness of the use of going concern basis based on comprehensive review of the Company's affairs and sources of funding available to the Company, and strategies to improve performance and the financial position, management believe it will be able to generate profits in future.

The Board of Directors of the Company also confirms that they do not have any intention to liquidate the Company or cease the operations for at least 12 months from the date of signing these financial statements.

Further the management plans to implement the following measures, which notable include, Processing the required actions to harvest the consumable biological assets when and where a necessity arise for the working capital.

- Improving quality and profit in tea sector with the lifting of the restrictions on glyphosate usage, investment on palm oil sector with the lifting of restrictions on the new plantation of palm oil.

Based on the strategies explained above and the forecasted cash flow, the management of the Company is confident that the Company would remain operational and generate profits in the future.

Based on the above, the management is of the view that there is no significant doubt about the ability of the Company to continue as a going concern, and accordingly, the Financial Statements have also been prepared on going concern basis of accounting.

(iii) Lankem Ceylon PLC

Lankem Ceylon PLC- Group

The Group has incurred a loss of Rs. 663 Mn (2023: Profit of Rs. 2,335 Mn) for the year ended 31st March 2024 and reported accumulated losses of Rs. 1,199 Mn as at 31st March 2024. The Group's and the Company's current liabilities exceed the current assets by Rs. 462 Mn and Rs. 1,873 Mn (2023: Company: Rs.1,111 Mn) respectively as at 31st March 2024.

Notwithstanding to the above, the Group and the Company have applied the going concern basis for the preparation of financial statements considering several new strategic initiatives planned for the ensuing year focusing on improving the financial performance of the Group and the Company which have been explained in detail below.

Lankem Ceylon PLC- Company

- a. Lankem Minerals Limited, a fully owned subsidiary of the Company has embarked on establishing a Fertilizer Plant. The phase 1 of this Project will be set up in Oyamaduwu in the Anuradhapura district. The primary objective of this operation is to cater to the agricultural requirement of the non-perennial crops. The sales and distribution of the fertilizer is to be carried out by Lankem Ceylon PLC and its fully owned subsidiary SunAgro LifeScience Limited through their existing distributor network. The Commercial operations are expected to commence by the fourth quarter of 2024/25. This is expected to improve the operational results of both Lankem Ceylon PLC and SunAgro LifeScience (Private) Limited.
- b. Lankem Ceylon PLC was a significant market player in the fertilizer business several years ago. The Company has re-commenced the fertilizer business during the financial year 2024/25 initially to cater to the Group's plantation companies and to be expanded later to external parties. Focusing on this business, the Company is currently in discussion to construct a new fertilizer blending plant to expand the operations. This is expected to improve the operating results of the Company.

The additional cashflows from the new businesses are planned to be utilized to settle part of the Company's non-operational term loans which in return is expected to reduce the finance costs and improve the profitability.

(iv) Union Commodities (Private) Limited

The Group has recorded net profit of Rs. 129.4 Mn during the year ended 31st March 2024 and as at that date accumulated losses of the Group and the company were Rs. 2,654Mn and Rs. 2,707 Mn respectively. Further the Group and the Company had a net assets deficiency of Rs. 940 Mn and Rs. 1,011 Mn. The Group has loans and borrowings of Rs. 2,297 Mn due within 12 months from 31st March 2024.

Notwithstanding this, the Financial Statements has been prepared on the going concern basis due to reliance on a letter of support, dated 08th July 2024, provided by the Directors of The Colombo Fort Land & Building PLC, the Parent Company. This undertaking is provided for a minimum of 12 months period from the date of signing the Financial Statements for the year ended 31st March 2024.

Further in assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Company's affairs including, but not limited to:

The cash flow forecast of the Company for the period up to next 12 months.

- Revenue and profitability Forecast for the Group not limited to next financial year, but having an outlook beyond 31st March 2024, and the continued support of the ultimate parent company.

The continued support of the ultimate parent company.

- The company will be having discuss on June 2024 to restructure their term loans Further, to improve the financial position of the Group the Management have taken several steps such as Restructure of short-term borrowings to long term borrowings and extending of current tenor period with borrowing institutions etc.

Notes to the Financial Statements contd.

The Company's rigorous strategies aimed at increase in capacity and quality intend to decrease the losses and therefore the accumulated losses. As a consequence of the above, the Management firmly believe that the Company and the Group will be able to continue as a going concern into the foreseeable future and, accordingly, the financial statements of the Company and the Group have been prepared on a going concern basis without making adjustments that may be required to the recorded assets and the classification of liabilities if the Company and the Group is unable to continue as a going concern.

(v) York Arcade Holdings PLC

The Company suspended commercial operations on discontinuance of the lease with The Colombo Fort Land & Building PLC on 31st August 2017. The Board of Directors is currently evaluating the various business opportunities. Therefore, the consideration of going concern is appropriate as the Company will continue the business operations.

(vi) Marawila Resorts PLC (MRPLC)

MRPLC has recorded a negative net operating cash outflow of Rs. (86,494,465) for the year ended 31st March 2024. Further as of the reporting date its current liabilities exceeded its current assets by Rs. 25,445,803/- as at (2023: Rs. 284,750,416).

Notwithstanding this, the financial statements have been prepared on a going concern basis as at 31st March 2024 based on a comprehensive review of the Company's affairs including, but not limited to :

- The cash flow forecast of the Company for the period up to next 12 months
- The Company's ability of settling the statutory payables and other liabilities when they fall due and payable.
- Revenue and profitability forecasts for the Company for not only the next financial year, but beyond 31st March 2025.
- Subsequent repayments of inter-company loans and borrowings.

After the rights issue of shares and the capital reduction, the MRPLC was able to cease from the serious loss of capital situation compared to the previous year. Further, to improve the financial position of the Company, the Management has taken several steps and moreover, the Board of Directors have no plans to liquidate the Company or cease operations in the near future. As a consequence, in view of the above, the Management continues to have a reasonable expectation that the Company has adequate resources to continue in operations for at least the next 12 months that the going concern basis of accounting remains appropriate. Concurrently, The Board of Directors firmly believe that the Company will be able to continue as a going concern into the foreseeable future and, accordingly, the Financial Statements of the Company have been prepared on a going concern basis.

(vii) Ceyflex Rubber Limited (CRL)

CRL has reported a Net Loss of Rs. 135 Mn for the year ended 31 st March 2024 (2022/23 – Net Profit of Rs. 72 Mn). As of 31st March 2024, the accumulated loss of CRL stood at Rs. 177 Mn (2022/23- Rs. 42 Mn), resulting in a decrease in Net Assets to Negative Rs. 57 Mn.

The Directors are of the opinion that CRL will be able to continue as a going concern consequent to the planned strategic initiatives to increase its profitability for the financial year 2024/25. The strategic plans include introduction of new products to the existing product range, implement the new projects and already carried out studies about the market and investment on the two large projects to manufacture Foam Rubber Mattresses and Catheters and establish distributors in selected countries. The parent entity undertakes to provide financial assistance to the CRL to ensure that it can pay its debts when they fall due. As such, it is expected that CRL will generate considerable profits for the ensuing financial years to recoup its accumulated losses.

Accordingly, the Directors are satisfied that the CRL has adequate resources to continue its operations in the foreseeable future and the Management is confident that the Company will continue as a going concern.

(viii) Acme Printing and Packaging PLC - Group

Acme Printing and Packaging PLC Group ("subgroup") includes the parent company, Acme Printing and Packaging PLC (ACME PLC) and its fully owned subsidiary ACME Packaging Solutions (Private) Limited (AMCE PS).

ACME PLC has incurred a loss of Rs. 458 Mn (2023: profit of Rs. 118 Mn) during the year ended 31st March 2024. It has reported a net current liability of Rs. 223 Mn (2023: Net current assets: Rs. 129 Mn) and accumulated losses of Rs. 1,093 Mn (2023: Rs. 636 Mn) as at 31st March 2024. Further, its net assets are less than half of the stated capital and faces a serious loss of capital situation as at 31st March 2024.

ACME PS has incurred a loss of Rs. 182 Mn (2023: Rs. 7.5 Mn) during the year ended 31st March 2024. It has reported a net current liability of Rs. 634 Mn (2023: Rs. 420 Mn) and accumulated losses of Rs. 680 Mn (2023: Rs. 497 Mn) as at 31st March 2024. Further, its net assets are less than half of the stated capital and faces a serious loss of capital situation as at 31st March 2024.

As disclosed in Note 35 a financial institution through its letter of demand dated 31st July 2024 has demanded an immediate settlement of total loan outstanding balances due on 9th April 2024.

These events or conditions indicate that a material uncertainty exists that may cast substantial doubts on ACME PLC's and ACME PS's ability to continue as going concerns and therefore that they may be unable to realize their assets and discharge its liabilities in the normal course of business.

Notwithstanding this, the financial statements of the subgroup has been prepared on a going concern basis because, the Board of Directors are of the view that it is appropriate to use the going concern basis for the preparation of financial statements considering below facts and circumstances.

The Company Lankem Ceylon PLC through a Letter of Support has undertaken to provide financial support to the subgroup to ensure that it can pay its debts as and when they fall due and payable for a minimum of 12 months period from the date of approval of these financial statements by the Board of Directors.

In addition, the Management of the subgroup believes that the financial position and the performance of the subgroup will improve with the implementation of below strategies.

Acquisition of the subgroup was a part of a broader business objective of the Group whereby expecting to arrive at synergies in the packaging business.

The subgroup has identified a strategic priority in expanding its customer base within the pharmaceutical industry, recognizing its potential to enhance profitability. In line with this objective, discussions are currently underway with the customers.

The Management has initiated cost reduction strategies including proper utilization of machinery without interruptions to reduce ink wastage and electricity consumption.

The Management is planning to increase the average selling prices and contribution and further emphasis is to pursue high yield orders.

Further, the Management of the subgroup does not have any intention to liquidate ACME PLC or ACME PS and to cease the operations in the near future.

The management further envisages that with the implementation of new planned initiatives and expansion of operations of the Group, mentioned above, will help to establish long term improved profitability in the business sectors in which the Group and the Company operates.

Thus, the Board of Directors are of the view that the Group and the Company are able to continue as going concern in the foreseeable future and accordingly, the consolidated financial statements have been prepared on going concern basis.

(ix) Beruwala Resorts PLC (BRLPLC)

In determining the basis of preparing the financial statements for the year ended 31 March 2024, based on available information, the management has assessed the existing and anticipated effects of the uncertainty on the Group Companies of BRLPLC and the appropriateness of the use of the going concern basis. In March 2024, the Group of BRLPLC evaluated the resilience of its businesses considering a wide range of factors under multiple stress tested scenarios, relating to expected revenue streams, cost management, profitability, the ability to defer nonessential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing services to ensure businesses continue as least impacted as possible.

The Directors have made an assessment on the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. In determining the above significant management judgments, estimates and assumptions the impact of the Country's financial crisis has been considered as of reporting date and specific considerations have been disclosed under the relevant notes.

Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or cease operations of the Company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

Notes to the Financial Statements contd.

(x) Sigiriya Village Hotels PLC

In March 2024, the management evaluated the resilience of the business of the company, considering a wide range of factors such as current and expected profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing goods and services.

Having presented the outlook of the company to the Board, the Directors are satisfied that the company has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern.

(xi) Muller & Phipps (Ceylon) PLC

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future, confirmed that they do not intend either to liquidate or to cease operations of any business unit of the Group.

The Group has implemented strategic initiatives in its subsidiary company, Muller & Phipps (Health Care) Limited. These include credit management to improve cash flows, financial reorganization with the view to improve liquidity and reduce finance cost, maintain healthy margins through cost reduction measures. As such, whilst the Subsidiary company has an accumulated loss of Rs. 164.5 Mn, the group has generated a net profit of Rs. 75 Mn for the financial year ended 31 March 2024 (2022/23 - Net loss of Rs. 88.3 Mn). The Directors of the Company are of the opinion that the Company will be able to continue as a going concern consequent to the strategic initiatives implemented by the Company.

(xii) Consolidated Tea Plantations Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. The Company's main revenue source of management fee is derived from Lankem Development PLC, Agarapathana Plantations PLC and Kotagala Plantations PLC & Union Commodities (Pvt) Ltd. However, due to unfavourable market and industry conditions faced by the plantation companies, the board of directors of the Company has resolved to suspend the charging of management fee on a temporary basis. Accordingly, there were no revenue generation/ income received for since 2016. Therefore, Company is mainly depending on the support from borrowings from the financial institutions and related parties.

(xiii) Lankem Tea & Rubber Plantations (Private) Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. The Company's main revenue source of management fee is derived from Agarapathana Plantations PLC and Kotagala Plantations PLC. However, due to unfavourable market and industry conditions faced by the plantation companies, the board of directors of the Company has resolved to suspend the charging of management fee on a temporary basis. Accordingly, there were no revenue generation/ income received for since 2016. Therefore, Company is mainly depending on the support from borrowings from the financial institutions and related parties.

(xiv) C.F. Travels Limited

These Financial Statements are prepared on the assumption that the Company is a going operation for a foreseeable future. It is therefore assumed that the Company has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations.

However, events and conditions described in the below paragraph, gives rise to a material uncertainty which may cast a significant doubt on the Company's ability to continue as a going concern and therefore, the company may be unable to realize its assets and discharge its liabilities in the normal course of business:

The Company sustained an accumulated loss of Rs. 15,671,399/- as at March 31, 2024 (March 31, 2023 Rs. 15,626,361/-) and the Company's current liabilities exceeded its current assets by Rs.671,329/- (March 31, 2023 -Rs. 626,291/-).

Due to such facts, the Company's ability to continue its operation is solely dependent on external financial assistance. Taking such into consideration, the directors have assessed and are confident that the company will be able to continue its operations for the foreseeable future, hence the going concern assumption is adopted in presenting these financial statements.

(xv) Capital Leasing Company Limited

The Company has not generated any income from finance leasing from the financial year 2016 onwards and the Company's accumulated loss as at 31st March 2024 was Rs. 1,837,269.48.

These factors raise a material uncertainty that may cast significant doubt on whether the Company will be able to continue as a going concern. The financial statements of the Company do not include any adjustments in relation to the recoverability and the classification of recorded asset amounts or to amounts and classification of liabilities that may be necessary with regard to the preceding paragraph.

However, the Company earned interest income by investing in financial institutions and also lending funds to related parties. Therefore, the Directors of the Company are of the view that the Company is able to continue as a going concern and the financial statements of the Company have been prepared on the assumption that the Company is a going concern.

35 EVENTS OCCURRING AFTER THE REPORTING DATE

35.1 COMPANY

Subsequent to the reporting period, no circumstances have arisen that would require adjustments to/or disclosure in the financial statements.

35.2 GROUP

(i) Lankem Ceylon PLC (LCPLC)

In July 2023 the Board of Directors of LCPLC resolved to sell the Company's 100% equity stake in JF Packaging Limited (JFP) to its subsidiary company ACME Printing & Packaging PLC (ACME) the consideration of which was to be settled by a private placement to the Company, 430 million ordinary shares of ACME at Rs.10.50 per share. The proposed transaction constituting a major transaction in terms of Section 185 of the Companies Act No.7 of 2007 Shareholder approval was obtained by the Company at an Extraordinary General Meeting held on 22.11.2023 subject to ACME obtaining relevant regulatory and shareholder approvals for the acquisition and the private placement of Shares. Approval of the Securities and Exchange Commission was sought by ACME for a waiver under Rule 5.4(b) of the Listing Rules and shareholder approval was obtained at the Extraordinary General Meeting (EGM) held in November 2023. In May 2024, the Securities and Exchange Commission communicated its decision not to grant approval for the waiver as they were of the view that the minority shareholders of ACME were inadequately represented in the shareholder approval process at the EGM. Subsequently, ACME requested the Securities and Exchange Commission to review its decision in terms of the provisions of the SEC Act, however in July 2024 the Securities and Exchange Commission concluded that they find no 'exceptional circumstance' to justify granting the waiver. Consequently ACME has informed that they will not pursue this matter further. Accordingly, Lankem Ceylon PLC would not be proceeding with the proposed disposal of its 100% controlling stake in JFP to ACME.

(ii) C.W.Mackie PLC

The Directors of C. W. Mackie PLC have recommended the payment of a first and final dividend of Rs. 8/- per ordinary share amounting to Rs. 287,908,448 /- for the year ended 31 March 2024 for approval by the shareholders at the Annual General Meeting was held on 28 June 2024. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31 March 2024.

(iii) Beruwala Resorts PLC - Reduction of Stated Capital

Further to the decision made by the Board of Directors on 25th April 2024 and the requisite shareholder approval being obtained at the Extraordinary General Meeting held on 19th July 2024, the Stated Capital of the Company has been reduced from Rs. 460,653,154/- represented by 700,544,295 fully paid ordinary shares to Rs. 120,000,000/- represented by 700,544,295 fully paid ordinary shares by writing off a sum of Rs. 340,653,154/- from the accumulated losses as of 31st March 2023 of Rs. 470,903,318/- against the Stated Capital.

(iv) Kotagala Plantations PLC

On 13th August 2024, the Department of Labour issued an Extraordinary Gazette No.2397/27 under the wage Board ordinance, proposing an amendment to the minimum rate of daily wage. Accordingly, it was proposed a daily wage rate of Rs.1,350/- including the daily budgetary relief allowance and a productivity based incentive of Rs.350/- for workers in the Tea Growing and Manufacturing Trade and the Rubber Growing and Raw Rubber Manufacturing Trade, bringing the total daily wage to Rs.1700/-. Further, any objection to the aforesaid proposal will be received by the Chairman of the Board until 12.00 noon on 28th August 2024.

(v) C M Holdings PLC

C M Holdings PLC entered into an arrangement to advance Rs 48Mn against issue of shares by Colonial Motors (Ceylon) Limited to be capitalized on a future date. The advance will be remitted in instalments of Rs.2Mn per month over a period of 24 months.

(vi) Acme Printing and Packaging PLC

A financial institution through its letter dated on 31st July 2024 has demanded an immediate settlement on the total loans and interest payable by ACME Printing & Packaging PLC and its subsidiary, ACME Packaging Solutions (Pvt) Ltd amounting to Rs. 66.7 Mn and Rs. 161.8 Mn respectively. Further, in this letter the Financial institution has indicated its intention to commence legal action against the Guarantors culminating in the execution of writ and sale by auction of properties and assets belonging to the Guarantors.

Notes to the Financial Statements contd.

(vii) Consolidated Tea Plantations Limited

On 13th August 2024, the Department of Labour issued an Extraordinary Gazette No. 2397/27 under the wage board ordinance, proposing an amendment to the minimum rate of daily wage. Accordingly, it was proposed a daily wage rate of Rs. 1,350/- including the daily budgetary relief allowance and a productivity based incentive of Rs. 350/- for workers in the Tea Growing and Manufacturing Trade, bringing the total daily wage to Rs.1,700/-. Further, any objection to the aforesaid proposal will be received by the Chairman of the Wage Board until 12.00 noon on 28th August 2024.

36 CAPITAL AND FINANCIAL COMMITMENTS

36.1 COMPANY

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

36.2 GROUP

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

36.2.1 Agarapatana Plantations PLC

As at 31st March,	2024 Rs.Million	2023 Rs.Million
a) Field Development	125.1	112.9
b) Machinery & Factory Development	307.1	214.4

37 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

37.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies	Name of the Company	2024 Rs.'000	2023 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	15,000	10,000
Commercial Bank of Ceylon PLC	York Hotel Management Limited	20,000	20,000
		35,000	30,000

37.2 Group

37.2.1 Contingent Liabilities

(i) E.B.Creasy & Company PLC

Contingent liabilities in relation to guarantees issued by E. B. Creasy & Company PLC to financial institutions on behalf of its Subsidiaries and other Group companies to obtain facilities from Financial Institutions, were as follows:

As at 31st March,	2024 Rs.'000	2023 Rs.'000
Darley Butler & Company Limited	1,870,000	970,000
Muller & Phipps (Health Care) Limited	100,000	-
Lankem Ceylon PLC	1,047,000	1,147,000
	3,017,000	2,117,000

(ii) Laxapana Batteries PLC

Land area of 27.63 perches belonging to the Company has been gazetted to be acquired by the Government. The Company made a claim on 28.04.2016 for Rs. 218.6 million.

(iii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a guarantee of Rs. 8,000,000/- to Sri Lanka Customs and USD 10,000/- to Bureau of Indian Standards and Litro Gas Lanka Ltd Rs. 20,000,000 which were outstanding as at 31st March 2024.

(iv) Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies and letters of comfort as indicated below as at 31st March 2024.

	2024	2023
As at 31st March,	Rs.'000	Rs.'000
Lankem Development PLC	-	62,080
SunAgro LifeScience Limited	909,421	814,641
Agarapatana Plantations PLC	-	200,000
J.F.Packaging Limited	207,564	217,230
Ceylon Tapes Limited	-	100,000
Kotagala Plantaions PLC	230,000	-
	1,346,985	1,393,951

Comfort letters are provided for SunAgro Farms Ltd., Lankem Consumer Products Ltd., Lankem Exports (Pvt) Ltd., Lankem Research Limited, Lankem Technology Services Ltd., Lankem Chemicals Ltd., Lankem Paints Ltd and Nature's Link Limited by Lankem Ceylon PLC.

(v) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

	2024	2023
As at 31st March,	Rs.Million	Rs.Million
Letters of Comfort and guarantees provided on behalf of the subsidiaries;		
Ceymac Rubber Company Limited	150	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	115	90
Sunquick Lanka Properties (Private) Limited	-	-
	273	197
Short term loan facilities;		
Ceymac Rubber Company Limited	146	36
Kelani Valley Canneries Limited	118	113
	264	149

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited, Kelani Valley Canneries Limited and Sunquick Lanka Properties (Private) Limited for short-term loan facilities/temporary bridging short term loan facility, where repayment terms are less than 12 months.

Notes to the Financial Statements contd.

38 NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	31.03.2024			31.03.2023		
	Trading Companies	Leisure and Other	Plantation	Trading Companies	Leisure and Other	Plantation
Revenue	72,121,336	4,255,061	12,208,151	72,576,581	3,137,879	13,537,608
Operating Profit / (Loss)	6,012,310	338,449	1,773,946	11,644,510	214,188	5,462,990
Finance Cost	(3,580,893)	(185,798)	(534,442)	(5,052,540)	(551,439)	(624,902)
Income Tax	(671,328)	68,793	(748,077)	(995,525)	(156,815)	(1,138,263)
Profit/ Loss After Tax	1,760,089	221,444	491,427	5,596,445	(494,066)	3,699,825
Total Comprehensive Income	2,022,401	322,474	(115,968)	6,279,598	(876,511)	3,348,961
Profit/ (Loss) allocated to NCI	636,190	245,636	(78,620)	1,879,618	(504,969)	1,544,379
Non Current Assets	19,078,691	3,183,746	9,437,176	18,184,517	4,286,473	9,470,917
Current Assets	29,679,463	3,146,952	4,692,183	29,030,791	2,877,137	3,557,520
Total Assets	48,758,154	6,330,698	14,129,359	47,215,308	7,163,610	13,028,437
Non Current Liabilities	10,253,431	2,467,027	7,974,719	11,350,395	2,617,371	6,523,567
Current Liabilities	31,637,274	4,355,512	5,540,498	27,678,666	3,897,395	7,535,105
Total Liabilities	41,890,705	6,822,539	13,515,217	39,029,061	6,514,766	14,058,672

Names of Significant Subsidiaries With Material Non Controlling Interest (NCI)

Sector/ Company Name	Principal Place of Business	NCI Effective Holding 2024	2023
Trading Companies			
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.07%	40.11%
Lankem Ceylon PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	29.41%	27.72%
Colonial Motors Ceylon Limited	297, Union Place, Colombo 02	44.17%	44.17%
C M Holdings PLC	297, Union Place, Colombo 02	34.11%	34.48%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.26%	69.28%
Muller & Phipps (Health Care) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.26%	69.28%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.07%	40.11%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.07%	40.11%
Candy Delights Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.07%	40.11%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	59.08%	59.11%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	59.69%	58.78%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	29.41%	27.72%
Lanka Special Steels Limited	No. 53A, Ward Place, Colombo 07	40.07%	40.11%
Ceylon Tapes (Private) Limited	No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.	26.04%	13.18%
JF Packaging Limited	No. 306, Minuwangoda road, Kotugoda.	29.41%	27.72%
ACME Printing and Packaging PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	50.66%	49.90%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	51.62%	52.53%
Marawila Resorts PLC	Thalwilawella, Thoduwwa, Marawila	62.92%	59.36%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	23.10%	24.79%
Galle Fort Hotel (Private) Limited	Galle	23.10%	24.79%
Baruwala Resorts PLC	Moragalla, Beruwala	42.54%	43.81%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	36.90%	38.29%
Waverly Power (Private) Limited	Agarapatana - Nuwara Eliya District	67.48%	55.33%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	58.62%	51.44%
Agarapatana Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	67.48%	55.33%
Lankem Development PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	60.39%	53.96%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Javatilaka Mawatha, Colombo 01	26.09%	13.35%

39 OPERATING SEGMENTS

	Trading of Consumer Products				Trading of Industrial Products				Leisure				Plantations				Others				Total			
	2024		2023		2024		2023		2024		2023		2024		2023		2024		2023		2024		2023	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Revenue	52,027,740	51,457,885	20,093,597	21,118,696	2,119,715	1,227,121	12,208,151	13,537,608	2,268,078	2,019,591	88,717,280	89,360,901												
Inter Segment Eliminations	(12,007,866)	(10,722,467)	(289,255)	(1,175,686)	(240)	(30)	(2,399)	(3,674)	(522,072)	(378,195)	(12,821,832)	(12,280,052)												
Revenue from External Customers	40,019,874	40,735,418	19,804,342	19,943,010	2,119,475	1,227,091	12,205,752	13,533,934	1,746,006	1,641,396	75,895,448	77,080,849												
Segment Results after Eliminations	2,842,674	5,610,833	622,873	3,084,189	298,547	129,099	2,027,866	4,435,064	(133,547)	8,846	5,658,413	13,268,032												
Gain from Bargain Purchase	-	-	-	101,763	-	-	-	-	-	-	-	101,763												
Finance Expenses	(1,949,148)	(3,343,069)	(1,631,745)	(1,709,471)	(140,036)	(348,447)	(534,442)	(624,902)	(108,088)	(249,074)	(4,363,459)	(6,274,963)												
Share of Results of Associate	-	-	-	-	-	-	-	-	-	-	14,664	18,185												
Share of Results of Joint Venture	1,002	(165,413)	-	-	-	-	-	-	-	-	-	1,002												
Profit Before Tax	894,527	2,102,351	(907,109)	1,374,718	158,511	(219,348)	1,493,424	3,810,162	(226,971)	(222,043)	1,412,383	6,845,840												
Taxation	(539,734)	(712,951)	(131,594)	(228,765)	131,233	(93,347)	(748,077)	(1,138,263)	(63,379)	(86,493)	(1,351,552)	(2,259,819)												
Profit for the Year	354,793	1,389,400	(1,038,703)	1,145,953	289,744	(312,695)	745,347	2,671,899	(290,350)	(308,536)	60,831	4,586,021												
Equity Holders of the Parent	(83,687)	1,021,872	(573,168)	99,332	181,005	11,485	623,039	1,637,959	(269,875)	(402,409)	(122,686)	2,368,240												
Non Controlling Interest	483,480	367,528	(465,534)	1,046,621	108,738	(324,180)	122,308	1,033,940	(20,474)	93,873	183,517	2,217,781												
Total	354,793	1,389,400	(1,038,703)	1,145,953	289,744	(312,695)	745,347	2,671,899	(290,350)	(308,536)	60,831	4,586,021												
Depreciation and amortisation	562,365	472,233	543,673	595,858	104,449	104,535	664,942	481,028	37,652	56,286	1,913,081	1,701,278												
Property, Plant & Equipments - Additions	872,573	880,779	964,299	1,666,209	172,115	60,048	947,126	638,570	44,664	24,927	3,000,777	3,270,533												
Non-Current Assets																								
Property, Plant & Equipment	9,729,452	9,272,980	5,242,227	4,808,692	4,990,487	4,922,131	4,493,916	5,355,307	237,991	247,098	24,694,073	24,606,208												
Leasehold Properties	-	-	-	-	-	-	1,077,687	793,667	-	-	1,077,687	793,667												
Right to use of Assets	548,903	546,248	290,590	180,867	39,539	50,734	-	-	16,296	36,163	895,328	814,012												
Investment Properties	1,418,379	1,432,588	286,925	296,682	181,551	181,551	-	-	798,674	801,743	2,685,530	2,712,565												
Biological Assets	-	-	-	-	-	-	3,860,564	3,317,885	-	-	3,860,564	3,317,885												
Investment in Associates & joint Venture	293,163	-	-	-	-	-	-	-	758,917	658,240	1,052,080	658,240												
Other Long-Term Investments	892,316	856,029	2,657	1,848	3,774	2,053	5,009	4,059	6,742	5,907	910,498	869,896												
Retirement Benefit Obligations - Plan Assets	48,509	46,970	62,210	53,893	-	-	-	-	-	-	110,720	100,863												
Deferred Tax Assets	112,425	103,754	386,326	536,243	-	-	-	-	17,352	14,858	516,103	654,855												
	13,043,153	12,095,023	6,270,937	5,878,224	5,215,351	5,156,469	9,437,176	9,470,918	1,835,972	2,055,309	35,802,583	34,528,191												

Notes to the Financial Statements contd.

39 OPERATING SEGMENTS CONTD.

	Trading of Consumer Products		Trading of Industrial Products		Leisure		Plantations		Others		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Goodwill											669,701	669,701
Income Tax Recoverable	73,743	49,284	41,397	27,381	2,175	714	1,257	4,354	-	1,128	118,572	82,861
Non-Current Liabilities												
Interest-Bearing Borrowings	3,559,829	4,666,661	3,194,393	3,305,828	1,361,799	1,385,616	2,763,763	2,671,921	192,895	271,243	11,072,679	12,301,269
Capital Grants	18,055	4,136	11,918	317	-	-	483,093	499,687	-	-	513,066	504,140
Deferred Tax Liabilities	1,480,623	1,309,466	365,637	505,921	896,052	1,043,229	2,115,489	1,554,739	260,145	238,385	5,117,946	4,651,740
Retirement Benefit Obligations	1,185,100	1,150,386	432,435	275,293	59,924	31,258	2,612,374	1,797,220	41,079	22,817	4,330,913	3,276,975
Rent Received in Advance	-	-	-	-	-	-	-	-	-	-	-	-
	6,243,607	7,130,649	4,004,383	4,087,359	2,317,775	2,460,103	7,974,719	6,523,567	494,119	532,445	21,034,604	20,734,124
Current Liabilities												
Income Tax Payables	300,796	765,066	57,555	144,953	60,804	55,716	25,514	82,035	135,093	122,175	579,762	1,169,945

40 CORRECTION OF MATERIAL ERROR IN PRIOR PERIOD - GROUP

C.W. Mackie PLC

The Group has not considered the temporary differences in provision for impairment loss of debtors, provision for slow-moving inventories and provision for distributors returns and the ROU assets and lease liabilities in computing the deferred tax liability in prior years. Due to this error, deferred tax liability of the Group is overstated by Rs. 73.1 million as at 01 April 2022 and Rs. 53.8 million as at 31 March 2023. Profit for the year ended 31 March 2023 is under stated by Rs. 53.8 million and the revenue reserve as at 1 April 2022 is understated by Rs. 73.1 million. This error has been corrected by restating each of the affected Financial Statements line items for prior periods.

ACME Printing & Packaging PLC

The Group has erroneously recognised the revaluation surplus of lease hold land under Buildings as at 31st March 2022. As a result, the carrying value of the buildings presented in the statement of financial position, revaluation gain in the revaluation reserve and the related deferred tax have been overstated by Rs.18 million and Rs.5 million respectively in prior year financial statements. This error has now been corrected by restating each of the affected financial statement line items for the prior period.

The error has been corrected by restating each of the affected financial statement line items for the prior periods and the table summarises the impact on the Group financials as follows:

As at	31 March 2023 (Rs.'000)			1st April 2022 (Rs.'000)		
	As previously reported	Adjustments	Restated	As previously reported	Adjustments	Restated
Statement of Financial Position (extract)						
Property, Plant & Equipment (PPE)	24,624,345	(18,137)	24,606,208	23,098,939	(18,137)	23,080,802
Total assets excluding PPE	39,183,003	-	39,183,003	32,679,758	-	32,679,758
Deferred tax liability	4,784,127	(132,387)	4,651,740	2,086,266	(76,402)	2,009,864
Total liabilities excluding Deferred tax liability	47,499,189	-	47,499,189	45,134,160	-	45,134,160
Net assets	11,524,032	114,250	11,638,282	8,558,271	58,265	8,616,536
Stated Capital	927,000	-	927,000	927,000	-	927,000
Capital Reserves	20,058	-	20,058	20,058	-	20,058
Reserves	4,832,390	46,558	4,878,948	2,966,249	24,430	2,989,679
Non - Controlling Interest	5,744,584	67,692	5,812,276	4,644,964	34,835	4,679,799
Total Equity	11,524,032	114,250	11,638,282	8,558,271	58,265	8,616,536
For the period ended						
Statement of Profit or Loss & OCI	31 March 2023 (Rs.'000)					
	As previously reported	Adjustments	Restated			
Income Tax expenses	2,313,628	(55,985)	2,259,819			
Profit for the year	4,532,212	55,985	4,586,021			
Other comprehensive income for the year	(1,164,100)	2,176	(1,161,924)			
Total Comprehensive Income for the Year	3,368,112	55,985	3,424,097			
Earning per share (Rs.)	9.78	0.09	9.87			

There is no impact to the statement of cashflow of the Group for the year ended 31 March 2022 and 31 March 2023 as a result of prior year error correction.

Group Financial Summary

As at 31st March,	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
		Restated	Restated						Restated	Restated
TRADING RESULTS										
Group Revenue	75,895,448	77,080,849	51,556,263	43,231,519	36,230,793	41,689,356	43,293,386	41,016,474	36,860,104	35,384,600
Profit/(Loss) before Tax	1,412,383	6,845,840	403,895	493,199	(3,708,626)	(3,360,071)	(155,716)	(916,447)	(518,466)	85,726
Income Tax Expense	(1,351,552)	(2,259,819)	(552,195)	(547,871)	2,377	195,450	(152,561)	(161,816)	(161,751)	(334,213)
Profit/(Loss) for the Period	60,831	4,586,021	(148,300)	(54,672)	(3,706,249)	(3,164,621)	(308,277)	(1,078,263)	(680,217)	(248,487)
Other Comprehensive Income	(238,955)	(1,161,924)	2,048,994	674,170	(176,665)	4,884,082	(227,573)	339,965	224,102	58,039
Attributable to :										
Equity Holders of the Parent	(37,958)	1,730,126	617,539	(109,995)	(3,100,616)	511,909	(609,384)	(740,430)	(236,610)	208,795
Non - Controlling Interest	(140,166)	1,693,971	1,283,155	729,494	(782,298)	1,207,552	73,534	2,132	(219,505)	(399,243)
	(178,124)	3,424,097	1,900,694	619,498	(3,882,914)	1,719,461	(535,850)	(738,298)	(456,115)	(190,448)
CAPITAL EMPLOYED										
Stated Capital	927,000	927,000	927,000	730,368	730,368	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058
Revenue Reserves	3,758,455	4,878,948	2,989,679	2,066,618	2,188,359	5,181,961	4,779,872	6,539,747	7,358,967	7,717,790
	4,705,513	5,826,006	3,936,737	2,817,044	2,938,785	5,529,019	5,126,930	6,886,805	7,706,025	8,064,848
Non - Controlling Interest	7,093,296	5,812,276	4,679,799	3,706,309	3,019,296	4,220,461	3,159,291	4,003,925	4,246,250	4,443,556
Total Equity	11,798,809	11,638,282	8,616,536	6,523,353	5,958,081	9,749,480	8,286,221	10,890,730	11,952,275	12,508,404
Total Debt	31,580,913	30,040,995	28,624,023	23,670,675	23,528,089	21,652,546	22,893,299	19,675,316	18,135,808	15,064,936
	43,379,721	41,679,277	37,182,294	30,194,028	29,486,170	31,402,026	31,179,520	30,566,046	30,088,084	27,573,340
ASSETS EMPLOYED										
Property, Plant & Equipment	24,694,074	24,606,208	23,080,802	21,480,579	21,784,218	24,526,759	19,330,577	19,440,906	18,989,573	18,522,474
Other Non-Current Assets	11,816,428	10,618,280	9,970,847	9,483,585	9,464,555	7,147,281	5,699,579	4,761,462	4,485,260	4,384,477
Current Assets	32,084,844	28,564,723	22,678,911	18,871,185	15,300,504	16,999,784	19,512,494	17,493,433	17,012,222	16,728,532
Assets Held for Sale	-	-	30,000	60,000	67,365	67,365	60,000	207,956	-	-
Liabilities Net of Debt	(35,661,933)	(31,416,805)	(31,384,803)	(27,861,510)	(25,332,555)	(25,292,317)	(24,671,381)	(21,143,353)	(19,478,040)	(17,480,580)
	32,933,413	32,372,406	24,393,895	22,033,840	21,284,087	23,448,873	19,931,269	20,760,404	21,009,015	22,154,903
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	1,433,448	786,743	(1,346,915)	1,527,870	(1,941,991)	1,684,826	(484,935)	726,188	(1,904,014)	(1,386,736)
Investing Activities	(1,793,804)	(2,606,767)	(1,172,152)	(757,357)	(7,214)	(1,179,861)	(2,238,075)	(1,887,804)	(1,400,615)	(3,421,836)
Financing Activities	1,199,827	1,142,761	4,249,345	61,818	1,537,321	(1,392,370)	2,999,320	1,264,414	2,303,916	2,278,260
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(0.51)	9.87	(1.48)	(2.35)	(12.08)	(12.08)	(2.78)	(4.89)	(1.73)	0.32
Net Asset/(Liability) per Share (Rs.)	19.61	24.08	16.40	15.65	30.72	30.72	28.48	38.26	42.81	44.80
Price Earnings Ratio (Times)	(58.69)	2.65	(8.94)	(5.49)	(1.12)	(1.12)	(6.91)	(3.70)	(11.28)	79.83
KEY INDICATORS										
Market Value per Share (Rs.)	30.00	26.10	13.20	12.90	7.10	13.50	19.20	18.10	19.50	25.20
Market Capitalisation (Rs.'000)	7,200,000	6,264,000	3,168,000	2,842,345	2,430,000	2,430,000	3,456,000	3,258,000	3,510,000	4,536,000
Current Ratio (Times)	0.53	0.48	0.43	0.39	0.40	0.40	0.49	0.51	0.53	0.62
Interest Cover	1.32	2.09	1.12	1.19	0.03	0.03	0.94	0.57	0.67	1.06

Share Information

DISTRIBUTION OF SHAREHOLDING

No. of Shares Held	As At 31st March 2024			As At 31st March 2023		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,380	395,641	0.16	1,426	444,498	0.19
1,001 - 10,000	616	2,433,389	1.02	831	3,419,740	1.43
10,001 - 100,000	185	5,709,681	2.38	321	10,365,125	4.31
100,001 - 1,000,000	45	15,107,031	6.29	77	23,962,475	9.98
Over 1,000,000	17	216,354,258	90.15	23	201,808,162	84.09
	2,243	240,000,000	100.00	2,678	240,000,000	100.00

ANALYSIS OF ORDINARY SHAREHOLDERS

	As At 31st March 2024			As At 31st March 2023		
	No. of Shareholders	Total Holdings	%	No. of Shareholders	Total Holdings	%
Individuals	2,100	21,158,910	8.82	2,477	34,577,999	14.41
Institutions	143	218,841,090	91.18	201	205,422,001	85.59
	2,243	240,000,000	100.00	2,678	240,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2024 was 33.08 % (31st March 2023 – 33.48%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2024 were 2,222 (31st March 2023 – 2,659)

FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.13.1 (i) (a) on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalization as at 31st March 2024 was Rs.2,381,760,000/- (31st March 2023 - 2,097,187,200/-).

MARKET VALUE OF SHARES

	2023/2024 Rs.	2022/2023 Rs.
Highest	34.50	34.20
Lowest	23.10	9.20
Market Value as at the Year end	30.00	26.10

NET ASSETS PER SHARE

	Rs.
31.03.2024	12.25
31.03.2023	9.65

Share Information contd.

TWENTY MAJOR SHAREHOLDERS

	Full Name of the Shareholder	31.03.2024		31.03.2023	
		No. of Shares	Share Percentage	No. of Shares	Share Percentage
1	Property and Investment Holdings (Private) Limited	40,153,059	16.73%	40,153,059	16.73%
2	Colombo Investment Trust PLC	31,149,717	12.98%	31,149,717	12.98%
3	Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	29,208,626	12.17%	2,158,691	0.90%
4	Colombo Fort Investments PLC	26,888,895	11.20%	26,863,895	11.19%
5	Financial Trust Limited	26,724,863	11.14%	26,724,863	11.14%
6	Capital Investments Limited	23,084,375	9.62%	23,084,375	9.62%
7	Corporate Holdings (Pvt) Ltd A/C No.02	9,099,080	3.79%	9,099,080	3.79%
8	Sampath Bank PLC/ Dr.T.Senthilverl	8,910,442	3.71%	8,910,442	3.71%
9	Corporate Holdings (Pvt) Ltd A/C No.01	5,185,945	2.16%	5,185,945	2.16%
10	Union Investments (Private) Ltd	4,300,000	1.79%	4,300,000	1.79%
11	Mr. Sanjeev Rajaratnam	2,450,000	1.02%	2,225,000	0.93%
12	Jacey Trust Services (Private) Limited-Account No 01	1,858,500	0.77%	1,858,500	0.77%
13	Miss Andal Radhakrishnan	1,800,000	0.75%	1,800,000	0.75%
14	Miss Meenambigai Priyadarshini Radhakrishnan	1,800,000	0.75%	1,800,000	0.75%
15	C M Holdings PLC	1,500,000	0.63%	1,500,000	0.63%
16	Sampath Bank PLC/Mr. Abishek Sithampalam	1,175,066	0.49%	1,175,066	0.49%
17	Mr. Amrit Rajaratnam	1,065,690	0.44%	1,065,690	0.44%
18	Hatton National Bank PLC/Sri Dhaman Rajendram Arudpragasam	1,000,000	0.42%	1,000,000	0.42%
19	Hatton National Bank PLC/Anushman Rajaratnam	902,078	0.38%	1,429,601	0.60%
20	Miss Sithampalam Durga	850,800	0.35%	850,800	0.35%
	Total	219,107,136	91.29%	192,334,724	80.14%

Notice of Meeting

Notice is hereby given that the One Hundred and Twenty Fifth Annual General Meeting of The Colombo Fort Land & Building PLC will be held on 30th September 2024 at 11.00 a.m. and conducted as a Virtual Meeting from 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, and the business to be brought before the meeting will be:

1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2024 with the Report of the Auditors thereon.
2. To re-elect Mr. P.M.A. Sirimane who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
3. To re-elect Mr. S. Rajaratnam who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
4. To re-elect Mr. Amrit Rajaratnam who retires in accordance with Article 92 of the Articles of Association.
5. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No.04).
6. To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No.05).
7. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his reappointment (see Note No.06).
8. To reappoint Mr. A.R. Rasiah as a Director. As Mr. A.R. Rasiah is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his reappointment (see Note No.07).
9. To authorize the Directors to determine contributions to Charities.
10. To reappoint KPMG, Chartered Accountants as Auditors and to authorize the Directors to determine their remuneration.
11. Special Business

To consider and if though fit to pass the following Special Resolution to amend the Articles of Association of the Company in compliance with the Listing Rules of the Colombo Stock Exchange:

Special Resolution

Resolved –

- “That the existing Article 75 (1) be deleted and the following be substituted therefor:

75(1) The Directors shall not be less than five (5) nor more than twelve (12) in number. Subject to the provisions of the Act and these presents, the Company may from time to time, by Special Resolution, increase or reduce the number of Directors.”

- “That the existing Article 106 be deleted in its entirety and the following be substituted therefor:

106 (1) A Director, may by notice in writing left at the office, appoint any person to be his Alternate to act in his place for such period as the appointor may stipulate and such appointment shall become effective upon approval thereof by the Board, provided however that:-

- (a) An Alternate Director shall only be appointed in exceptional circumstances and for a maximum period of one (1) year from the date of appointment;
- (b) If an Alternate Director is appointed by a Non-Executive Director such Alternate should not be an Executive of the Company.
- (c) If an Alternate Director is appointed by an Independent Director, the person so appointed should meet the criteria of independence specified in the Listing Rules of the Colombo Stock Exchange and the Company shall satisfy the requirements relating to the minimum number of Independent Directors specified in the Listing Rules. The Nominations and Governance Committee of the Company shall review and determine that the person so nominated as the Alternate would qualify as an Independent Director before such appointment is made.
- (d) The Company shall make an immediate Market Announcement on the Colombo Stock Exchange regarding the appointment of an Alternate Director. Such Market Announcement shall include the following:
 - i) the exceptional circumstances leading to such appointment
 - ii) the information on the capacity in which such Alternate Director is appointed, i.e. whether as an Executive, Non-Executive or Independent Director.
 - iii) the time period for which he/she is appointed, which shall not exceed one (1) year from the date of appointment and
 - iv) a statement by the Company indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Company.

Notice of Meeting contd.

- (2) A person appointed to be an Alternate Director shall not in respect of such appointment be entitled to receive any remuneration from the Company, nor be required to hold any share qualification, but the Board may repay the Alternate Director such reasonable expenses as he may incur in attending and returning from meetings of the Directors which he is entitled to attend or which he may otherwise properly incur in or about the business of the Company or may pay such allowances as the Board may think proper in respect of these expenses.
- (3) An Alternate Director shall be entitled to receive notices (on his giving an address for such notices to be served upon him) of all meetings of the Directors and to attend and vote as Director at any such meeting at which the Director appointing him is not personally present and generally at such meeting to perform all the functions of his appointor as a Director in the absence of such appointor.
- (4) If an Alternate Director is also a Director in his own right he shall have at any Board meeting two (2) votes, one (1) vote in his own right and one (1) vote in his capacity as an Alternate Director.
- (5) An Alternate Director shall ipso facto cease to be an Alternate Director on the happening of any of the following events;
 - (a) Upon the Appointor's resumption of duties as a Director;
 - (b) If the appointment of the Alternate Director is revoked by notice in writing left at the office by his appointor;
 - (c) If his appointor ceases for any reason to be a Director; Provided that if any Director retires by rotation but is re-elected at the meeting at which such retirement took effect, any appointment made by him pursuant to this Article which was in force immediately prior to his retirement shall continue to operate after his re-election as if he had not so retired;
 - (d) If the Alternate Director shall have a receiving order made against him or compounds with his Creditors or is adjudicated an insolvent;
 - (e) If the Alternate Director be lunatic or becomes of unsound mind;
 - (f) If the Alternate Director resigns by a notice in writing given under his hand to the Company;
 - (g) If he becomes subject to any of the provisions of Article 84 of these presents which, if he were a Director of the Company, would render his office vacated;
 - (h) If the Board resolves that the appointment of the Alternate Director be terminated; provided that such termination shall not take effect until the expiration of thirty (30) days after the date of the resolution of the Board.
- (6) A Director shall not vote on the question of the approval of an Alternate Director to act for him or on the question of the termination of the appointment of such an Alternate Director under the forgoing sub-clause of this Article, and if he does so his vote shall not be counted; nor for the purpose of any resolution for either of these purposes shall he be counted in the quorum present at the meeting.
- (7) The attendance of any Alternate Director at any meeting subject to (6) above, including Board Committee meetings shall be counted for the purpose of quorum."

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
03rd September 2024

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.
2. Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to represent them and vote on their behalf. Members are advised to complete the Form of Proxy and their voting preferences on the specified resolutions to be taken up at the meeting and submit the same to the Company in accordance with the instructions given on the reverse of the Form of Proxy.
3. Please refer the CSE website and the "Circular to Shareholders" dated 03rd September 2024 for further instructions relating to the Annual General Meeting and for joining the Meeting virtually.
4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. A.M. de S. Jayaratne who is eighty four years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne."
5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. C.P.R. Perera who is eighty years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera."
6. Special Notice has been received by the Company from a shareholder giving notice of the intention to move the following Resolution regarding the reappointment of Mr. S.D.R. Arudpragasam as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. S.D.R. Arudpragasam who is seventy three years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of seventy years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. S.D.R. Arudpragasam."
7. Special Notice has been received by the Company from a shareholder giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.R. Rasiah as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. A.R. Rasiah who is seventy eight years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of seventy years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. A.R. Rasiah."

Notes

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|---------------------------------------|----------------------------|
| 1. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him, |
| 2. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him, |
| 3. Anushman Rajaratnam | of Colombo or failing him, |
| 4. Chrisantha Priyange Richard Perera | of Colombo or failing him, |
| 5. Parakrama Maithri Asoka Sirimane | of Colombo or failing him, |
| 6. Sanjeev Rajaratnam | of Colombo or failing him, |
| 7. Albert Rasakantha Rasiah | of Colombo or failing him, |
| 8. Amrit Rajaratnam | of Colombo |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Twenty Fifth Annual General Meeting of the Company to be held on 30th September 2024 at 11.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2024 with the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. P.M.A. Sirimane, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
3. To re-elect Mr. Sanjeev Rajaratnam who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
4. To re-elect Mr. Amrit Rajaratnam who retires in accordance with Article 92 of the Articles of Association.	☐	☐
5. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
6. To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
7. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
8. To reappoint Mr. A.R. Rasiah as a Director. As Mr. A.R. Rasiah is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
9. To authorize the Directors to determine contributions to charities.	☐	☐
10. To reappoint KPMG, Chartered Accountants, as Auditors and to authorize the Directors to determine their remuneration.	☐	☐
11. Special Business: To amend the Articles of Association by way of a Special Resolution as set out in the Notice of Meeting.	☐	☐

As witness my/our hand(s) this.....day of 2024

.....
 Signature of Shareholder

Note:

1. A proxy need not be a member of the Company.
2. Please indicate with an X in the space provided how your proxy is to vote. If there is in the view of the proxy holder doubt (by reason of the way in which the instructions contained in the proxy have been completed) as to the way in which the Proxy holder should vote, the Proxy holder shall vote as he thinks fit.
3. Instructions as to completion appear on the reverse hereof.

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorized Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

S.D.R. Arudpragasam - Chairman
FCMA (U.K.)

C.P.R. Perera - Deputy Chairman

Anushman Rajaratnam - Group Managing Director
B.Sc. (Hons.), CPA, MBA

A.M. de S. Jayaratne
B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

P.M.A. Sirimane
FCA, MBA

S. Rajaratnam
B.Sc., CA

A.R. Rasiah
B.Sc. (Cey.), FCA
(Appointed w.e.f. 08.06.2023)

Amrit Rajaratnam
LLB (Notts.), Barrister -at-Law
(Appointed w.e.f. 29.11.2023)

NAME OF THE COMPANY

The Colombo Fort Land & Building PLC

LEGAL FORM

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

COMPANY NO.

PQ172

REGISTERED OFFICE

No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01.

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

BANKERS

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

AUDITORS

KPMG, Chartered Accountants

LEGAL ADVISERS

Julius & Creasy, Attorneys-at-Law

TAX ADVISORS

KPMG, Chartered Accountants

MANAGERS & SECRETARIES

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

Concept & Designed by



The Colombo Fort Land & Building PLC
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